Poonawalla Fin (POONAWALLA)

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February 06, 202 5

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BSE Scrip Code: 524000 National Stock Exchange of India Limited
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Dear Sir / Madam,

Subject: Transcript of Earning/quarterly conference call held to discuss Unaudited financial results for quarter ended December 31, 2024– Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations').

Reference: Regulation 46(2)(oa) of the SEBI Listing Regulations

This is in continuation of our earlier letter s dated January 23, 2025 and January 31, 2025 and pursuant to Regulation 30 and 46(2)(oa) of the SEBI Listing Regulations, we hereby providing the link of the transcript of Company's Analysts (earning/quarterly) conference call for Q 3 FY 2024 - 25 held on January 31, 202 5.

The transcript of the Conference Call can be accessed at: -

https://poonawallafincorp.com/pfca/assets/pdf/Poonawalla -Fincorp -Earnings -Call-Transcript - Q3FY25.pdf

Kindly take the above intimation on record.

Thanking You,

Yours faithfully,
For Poonawalla Fincorp Limited

Shabnum Zaman
Company Secretary
ACS■13918
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Poonawalla Fincorp Limited
Q3 FY24-25 Earnings Conference Call
January 31, 202 5

MANAGEMENT : MR. ARVIND KAPIL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. SUNIL SAMDANI – EXECUTIVE DIRECTOR
MR. SANJAY MIRANKA – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the Poonawalla Fincorp Limited Q3 FY24 -25 Earnings Conference Call. We have with us today on the call, Mr. Arvind Kapil, Managing Director and Chief Executive Officer; Mr. Sunil Samdani, Executive Director; Mr. Shriram Iyer, Chief Credit and Analytics Officer; and other seni or management officials.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Arvind Kapil, Managing Director and Chief Executive Officer of Poonawalla Fincorp Limited. Thank you, and over to you, sir.
Arvind Kapil: Thank you. A very good evening to all of you. I wish all of you and your loved ones a very Happy New Year.
Let me begin by giving you a brief update on our business last quarter.
It's been 7 months into the role , with me and my management team fully in place, let me begin by sharing that as we look ahead the confidence of me and my management team is a notch above upbeat. We are quite excited about the phase of the building blocks and increase of businesses over the next 4 quarters.
We have invested significantly over the last few months on rolling out multiple scalable lending businesses across Secured, Unsecured and digital businesses. These businesses are built and will be built person -by-person, process -by-process, and risk management and technology -led delivery pipelines, across chosen markets, revenue and profit pools as priority. These investments may have a four quarter -one year gestation , that's why you see the cost. However, robust profitability, risk -adjusted return and a t ruly institutional scale is the visualization, and we have the domain , talent pool and execution capability to make it happen.
Our guidance which we had given for the AUM growth 2 quarters ago was 30%-35% for the financial year and 30% -40% thereafter. We remain firmly on track to achieve this. The AUM is already on a positive trajectory. Our AUM grew by 41% year -on-year a nd 9% quarter -on-quarter to ■30,984 crores as on 31st December 2024 .
Let me briefly take you through the growth and quality drivers of our business. Total disbursements of ■7,149 crores were up by 13% quarter -on-quarter. Core retail disbursements have approximately doubled compared to the same quarter last year, approximately ■4,705 crores this quarter versus ■2,491 crores same quarter last year -just to give you a ground -level feel of the momentum .
Our businesses have seen healthy, and completely credit calibrated growth. Let me cover a few existing businesses to give you a sense.

LAP , is now at ■6,795 crores book, having grown 86% year -on-year and 27% quarter -on- quarter. Incremental growth has come at a healthy LTV of 51%. This is also showing the strength that the new management team comes in with - the distribution vintage of having done a couple of these businesses, and that strength is getting attached here.
Similarly, Business loan , is well credit calibrated and has grown at 42% year -on-year, 13% quarter -on-quarter to ■5,003 crores. The profiles that we have lent to are vintage d businesses with healthy robust cash flows.
On the retail side , having credit calibrated our book, we are turning the corner on risk -adjusted performance.
For example, you're well aware that we scaled down our STPL book last quarter and we worked on re -calibrating the policy and made the processes robust (plugged in account aggregators, other cash flow

estimat ors) and multiple checks that we've incorporated. To our interesting findings, the bounce curves observed in the new book that we are creating, which is very small right now, are in line with our credit calibrations, and we are now ready to gradually step it up in a very controlled manner.
Similarly, we have fundamentally shifted the nature and profile of used vehicle portfolio over the last 2 quarters. Two quarters ago itself, we biased towards better risk -control led product mix

on this business. We've done this business in the past as a management team. We understand the risk associated with it, and the product is poised to deliver a growth of around 20% on this particular one.

The idea of sharing with you these products was to give you a sense of how we are working on the existing businesses.

Overall, the philosophy is to keep the mix of our secured and unsecured book prudent and equally weighted.

The above gives you a flavor of our growth performance of existing businesses in this quarter. The engine has started firing according to me and at a fairly robust level.

Let me now give you an execution update on the strategic building blocks I laid out in my last call. There's a fair amount of work that's happened on the ground.

First building block is obviously the most important is our people itself. In the last quarter, I reported to you that 95% of our senior leadership has been onboarded. I'm happy to report back to you that our entire senior management team is now onboard. This completes the leadership foundation of organization, the journey I had set out on immediately post joining. Getting the right management depth, along with the incremental team for our businesses is moving at great momentum.

Across organization, we are bringing in scalability and consistency in our people practices. Let me take a minute or 2 on that.

We are aware that the strength of our organization is also its distribution team. We have created an industry -first AI experience in managing our recruitment and onboarding process. 90% of our hiring agents benefit from AI -based screening and parsing solutions that has dramatically brought down average time to offer. How does it help us ? Our speed to market increases dramatically. Similarly, to ensure consistent experience to our workforce, we will also launch an Agentic -led support interface to our employe es by Q1 FY 25-26.

I have been a firm believer in creating a culture of passion. I thought I'd probably give you a little visibility on what we are striving our culture to be. So , creating a culture of passion that encourages innovation, a culture of customer -first, governance -first, risk -priority, AI -first, with a strong orientation to growth performance with all vectors orchestrating in harmony.

We want our culture to have “quality of work ” at the heart of the organization. That it is very important to us. We aspire as a team and organization to be recognized as an agile and very smart organization. So agile and very smart will hold very dear to every level of the organization, management team and every employee of Poonawalla Fincor p. We'll have to live by it, breathe by it.

Let's move on to my second building block, it's our products and distribution . We've laid out our vision to become a multi -product lender that serves the aspiration of Bharat holistically, which means expanding from a product portfolio of approximately 4 (existing) to around 10 and phase -wise launch of 400 new branches is planned beginning Q1 FY25 -26. We remain on track to launch the 6 new product classes and new locations.

Let me take you through some of the highlights of the work done to give you a sense of what's happening on the 6 businesses.

Prime PL : We had launched this business in August '24. It has now ramped up to the levels of approximately ■120 cro

res of monthly run rate, heading for probably ■150 crores as we end today in Jan uary. This business will augment our presence in the middle -income segment across the country and complement our play in the consumer durable s and education loans. 75% of our customers are from Category A companies and net take -home salary of over ■75,000 ; 65% of this book has a bureau score of 750 plus, just to giv e you a sense.

We are also ready to launch , and I think this is important, an industry -first 24/7 Digital Prime Personal Loan in Q4 FY24 -25. We believe we are paradigm pioneers and industry first. With this launch, what we're really doing, we're trying to redefine personal lending by making it truly instant, fully digital, accessible 24 /7 for prime salaried professionals , working for top corporates. Our goal is to provide a frictionless borrowing experience for those who need quick financial solutions without the hassle of traditional loan processes. This could be an industry first as far as India is concerned, and we will gradual ly build it. This is going to be the Phase -1 that we launch in the next 15 days, and this is going to be gradually step -by-step, we'll build on it quarter -by-quarter. This will also give a great boost to our website acquisition strategy .

Let's take on the second product, Gold loan. The 400 new branches committed will serve gold loan and support cross -sell of our other retail and commercial products. We have identified and secured, 263 new branch locations already across 4 states, out of the 400 committed, with 75% of leadership alre ady hired. That's the sense of agility that we seem to be working on right now, and that is what you will soon see in terms of the AUMs.
The 4 remaining new products will operate pan -India. I'm confident, given the depth of our management team we've hired for these specific businesses, that they will hit their time to market goal in Q1 FY25 -26.
Consumer durable. We're planning - 104 locations have been identified for Phase 1 of launch, specifically based on the synergies between our existing businesses and the micro -market potential that we understand. Leadership team is already onboarded. They are already in office. Consumer durable will be a play across Tier -2/Tier-3 cities for us that will cater to both salar ied and even self -employed.
Used commercial vehicles . We've identified 63 locations in Phase -1 with 85% of leadership in place.
Shopkeeper loans , which we announced, we've identified 100 locations in Phase -1, and leadership along with 50% of the sales force has been hired.
Education loans . We've hired an experienced management team across product and sales, and we have the opportunity to play in a large growing education /specialized education market, and the rest of the team is still to be hired.
All these products will launch in Q1 FY25 -26 at-scale across multiple locations of Phase -1 of these products. What is important at this junction also to probably mention is that we will do a "tenacity test " at-scale. We rigorously assess our products to match customer needs in a robust manner and make sure that they are aligned to the customer needs.
At this junction, let me pause for a second and also bring your attention to an important product that we have considered to launch. In addition to these 6, please note we are launching a new product that will support the needs of our SME and commercial se gment. This is going to be Equipment leasing . This is a growing opportunity for us given the capex needs of the economy, especially across capital -intensive industries such as manufacturing, healthcare and construction. We will go live with the product in the first quarter of the coming financial year.
So, this will get added to the 6 products that I've already announced.
Our third building block is to disrupt our wa

y of working via Analytics and AI . The next
two blocks, I'm going to cover are AI strategy and the work that's being done at the ground level and the Tech strategy. Given the talent bench and the new techniques that we have at our disposal, we are attempting to be AI -first in many of our business models, and that's going to be a dynamic ongoing hard work. We've already moved substantially from AI in concept stage in Q2 FY24 -25 to delivering value in quarter Q3 F Y24-25 and beyond.

Last time I had given you an adequate visibility on our risk analytics and talent , we have now fleshed out a detailed AI technology strategy and use -case road map. I would like to credit our Analytics and Data Science teams, who have collaborated with IIT Mumbai Technology, as we shared last time with you. Our vision is to sharpen our customer experience, productivity and risk efficiency via deployment of s harp AI use -cases across the enterprise.
The plan is to go live with use cases, rather targeted use cases across credit and risk management, across collections , we've identified digital marketing, compliance, audit and HR by Q4FY25. Customer -facing journeys and sales processes use -cases will go live in subsequent quarters of FY25 -26.
Let me take another few minutes to take you through some of the targeted use cases that we are working on, because it's very specific work that we're doing.
In HR, for example, as I mentioned before, we've already rolled out an industry -first Gen AI solution that has helped bring down time to offer. That's time to market. We're in the process of building an agentic -based employee conversational agent. That als o we've shared with you.
Across credit and risk, we continue to sharpen our existing decisioning and scorecard s via AI techniques and Gen AI processin g with Phase -1 of deployment completing in March '25. Intent is to reduce default rates, time to approval, and over time reduce cost of processing applications, and overall time reduction. We believe that even if we get 5% to 10% of our volumes starting on this one, these are doors that's going to open up great innovation doors and we will keep expanding our experience of getting shar per and sharper on these areas. That's how we see the future that it will be a fusion of AI and human interface.
Across collections, our agents and managers are enabled via AI models for optimizing their

planning, and customers are guided analytically by digital nudges based on their past behavior.
Across Q1 FY 25-26, we will enable Gen AI solutions to improve efficacy across our tele callers and field agents using virtual assistance.
Across our website and apps, we are using AI to hyper -personalize our targeting and experience.
Objective here is to improve our cost of acquisition across paid, organic and partner channels, improving customer engagement and cross -sell rates, delivering multiplicative benefits on our P&L.
To do this, we are working across multiple dimensions.
To give you a sense of the work that is happening, we will launch our revamped website that supports advanced personalization and design. We are sharpening our STP journeys across STPL, Prime PL with AI nudges . Deploying AI platforms across customer targeting (SaaS AI solutions), augmenting our digital and content agencies via Gen AI platforms . Deploying multi - vernacular chatbots for customer interactions.
Finally, across audit and compliance, our idea is to enable AI -driven risk triggers and reviews to ensure that there is early identification and migration of risks.

Yes, I must confess, we are deeply mindful that AI is not without its risks and in parallel, we're putting across a clear governance and monitoring around it along with a sound technology infrastructure, which brings me t

o the fourth building block .
The Tech strategy : As the organization scales, we will leverage industry -ready SaaS applications in the near term, while pursuing long -term road map for transforming IT to a product lifecycle based "modularization framework ". Our approach will enable readiness for future common tech stack unified across product life cycles (like one CRM, collection management, LMS, and customer onboarding).
To ensure we can scale our customer franchise without linearly increasing acquisition costs, we are also building best -in-class capabilities across marketing technologies. This will enable us to effectively deploy propensity models and power our website an d app with personalized insights.
Journeys have been built in an omnichannel fashion to ensure we are able to effectively service the multiple product needs of our customers consistently and we are revamping our app along with these lines to provide an ecosystem of products and services to our customers. This will enable our engagement rates to move up by 2 -3 times .
Data is being rearchitected on domain -based approach. So along with the implementation of a Customer Data Platform (CDP) , we will enable data -driven decisions -making across the organization, including risk, operations and sales.
From a resiliency perspective, we will work towards a hybrid cloud strategy that is balanced performance, cost and regulatory needs. We will be able to effectively enable AI while distributing workloads and enable appropriate recovery time objectives and r ecovery point objectives.
Across board, there is an equal emphasis on resilience, cybersecurity, and ensuring compliance to the fast-approaching DPDP (Digital personal data protection) norms. PFL will also deploy next-generation security techniques to stay ahead of any evolving threats, extending our zero - touch architecture principle across our digital ecosystem.
Finally, our fifth building block, our risk management approach . Let me, at this junction, take a pause and ask Shriram, our Chief Credit and Analytics Officer, to give you further colour on our risk management approach and the work done so far to give you conviction of how important risk -first policy is for us. Thank you.
Shriram Iyer: Thank you, Arvind. Good evening, ladies and gentlemen. Let me take this opportunity to apprise you all of the substantial amount of work that we have done in the last 7 months and progressed on the vectors in the areas of credit and risk, collections and a nalytics that align our vision on sustainable profitability.
Risk management culture for PFL 2.0 focuses on 3 specific areas: People, Design and Process, making it the foundation towards success.

On the people side, I'm pleased to announce that we have successfully onboarded key people on the second and third level across credit and risk, analytics, and debt management, supporting both existing and new product launches. People are the strength and driving force behin d an organization's growth, sharing its vision and mission. I'm grateful to everyone who has shown

their trust and enthusiasm in joining us on this exciting journey of PFL 2.0. Our team brings a wealth of diverse knowledge and expertise across product suit es and functions with specific skill sets in line with our product launches.
From a Design stand -point , that's from a credit risk perspective, we are implementing risk frameworks for new product launches that leverage granular customer segmentation and custom algorithms. Our data-driven framework powered by traditional credit bureau data and alternative data sources enable more precise risk segmentation of borrowers. Talking specifically , for the upcoming product launch, which will be entirely digital, we are ready with the custom algorithms at the cohort level to address various credit swim lanes based

on customer profiles
and exposure demands.
The dynamic recalibration in our STPL book has helped improve through -the-door quality and has helped us to see substantial improvement in early delinquency by 50%. For exposures operating in a physical mode and digital mode, credit risk models with the he lp of analytics are deployed to automate specific decisions to enhance the credit process. As the MD spoke about, we are using account aggregator addressing the recency of information via banking and the ability of pattern mining complemented with the know ledge of what impacts credit behavior. This gives us an edge in our credit decisioning models. Using a micro segmentation approach to monitor the portfolio has marked a pivotal moment in the product's performance. Incremental exposures across personal loans, business loans, mortgages and pre -owned cars are acquired with refined risk calibration, and we are satisfied with risk calibration of the incremental book that we are building.
I would also like to state what the MD spoke about that the team has built an Industry -First digital lending solution to provide 24/7 personal loans to employees for top corporates, and this is completely going to be zero touch. The credit and analytics teams have brought together the best risk management practices augmented with models supporting multiple decisions in the journey.
Coming to the debt management side, we have successfully implemented automated no - contact collections with digital -only approach, exceeding expectations and continuously improving each quarter. Cohort level analytical solutions are the feeders to the strategic and automated decision layers, targeting efficiency at scale. We are looking at that a s scale buildup, this is extremely important for us. To give a glimpse on the granularity of frameworks put in place, we have product -specific pre -due design supporting collection intervention p lanning between digital channels and intensity. Early bucket allocation and planning optimization is driven based on Propensity -to-pay design.
To summarize, Gen 1 design across the stages of collection life cycle from pre -due to recovery has been already deployed. The debt management models, initially driven by traditional

techniques, are now augmented with machine learning solutions to manage the increasing complexity of information. Please note that we are strengthening collections strength -by- strength, quarter -by-quarter, both physically and digitally, and this will be an important strategic KRA for the team.
On the process side , we are re -engineering credit and collection process to bring in standardization across products and geographies.
Looking ahead, I'm excited about our collaboration with IIT to drive innovation. This is being done by leveraging vast unstructured data and cutting -edge technology to gain unparalleled customer insights across multiple work streams. I would like to highli ght 2 areas to provide you with a glimpse of this engagement.
The first one being, we are trying to strengthen our physical credit underwriting framework by enhancing risk management capabilities with technology at its fulcrum. Using AI and Gen AI layers for predictive risk modelling , teams are already working towards creating a Humanoid - an AI credit assistant. This AI credit assistant will be modelled to perform credit processing and credit checks for retail consumer lending loans. This is envisaged to support a reduction in operating cost of credit, bringing in standardization, and creating different swim lanes for assisting credit decisioning based o n consumer risk.
Secondly, we will be the first large -scale NBFC to deploy an automated campaign and collection workflow platform, enabling sophisticated micro strategies tailored by time, user person a, loan type, communication channel and content.

Over the next 2 quarters , various solutions driven by
AI and foundation models will be incorporated in the decision framework, augmenting the debt management practices, focusing on governance and efficiency. Decisions to support differential

treatments, persona -based nudges, cha nnel analytics and reinforcement learning will be a few of the next deep dive areas to augment the debt management strategies.

Our team is excited to explore and accelerate on the path of AI and Agentic journey of 2025 . We aim to achieve industry -leading structural efficiencies, maximizing output and profitability while creating an unprecedented user experience for both our internal staff and our valued customers. Our initiatives underscore our dedication to excellence and innovation, driving us towards a future of sustained growth and success. Thank y ou.

Arvind Kapil: Thanks, Shriram. Before I hand over to Sunil Samdani and Sanjay Miranka for the financials and a detailed update, let me offer my concluding thoughts.

In my assessment, we remain firmly on track to deliver our guidance given our progress so far and quality of my team. Our confidence is clearly on a high. We are heading to create a solid, profitable and sustainable busines s as promised. As a direction, we will remain singularly focused on our building blocks of 10 -11 businesses, that I just shared, and distribution building, leading to, in my view, an assessment of fairly strong , very strong rather, AUM growth over the next 4 quarters. Our AUM growth is likely to be a notch higher than our guidance which I gave

for this year and the next. My suggestion would be measure us with the AUM growth and the consistency we create. This strong growth engine that we are confident of and that we are creating should lead to a very robust, sustainable profit trajectory FY26-27 onwards and thereafter. Over to you, Sunil.

Sunil Samdani: Thank you, Arvind, and Good Evening, everyone. Let me take you through the quarterly financial highlights.

• The Assets under management stood at ■30,984 crores, reflecting a growth of 41% year-on-year and 9% quarter -on-quarter. This is led by the right product mix despite our STPL book being down 9% quarter -on-quarter.
• In terms of AUM mix, MSME finance contribution was 36%, followed by Personal and consumer finance at 24%, Loan against property and Pre-owned cars at 22% and 14%, respectively. Our Secured to Unsecured on -book mix improved to 54:46.
• Our net interest income, including fees and other income, was ■672 crores for Q3 of FY '25, up 22% year -on-year. This is despite the increase in share of secured loans in the overall lending book.
• The Pre-provisioning Operating Profit or the PPOP, as we say, during the quarter was ■373 crores as against ■279 crores previous quarter , and ■350 crores same quarter last year.
• Operating profit has shown healthy growth even after adjusting for exceptional items in the previous quarter. This is even with the higher secured mix, recalibration of STPL, and ongoing investments for building the new businesses.
• Opex -to-AUM ratio was stable at 4.2% for the quarter.
• The gross NPA reduced by 25 basis points quarter -on-quarter to 1.85%. Net NPA stands at 0.81%.
• Our provisioning coverage ratio is at 56.79%.
• Our cost of borrowing was lower by 4 basis points quarter -on-quarter at 8.06%. This is despite the tight liquidity conditions and the elevated interest rate environment.
• Debt -to-equity ratio was 2.65x.
• Total borrowings at the end of the quarter was ■21,338 crores with approximately 65% of them on a variable rate. Also, we have further diversified our funding mix with a maiden ECB of ■1,477 crores, that is $175 million, which is, of course, on a fully hedged basis.
• Our capital adequacy continues to be well above the regulatory requirement with CRAR standing at

25.89%, of which the Tier 1 capital is 24.46%. Our liquidity coverage ratio stands at 113%.
• On the liquidity side, we remain comfortable with positive cumulative mismatch across all buckets and a surplus liquidity of ■4,808 crores as of December 31, 2024.

Thank you, and I would now like to open the floor for question -and-answer session.

Moderator: Thank you very much. The first question is from the line of Umang Shah from Kotak Mutual Fund. Please go ahead.

Umang Shah: Firstly, congratulations, Arvind, on a good quarter on the operating front, and thanks for sharing a fairly detailed update on the progress that the company has made. I'm sorry, I have a couple of questions. First, to begin with, like we had discussed in t he earlier call, I mean, all the recalibration that we had taken on the STPL book, and the resultant provisions were already made. If you could just throw some light as to the provisions which have been made this quarter are pertaining to which particular product category and what would be the write -off for the quarter?

Arvind Kapil: Yes, sure. Thanks, Umang. Sanjay Miranka, do you want to give him a quick glance?

Sanjay Miranka: Yes. So out of the total ■348 crores charge, about ■200 crores is towards STPL and the rest is spread across other products.

Umang Shah: Okay and what would be the write -off for the quarter?

Sanjay Miranka: The total write -off is ■676 crores for the quarter , and this is spread across various products.

Umang Shah: Okay. Understood. The other thing which I wanted to understand is that now we kind of understand that the book is sort of evolving and clearly a lot more new products will come into the fold. But how should we look at our provisioning policy or let's say, simplistically put, how should we look at our steady -state credit cost? Now I understand that it might be difficult to put a number to it, but typically, how should be the provision cover? Where should it stabilize? And typically, the credit co st corridor, if you can highlight, that would be really helpful.

Sunil Samdani : So, on percentage terms, we expect that the credit cost will keep coming down quarter -over-quarter. On the broad guidance, I think we'll wait for Q4, and then we'll give you for the next year.

Arvind Kapil: So, Umang, I think the way we are seeing it is incremental business, we are very well calibrated as that's growing at a very fast rate. Our collection teams also , let me give you a sense , I think that will give you the confidence , the collection team continues its relentless focus to recover the amounts outstanding through strategic and focused efforts of the STPL portfolio. So, there is already an improvement of 380 basis points in the boun ce rate resolution Quarter -3 over Quarter -2. As this quarter sp ans out, I think the whole aim was that predominantly if we can, continuing our financial discipline, in line with our established policy and governance framework, we've written off outstanding exposures in STPL portfolio based on the collection feedback. So , the whole idea is that how effectively this quarter as well, we can move forward, because our collection teams are exuding a fair amount of positive confidence. The way I shared with you that they've already improved by 380 basis points, and the whole team is on board. So as a matter of fact, we are on an optimistic scale. Some of these bulk of these write -offs that Sanjay Miranka shared with you is old STPL related books.

Umang Shah: Okay. Fair point and the last question from my end, Arvind, is, let's say, if one was to look beyond these few quarters that we are talking about, I mean, on growth, you already alluded to the fact that growth will probably be as to your guided range or even better. But on profitability,

how should we look at the ROA trajectory as the book builds up over FY26 and FY27? Yes, that would be helpful.

Arvind Kapil: Yes, I think , probably this time, I've given a very clear guidance that we see very, very robust 4 AUM quarters leading up to, I've used the word, a very robust profit, FY26-27. That means we expect that the ROAs will be probably in the range of around 3% -3.5% by the time the third - year ends. So that clarity will be much easier to give you. I think it's more important that we first build the building blocks, because we are going after almost 11 products. Those 11 products, our confidence level is very high to build it ac ross distribution. If you look at the manpower hiring, we're already up by 30%. Not only the management team, I didn't cover the actual feet on street is on board . I've given you micro details of the work being done. So, I'm expecting the building blocks to lead to fairly robust profits and those robust profits will continue thereafter. So, ROAs, I think, get built once your businesses go into steady, because there's a fair amount of investments being made in these businesses.

And you're well aware that you make new businesses, ROAs work most effective by the time they reach third year, especially the new businesses. So existing businesses also, productivities are going up, and which is why, if you carefully see operating cost a s a percentage to AUM, we are pretty much in the industry range, because you find the AUMs are moving very fast, because this is a management team that's not experimenting with things. We are playing within an area that we know what we're doing. So, the g uidance we have given right now that we expect a very robust profit starting that year. So, the idea is how do you create a sustainable business? How do you create sustainable profits? What are sustainable profits? Sustainable profit means profits that will sustain for years to come. So how do you build it? You've got to build it with investments around 10 -11 businesses. These then will create a massive AUM. That will be like a tidal wave, and I expect that to turn into very robust profits and thereafter. T hat's the way I see

the trajectory moving.
Umang Shah: Perfect. I mean that sounds perfect. Just a clarification, when you say third year, you are referring to FY27, right? Is that understanding, correct? So that we are on the same page?
Arvind Kapil: I couldn't hear you. Can you repeat it?
Umang Shah: Yes. I'm sorry. I said that when you say third year, you are referring to year ending March '27, just to clarify, so that we are on the same page.
Arvind Kapil: I think FY26-27 is going to be a very robust year. We are optimistic on the ROAs. I don't want to put a guidance number to it, Umang. I think the year after that, ROAs will start kicking in for the better every year, because the business calibration and the plan of the se 7 businesses, all ROAs. Let me give you another sense actually. That might give you a better sense.
All these 6 businesses that I have planned and the one I've announced today, all in my plan is an ROA of 3% -4.5%. I think you guys are the best judge to figure out what my final mix ROAs will be, because in my plan, I'm touching all businesses which are 3% -4.5%. That should give

you a sense of what ROAs are roaming in my head, and these are going to be 7 businesses that we are confident of pulling off.
Moderator: The next question is from the line of Pranay Mehta from Investec.
Pranay Mehta: Sir, congratulations on a good set of numbers. I wanted to ask about provisioning and write -offs on the old book. I wanted to just clarify that what you said before, would that hold true going forward as well? Are we expecting anything there?
Arvind Kapil: You'll have to repeat the question, Pranay. It was not very clear - if I can request you.
Pran

ay Mehta: Sure, sure. So, I wanted to check, would you have any provisions on the old book? Any write - offs that we expect further on the old book? Or is that all completely done and clear?
Arvind Kapil: So, I think, Sanjay Miranka, give him a sense.
Sanjay Miranka: So, the write -off on old book was to the tune of ■520 crores. So , the majority of write -off was on old book .
Pranay Mehta: Sure. What would be the guidance for that going forward? Are we expecting anything coming or are we done?
Arvind Kapil: So, Pranay, what happens is , when you put in these provisioning for write -off in the subsequent time, the preparation happens of those cohorts of customers. So as and when those cohorts get into that situation, that's when they've been estimated to use the write -offs.
Sanjay Miranka: And with these, we have sufficient provisions.
Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.
Nischint Chawathe: I think it's again on similar lines. If I look at the credit cost of ■350-odd crores for the quarter, more from a modelling point of view, how should we sort of expect it to trend? Is there a way we can kind of corroborate it with your loan book mix and sort of say that what more could be required to provision the older book, et c.? If there is something that you can , some pointers in the presentation that you can guide us to, which will help us to model this number going forward for the next, let's say, 4 to 6 quarters?
Sanjay Miranka: Yes. So, we expect a sequential decline in terms of percentage credit cost quarter -on-quarter. Obviously, it will be difficult to kind of put a number on the future credit cost and like we said, I think as the businesses get built and which is a good mix of secured, unsecured and across product lines, which Arvind spoke about.
Arvind Kapil: I think he's talking about the overall , did you say about the overall?
Sanjay Miranka : Overall credit cost, yes.

Arvind Kapil: Yes. I think overall credit cost, I think that the new book, we are very, very confident. I think whether it's 30, 60, 90, it's extremely well calibrated. All the AUM growth that I'm talking about , I mean, we took it when it was ■25,000 crores. We're talking about a substantial book in probably the next 4 quarters. So, we are expecting things with every quarter moving rapidly substantially better.
It's just that I had advised from an investor's point of view that please measure us on AUM because I want to create sustainable profit, because if it’s only profit it is much easier to create. If I have to create sustainable profits, we're going to just invest in that number of products, which gives me different distribution, and it creates a very different kind of ti dal effect, which adds immense value to the whole construct.
So, credit cost, I mean, I am very optimistic on the kind of calibration we are doing. As a matter

of fact, even the one product for which we provisioned one time, STPL, we have managed to
crack the solution to such an extent that the bounce ratios, I think, Shriram, is around 50% down,
right?
Shriram Iyer: Yes.
Arvind Kapil: So, it's something we're planning to even look at it in a controlled manner to gradually step it
up, because we are well in control of that and we'll further calibrate it and step it up. So, I think
between the mix of all the businesses that we are talking, between ROAs and credit quality, I
think our bias is fairly strong on the risk side. So, when I say it in the stated objective. So, our
credit cost should quarter -on-quarter start trending in the direction of the strategic stuff that we
are building, because AUM is all controlled by how we are calibrating the businesses.
Nischint Chawathe: Fair point, but given the fact that we are fairly well capitalized, would you want to take one large

hit, clear up the book? And if there is any reversal that comes in the later period, I think that's
well and good, so that we'll be able to kind of track t hese metrices in a more linear manner.
Because with this, it's a little difficult to kind of figure out as to where and how long it takes for
the legacy book to be cleared.
Sanjay Miranka: Yes. See, we had taken one -time additional provision in Q2. As Arvind alluded to, the collection
experience is pretty good . We have seen a significant improvement in bounce rate resolution
from Q2 to Q3. In fact, in Q3 also, Q3 average to December bounce rate resolution has further
improved. So , with that, I think we are hopeful that the collection should keep pace, and we have
to assess it quarter -on-quarter.
Arvind Kapil: So, I think bulk of the problem, in my view, we're mostly trending towards much more robust
building blocks from here on. Even on the old STPL book, both the best effort that can be put is
on. See, you got to, as a financial discipline, do one -time provisioning with a sense of ability for
collecting. You can't just go and provide for everything and then not make any effort on
collections. So , the approach of a business has to be to collect. We are confident , I had mentioned
to you last time that by Jan, our co llections will shoot up. As a matter of fact, by December itself,
our collection figures are looking very promising. But there's a steep improvement even in that

quarter, if you see, there's a steep improvement between November, December. So that is the
point I wanted to make. So , I think we look fairly in control. I don't think old STPL book should
hold on our discussion anymore. In my view, we are well calibrated even on the STPL now. I
think we are confident enough to produce the business lines from here on, AUM is nothing, but
interest income increasing every quarter. It's just that when you financially show profits, it
becomes av erages. So that's the reason I've advised FY26-27 to be a very robust year.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: So, a lot of discussion has already happened on credit costs. I just wanted to ask the same
question again a little differently to see if I can get a different answer. So, until now, from what
I understood, we are guiding that credit costs will keep coming down sequentially, which is fair.
We did say that we have taken onetime credit costs in STPL last quarter, which is fair. We also
said that, I mean, STPL is now well cali brated, and we are confident of growing that book again.
I'm just kind of referring to , I mean, if I just go back, while the whole management team itself
has changed, we have a new management team in place, if I just go back maybe 3 -4 quarters
back and go through transcripts and audio recording, I mean, we used to hear that the new book
is very good. GNPAs are as low as 0.1% -0.2%. My one simple question for you, Arvind sir, is
out of the ■27,000 crores of AUM that you inherited, what is the credit cost that you expect on
the inherited AUM?
Arvind Kapil: Credit cost as we go along?
Sunil Samdani : On the ■27,000 crores of inher ited book.
Arvind Kapil: What was the figure?
Sunil Samdani: What is the cost estimated going forward on that?
Arvind Kapil: To give you a sense , I think fundamentally, if you hear my first earnings call, for which I stand
credible, within 40 days of my earnings call, I gave you a sense that there's one ■6,000 crores
book, which I sense a problem and I said we will build on the businesses. Second earnings call,
I gave you a list of the products which I'm going to do. Third earnings call, I've given you the
progress of that, and I've given you the credit calibrated. Shriram has joined in first time on this
earnings c all, where he's given you a feel on the fact t

hat we are on the verge and confidence of
launching credit products, which the industry has not launched.
Now for us to have that confidence, while we've announced 6 -7 products, I think it can give you
a sense of what quality of credit we are moving from here. Essentially, initially, we saw the

problem. We did provisioning one -time. We are continuing the financial discipline and policy. We are improving the collections. We have written off outstanding exposures, but that's an approach we are taking.

Abhijit Tibrewal: Okay, sir. So basically, all that I was trying to understand is that I mean, while you said in your first earnings call that ■6,000 crores worth of book was the extent of the problem, what was the

quantum of the problem? All I was trying to understand is what was the extent of the problem in that ■6,000 crores book? Essentially, I mean, out of that ■6,000 crores, how much do you expect to be eventually written off?

Arvind Kapil: Out of the ■6,000 crores, how much to be written off? Eventually? If you ask me, I hope problem is behind us. But I think it's better to be conservative and say that every quarter, we'll keep a close eye on it. There are multiple efforts being made on this, and our progress is looking visibly successful over the last 60 d ays, a little sharper success in the last 60 days of this portfolio, because collec tion also took time to beef up. This very precise stuff I had shared with you in the second earnings call. The exact number is difficult to say in this ■6,000 crores. But remember one thing, we've taken a one -time provision. There's write -offs done. We seem to be fairly adequately provided on it. I think I'm very optimistic that I think the framework is more in our favour from here on.

Abhijit Tibrewal: Got it. Got it. This is useful. That's all I wanted to confirm. I think, I mean, we're very clearly moving in the right direction. So happy to see that, and I wish you and your team the very best.

Arvind Kapil: Yes. So, while I can give you a very precise answer, I'd like to be a little conservative, let me be honest.

Abhijit Tibrewal: Sure sir.

Arvind Kapil: Thank you. I appreciate your questions. Thanks.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. With that, we conclude today's conference call. On behalf of Poonawalla Fincorp Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2025

May 02 , 202 5

BSE Limited
Corporate Relationship Department 25th
Floor, Phiroze Jeejeebhoy Towers, Dalal
Street, Fort,
Mumbai ■ 400 001.
BSE Scrip Code: 524000 National Stock Exchange of India Limited
The Listing Department,
Exchange Plaza,
Bandra■ Kurla Complex, Bandra
(East), Mumbai ■ 400 051.
NSE Symbol: POONAWALLA
Dear Sir / Madam,

Subject: Transcript of Earning/quarterly conference call for Q4 FY 2024 -25 – held on Friday, April 25, 2025. Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘SEBI Listing Regulations’).

Reference: Regulation 46(2)(oa) of the SEBI Listing Regulations

This is in continuation of our earlier letter s dated April 19, 2025 and April 25, 2025 and pursuant to Regulation 30 and 46(2)(oa) of the SEBI Listing Regulations, we hereby providing the link of the transcript of Company’s Analysts (earning/quarterly) conference call for Q 4 FY 2024 -25 held on April 25, 202 5.

The transcript of the Conference Call can be accessed at: -

https://poonawallafincorp.com/documents/20121/0/Poonawalla+Fincorp++Earnings+Call+Tra
nscript+ -+Q4FY25.pdf/9ccdc7e8 -76a1 -d122 -21c6 -b2a711d03c46

Kindly take the above intimation on record.

Thanking You,

Yours faithfully,
For Poonawalla Fincorp Limited

Shabnum Zaman
Company Secretary
ACS■13918

Poonawalla Fincorp Limited
Q4 FY24-25 & FY25 Earnings Conference Call
April 25, 202 5

MANAGEMENT : MR. ARVIND KAPIL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. SUNIL SAMDANI – EXECUTIVE DIRECTOR
MR. SANJAY MIRANKA – CHIEF FINANCIAL OFFICER
MR. SHRIRAM IYER – CHIEF CREDIT AND ANALYTICS OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the Poonawalla Fincorp Limited Q4FY 24 -25 and FY25 Earnings Conference Call. We have with us today on the call Mr. Arvind Kapil, Managing Director and Chief Executive Officer; Mr. Sunil Samdani, Executive Director; Mr. Shriram Iyer, Chief Credit and Analytics Officer and other senior management officials.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Arvind Kapil, Managing Director and Chief Executive Officer of Poonawalla Fincorp Limited. Thank you, and over to you, sir.
Arvind Kapil: Thank you. A very good evening to all of you.
Let me begin by summarizing our last 10 months guidance v/s actual what's happened on the ground, followed by a brief update on our performance during this quarter and the details on couple of initiatives, which we believe will add immense value to our building blocks in business - distribution, tech, AI, digital journeys - one of the key initiatives that we have and execution of various other launches.
With the 10 months behind us, I am clearly witnessing 3 key critical strengths emerging as differentiators for Poonawalla Fincorp. I thought maybe it's a good time for me to share that with you, and this is vis-à-vis the competing landscape in the market.
Firstly, our Digital journeys, In-house AI developed models , and there's a whole lot of AI visibility that I'll give you today more precise and including the update on what we had launched earlier , Risk analytics -All these 3 will enable us to use data and insights across businesses from sourcing to underwriting and collections, which will, in my view, make technology as a competitive advantage for us.
Secondly, Deep Product and Risk expertise that we have built in the organization on various asset classes with decades of experience and proven capabilities. What we find is that our very seasoned management team is a very big strength for us.
The above 2 points will create a competing edge for us by making us most agile and quality assessment of external customers. I think in this competing landscape, the strength of using technology, digital journeys, AI for a quality assessment of an external customer in an agile way will be a very strong competing edge , across product basket.
Thirdly, culture of passion, driving execution and results with speed and scale is how I would summarize how the overriding culture is for the organization.
I'm already witnessing these trends emanating, which are visible in our AUM growth that we've achieved this quarter. This has also been possible as our acceptance and credibility with various distribution partners is on a high in both digital plus physical mode.

Let me briefly take you through a quick snapshot of the guidance versus actual on key drivers that we have done over the last 10 months.
In Q1FY24 -25, we had given an AUM guidance of 30% -35% for FY24 -25 and 35% -40% thereafter. I'm happy to share with you all that our AUM has grown by 42.5% YoY and 15% QoQ and landing up to be ■35,631 as of 31st March 2025.
So, I think despite the fact that initially we took the STPL down, we recalibrated, brought it back, and we managed to get our AUM growth, and that's probably a signal of how the respect that this team commands in the distribution world. That's a limited point I wanted to park with you.
Our strategy focuses on achieving sustainable profit. That's what we are very clearly set out to do, and therefore, this yea

r, it will be more biased towards robust AUM growth. Just to reiterate
our guidance of very robust profitability, which we had given last time on the FY26-27 stands strong and hence, it would be safe for us to say that our confidence is high on the AUM.
Total disbursements for Q4FY24 -25 stands at ■9,378 crores, up by around 31 -odd percent QoQ .
Another guidance that we had given was the launch of 6 businesses in the first quarter of this financial year, which would have actually been end of June 2025 . I'm happy to share that as a team, we planned well in advance in the last 6 months and have systematically managed to launch all 6 businesses that are already live in the market, as I talk to you.
Our aim will be to have a higher focus on the quality of processes for the first 4 to 6 months in line with our risk -first approach and then gradually scale it up and bring momentum. I'm happy

to share that one of our standout initiatives, PL Prime, which we had launched in August -2024 has scaled from 0 -■120 crores by December -2024 and about ■200+ crores in March -2025 . Just to give you a ground -level sense of how certain businesses that we launched, even the very competing ones, we're managing to hold it with a certain momentum. That's nearly double in just 1 quarter. This isn't just a number. It reflects the trust we're building in the middle -income segment. It is initial stages, of course.

But I also want to assure you that 75% of customers work at Category A companies, 72%, that we do have take-home salaries above ■75,000. So, to give you a sense that we are prioritizing our risk -first approach even at the ground level , just the way we are talking about it. It's a clear sign we are attracting financially stronger and more responsible borrowers.

We've also launched industry -first 24x7 digital journeys for our external customers. We expect this to build quarter -on-quarter, but I see the real gains over the next 3 to 4 quarters . I have a belief that this will become a very strong competing advantage, not just for the personal loans, including the business loan that we might land up launching in the next 3 to 4 months.

On the unsecured side , a 24x7 journey is going to be an innovation route where we'll build our risk appetite step -by-step, gradually, but very progressively. Our businesses have seen healthy credit calibrat ed growth.

To give you a sense of some of our existing businesses, LAP is now at ■8,466 crores book, having grown at around 107 -odd percent YoY and 24% QoQ . Incremental growth has come at a healthy LTV of 51%. So , we are adequately sensibly lending. Similarly, business loan has grown by 47 -odd percent YoY , 14-odd percent QoQ at ■5,728 crores. The profiles that we have lent to are vintage businesses with healthy and robust cash flows.

Regarding operating costs , we've already guided for approximately ■50-odd crores per quarter as an incremental investment . We have successfully launched 6 businesses till date with plans to launch another 400 branches in the next 4 quarters. As a result, our operating costs will show an increase in the first 2 quarters. However , by 1Q4 FY26-27, that's this year, we are fairly confident that we are anticipating that our operating cost as a percentage to AUM will be stabilizing at very prudent levels, reflec ting operational efficiencies and scalability. Our confidence on the AUM is fairly strong, and hence, I state the same.

On the retail side , having credit calibrated our book, we are turning the corner on the risk - adjusted performance. For the digital personal loan or you can call it the new STPL portfolio, through the risk -calibrated approach, che que bounces have tapered down substantially by approximately 1/3 , and we are very excited about this because there's a fair amount of work that we've done on this. We're slowly, gradu

ally and, prudently stepping towards a higher monthly growth rate. We had said that last time, and we're stepping it up.

Similarly, as mentioned during the last call, we are shifting the nature and profile of used vehicle portfolio by keeping risk -first approach. Gradual ly, we've witnessed a shift in the mix of used vehicle sourcing. We've also introduced a risk -based scorecard to drive smarter decisions and stronger portfolios. The whole idea is sustained and quality growth even in this vertical.

Let me, at this stage, take you through a quick snapshot of all newly launched products and give you a sense of our level of readiness. I'm talking about the 6 that we have launched over the last 1 ½ months.

Starting with gold loan . While our digital products are scaling rapidly, we've also doubled down on our physical presence, especially through our gold loan business. Gold loan adds strength to our secured bouquet of products. We're looking at 400 branches by end of the financial year. They would span across states like Gujarat, Maharashtra, Rajasthan and Haryana predominantly, where we see strong market potential. The idea behind an expansion is to build strategic hubs in Tier 2, Tier 3 cities, locations t hat are underserved but rich in opportunity. These branches will be more than just gold loan centers. They will function as multi -product distribution points, helping us increase our share of the secured lending.

Similarly, let's look at a quick snapshot of Commercial vehicles with an aim to bolster India's infrastructure, logistics and supply chain sectors, we've launched Commercial vehicle loans, and have commenced disbursement in 3 key markets: P une, Mumbai and Calcutta in the first month of the launch. We're offering a tailored solution in the new and used commercial vehicle space for financing the small, light and heavy commercial vehicle operators.

1The reference to Q4FY2 6-27 stands corrected to March -26.

We are offering a technology solution focused on delivering seamless onboarding experience to customers. In the next few weeks, we will be rolling out mobility solutions with 25 -plus integrations through secure sources to validate KYC, customer details, as set details, bureau banking details, valuation and fraud checks. Key leadership teams across business and credit have been hired and onboarded. Further to augment our distribution, we've empaneled 100 + channels from strategic CV markets. So, this gives you a sense on these 2 businesses.

A quick one on Education loans. We've seen very encouraging response. It's just been 45 days and over 300 customer files at a ground level have already been logged in. We've got 25 educational consultants already tied up. In FY25-26, we aim to scale up our network to over 500 educational consultants' ballpark, and these consultants will play a pivotal role in helping us take this vertical to the next level. We already have built 100 members strong dedicated education loan sales team and through this engine, we plan to sanction and support approximately 3,000 -4,000 students within this financial year in pursuing their higher education dreams. Yes, we have made it digital first , and, it's partly. We are offering an industry -first instant sanction solution, which no one in the industry has, including fairly large players in the market , and I think we're building on that model along with setting up the foundation for education loan business.

Moving on to Consumer durable , a space that holds immense potential for everyday customer engagement and growth. The early momentum has been quite promising. We are setting ourselves an ambitious yet achievable goal. We're looking at 210 locations across 10,000 to 12,000 dealer points by end of the financial year. This will give us fantastic visibility and the business model will create a fantastic custo

mer franchise. We've also introduced our PFIN EMI card, which is designed to give customers access to pre -approved CD offers that they can utilize at their convenience at our dealer touch points. This is a huge step in my limited view, creating flexibility and accessibility in the way customers finance their everyday appliances and electronics.

Shopkeeper loans , we provide tailored financial solutions to small retailers and Kirana stores. In first phase, we are operational at 44 locations and institutionalizing our systems for a customer -centric approach.

At this junction, let me quickly pause and move on to a very important vector for us to stay cutting edge. Let me begin by sharing the marketing and the role of AI and subsequent projects of AI. I think this is a very important initiative for us because we 're going to look at tech as a very strong competing edge for Poonawalla Fincorp.

Marketing is going to be one of the critical departments where AI will play a critical role for us. While the financial service industry has adopted digital engagement in a big way, customers are flooded with messages we're all aware from multiple organizations, and there's a clear fatigue setting in. We've learned over years that the key to successful c onversion lies in how effectively

we communicate with our audience. So, the extent of personalization and relevance in our messages is no longer optional. I think it's a very important and essential in today's markets.

To give you a sense, we're building a full suite of artificial intelligence, both generative and non - generative capabilities across marketing life cycle. These capabilities enable us to reimagine our customer engagement and marketing campaigns with higher productivity, creativity and precision.

I'd like to share few quick examples of how we are leveraging the AI technology platform to improve our marketing efficacy. AI-driven customer targeting, that's one important area we're focusing on, one of the most significant advancements we've made is in the area of customer targeting. By utilizing AI, we have created a highly granular micro segments that mirror our best customers. This allows us to attract a high share of applications from top quality prospects. Our algorithms analyze vast amounts of dat a to identify patterns and characteristics that define our ideal customers, enabling us to target similar profiles with precision. This data -driven approach ensures that we are reaching the right audience at the right time, resulting in improved conversion rates and better customer acquisition outcomes.

At scale, we're looking at performance marketing optimization . In the realm of digital marketing, we are conducting over 100 experiments across our web and app platforms. These experiments involve various lines of communication tailored to specific customers, locations, languages and other vectors. This continuous optimization process will help us reduce the cost of acquisition in the long run. By leveraging AI, we can dynamically adjust our strategies based on real -time data and insights. This also gives us a huge strength of increasing our digital lending business

end-to-end done on our websites and on our app. This can be a game changer, like I said, over the next 3 to 4 quarters.
Building a comprehensive MarTech stack, we are scaling our customer base , we are investing in a full suite of marketing technology, tools designed to maximize customer life cycle value. These tools enable us to perform end -to-end channel measurements, campaign automation and delivery. Currently, we're running over 80 re -targeting campaigns daily across the acquisition funnel with zero human intervention. This automation not only increases efficiency but also allows us to maintain a high level of personaliza tion and relevance in our messaging. We are continuously stre

ngthening the stack to reach the benchmark standards of consumer tech companies. Our goal is to build a robust, scalable data -driven marketing ecosystem. That's the crux.
Another important area is website transformation and can we use AI for that. We've recently undertak en a complete overhaul of our website design to meet best -in-class design and personalization capabilities. This transformation aims to provide seamless engaging experience for our customers.
New capabilities to give you a sense like self -serve customer portal, QR code -based referral journeys and credit score checks powered by the bureaus, CIBIL and Experian. These features empower customers with greater control and convenience.

Transparency has been a cornerstone of this transformation. Customers now will have complete visibility into their journey. Looking ahead in Phase 2, we plan to further enhance our websites with a multilingual interface , a 24-hour support powered by conversational -AI, 5 new languages for broader inclusivity and integrated data platform with hyperpersonalization for real -time and tailored recommendation and an AI -powered interview system to streamline recruitment. These are the 4 fundamental ones for our web site transformation besides what we've already done.
As I engage with my marketing team, I'm gaining deeper insights in today's consumers. They are no longer passively looking at traditional ads but are instead consuming content in diverse forms across multiple platforms. We fully recognize that at Poonawalla Fincorp , this shift in behavior requires us to adapt as an organization and meet our customers where they are with content that resonates. Generative -AI is playing a pivotal role in this transformation for us. It is helping us scale our content creation processes, enabling us to produce high -quality , personaliz ed content across formats, text, images, videos and more , at unprecedented speed and cost efficiency. This allows us to engage with our customers in a meaningful way while also driving a higher productivity.
While we're excited about the transformation potential of AI, we are also mindful of the associated risk s, and we are managing them with full responsibility.
At the outset, I shared Analytics and AI are clearly emerging as key strengths, which will play a big role in all the models which we are creating and building in -house.
We are driving the AI -first approach across functions. And as we scale the organization, leveraging on our internal capabilities and strategic partnerships, these future -ready initiatives will lead to increasing operating efficiencies and productivities.
For a quick snapshot again, we had announced 7 precise AI projects in the last earnings call. Let me give you a quick update on the progress. I began with credit underwriting. We had deployed AI powerful tools to streamline operational aspects of the underw riting process. These tools assist in reading, validating and organizing inputs, data along with taking care of the basic communication to customer and field investigation agencies. This helps in improving turnaround time and productivity of our credit m anagers in retail lending, thereby accelerating human decisioning and enhancing risk management. We have already shared that this is leading to 35% -40% increase in credit managers' efficiency, and we've already launched the first phase of this.
In debt management , with the aim of enhancing efficiency, we now have capability to have micro strategies along with customer profiles, communication channel and engag ement timings on a unified platform. This transform s the collection journey while reducing manual effort and enhancing efficiency through predictive models, delivering around 2 x to 3x sharper risk assessments, and we're able to hit the customer or reach the customer much faster.
In aud

it, we have collaborated with ServiceNow to deploy generative AI solutions for improving audit and governance. This is with an aim to enhance accuracy and reliability of our

audit outcomes. The AI -powered analytics shall provide predictive insights, enable us to forecast potential risk s and take proactive governance measures.
In compliance function too, we've also introduced AI -based regulatory requirement scanning and gives a summary to compliance team with the recommendations that suggest updates to existing policies or the creation of new policies for relevant functions. This reduces any chance of delay in implementation. So, whether it's operating efficiencies or accuracy, each of the projects we are successfully executing.
This brings me to another important function for us, HR. As I've already shared details during my last call, we are utilizing AI tools like ML, LLM, computer vision in the area of talent acquisition , recruitment. We have reduced our time to 1/10 and increased our offer capacity by 10x. Further, as we continue to focus on improving the engagement and experience of our employees, the other AI initiative for us is the launch of MS Teams -based employee conversational agent. It will help resolve employee queries with a plan to make it agentic so that the agent can aid in acting on behalf of the employees.
In our ongoing endeavour to have a customer -first culture, our customer service department as part of the road map has introduced quality assessment tools for calls and e -mails, ensuring that time and efforts are saved. Review, assessment and feedback are being well managed, helping us improve customer experience and aiding in the reduction of complaints and repeat calls.
We've also done a fair work to identify 18 further incremental projects across departments, Credit, Internal Audit, HR, Admin, Infra, Analytics , IT, Customer service, Operations and other departments. They're based on the feedback received from the ground, which will improve productivity, bring in efficiency over a period of time. This is how we are building our in -house model and going about identifying and building the AI models.
Let me quickly give you a short sense on these 17 to 18 projects .
To begin with on the Analytics department , the team is working on automation of model design, orchestrated from data preview, preliminary insights to optimal algorithms, selection across the family of traditional machine learning and AI algorithms. The workflow is designed to save time for the analytics team, while at the same time, evaluating multiple algorithms and select /recommend basis performance comparison. This with an agentic architecture at the submission stage will support reporting and documentat ion. This is expected to be deliver ed by Q2FY25 -26.
In Customer service , like I said before, for improving customer service, we are creating a model of AI -first initiatives covering topics like predictive analytics that will help us , and will be used to analyze and anticipate customer needs /requirements. We're talking about human agent assist, leveraging the contextual UI and expect it to enhance productivity by providing agents with seamless access to all relevant information. We're talking about customer service AI agents with voice and chat created to e nsure the customers get consistent customized s ervice standards.

Incoming calls to call center agents will decrease systematically with enhanced productivity, leading to a more autonomous process that requires less human intervention. We are expecting all three to be completed by Q3FY25 -26 and one on the predictive analytics by Q2 of this year.
To further strengthen our risk management and credit and risk department , we are coming up with AI -based support tools for faster

and standardized data interpretation, optimizing
document parsing and validating to assist credit team and decision workflows, enhance multi -medium customers and stakeholder communication, automation in the underwriting process. These 3 interventions are slated to be implemented by Q4FY25 -26.
The internal audit and compliance department , our aim is to quickly flag unexpected behaviors and transactions, reducing potential frauds and errors in our models that we are creating, and this is to help us in automating the review process and minimizing false positive with more refined pattern detection . To be launched in Q2FY25 -26.
We aim to proactively manage the portfolio by detecting early signs of issues and leveraging on predictive insights and timely portfolio adjustment. This will be launched in Q3 of this financial year.
We will develop suspicious transaction report with the help of AI/ML, LLM, which will help reduce manual workload by automatically flagging potential suspicious transactions and model builds . To be launched by Q3FY 25-26.
We believe in improving the employee experience to level up the engagement. The first ongoing one is to be building an early warning system , which will analyze input variables related to employees, including sentiment analysis and to be able to predict probability of attrition at an

individual employee level . This could be very useful as a dipstick. The AI system will keep on learning from every event. That's the important part. So , a couple of quarters down the line, I expect this to start giving us much more multiple learnings on wh ich we can build new models. This is likely to be implemented in Q2FY 25-26.
The second one is skill building and enhancement assistant for employees as well , to be launched and implemented by Q3FY 25-26.
Since , we plan to launch 400 gold loan branches in the current financial year, we will introduce AI-driven solutions for infrastructure team, which will check the final draft vis-a-vis hard copy agreements recei ved, alerts to any deviations and reduce manual effort . This will be implemented in Q1FY 25-26. Similarly, AI system will assist legal documenting vetting as well. By the time we go live , it will be Q2FY 25-26.
In IT as well, we are building in 2 broad areas with the launch of new product lines like education loan, commercial vehicle loan, shopkeeper loans, it's increasingly critical to track the performance and progress of each product line. This would mean increasing requirements in our reporting capability. With the objective of optimizing and reducing turnaround time for reporting so that business is empowered , operation s teams are enabl ed to generate reports. It's envisaged

to launch DartGenie, which would enable the business and operations team to directly send report ing requests to datalake in natural language and in return, get the desired reports without any IT intervention. This will basically make it much quicker on the go.
BuildBuddy, this envisioned solution is integrating copilot with the existing toolkit, which would enhance the efficiency of the development teams to build and deploy much faster. This would increase IT teams' output per unit of investment in the resource pool, while reducing the overall cost of development and deployment. This is expected to go live by Q4FY 25-26.
Finally, in Operations , AI tools will be implemented for RC limit management. To give you a sense, that will analyze diverse data, including the post -disbursement document details, branch RC limits and other critical factors. This enables accurate , compliant , recommendations and automatically adjusting the risk limits. This will help the organization systematically process large volumes of data and add seamlessly to organizational requirement . To go live by Q2FY 25-26.
In Operations, Governance, Auto DQI

report will be used for predicting and enhancing accuracy of credit information company reporting. Leveraging AI -driven methodologies, this can streamline and optimize data management processes, ensuring that customer data is precise and up to date. It will identify discrepancies, rectify them proactively. To be expected to go live by Q2FY 25-26
Now let me give you a quick sense on Collections .
Over the past few quarters, we've significantly enhanced our collection processes and now are focused on fortifying our progress. In the last 6 months, we've improved forward collection efficiency by 9% to 10% in one of the toughest product lines and early bucket flows have moderated by more than 40%. This gives us great confidence.
Three pillars, I believe, has given a lot of strength to our collections: extensive use of advanced analytics, technology advancements integrating digital and physical collection stack, strategy and line teams embracing these changes. Effective data usage has sh own that prioritizing and risk grading of borrowers enhances operational efficiency substantially. Our bounce rates and collection efficiencies rank well with our internal risk scores, and we now reach customers 2x faster. The collection team has ful ly adopted technology, including the field app real -time productivity monitoring and persona -based digital engagement. We are also in the final stages of implementing industry -first technology for the real -time allocation systems. With these advancements, we are well positioned for the new product launches that we've discussed.
A quick minute on the important element of debt strategy that we are raising on the liability management side.
Robust liability management is pivotal to our business 's growth and profitability. We are fully geared up to be able to raise the quantum required to achieve our growth rates. We shall continue to diversify our sourc es of borrowing as well as broaden the lender and investor base to have an

adequate liquidity available. We have already achieved diversification across instruments like bank loans, ECB, commercial paper. Now an important element of our debt strategy is to have

clear and significant focus on raising long -term funds through NCDs over the next 3 to 5 years.
We have recently raised ■1,525 crores through NCDs in April -2025, which is in public domain. This issue was a fantastic success with competing pricing and participation from top 5 mutual funds and a bank. With this, NCD contribution increased now to 12% of the total borrowings as against the 6% as of March -2025.

Our debt strategy will have a bias to long -term funding through NCDs and our strategy will be a prudent balance of long -term funds and cost of borrowing. Our priority will be biased towards long-term funds. That's the limited point I wanted to park on the liability side.

With that, I've covered almost all the vectors. Thanks for your patience. I did cover the AI piece a little in excess, but I thought it's important because it's important for the company. With this, I would like to hand over to Shriram to give you a flavor of risk management and where we stand.

Shriram Iyer: Thank you, Arvind. Good evening, ladies and gentlemen.

The lending landscape has witnessed recent changes via regulatory guidelines aiming enhanced transparency, protecting consumers and harmonizing lending norms across financial institutions. This, coupled with a steep repo cut of 50 basis points in the last 2 quarters, intends to boost our country's economic growth.

With this emerging backdrop, Poonawalla Fincorp is geared and well positioned from a risk management standpoint. We are ensuring a well -calibrated AUM growth with risk diversification through launches of various products, along with consistently strengthen ing the existing product suit es.

Now let me give you a gli

mpse of the asset quality.

Our first EMI bounces improved over the last quarter by more than 25%. Sequentially, our overall credit cost, which was ■348 crores in Q3FY25 came down to ■253 crores in Q4FY25, resulting in a significant reduction in the credit cost by 27%.

The erstwhile STPL portfolio, which was at 21% of the total on -book AUM as of September - 2024, had come down to about 15% as of December -2024 and further, now it is down to about 8% as of March -2025. It is important to note that 80% of the residual book is zero DPD, and we do not expect any increased stress on the residual book.

Last quarter, we had ■520 crores of write -off in the erstwhile STPL, which included ■163 crores of accelerated write -off. I would like you all to take the note that there is no accelerated write - off in Q4FY25, and the policy write -off is only ■141 crores.

Our overall credit cost for erstwhile STPL has come down to ■137 crores in Q4FY25 as compared to ■200 crores in Q3FY25. That is a reduction of 33% over the previous quarter. This makes it quite clear that the erstwhile STPL issue has been addressed and with significant improvement in collection efficiency, we are in control of the residual book.

As I move on, I would like to apprise you all on the key building blocks the team has focused on by re -emphasizing sustainable profitability through a calibrated risk management approach.

First and foremost , with respect to risk framework, the rigorous recalibration taken up by the risk team with month -on-month tracking and cohort level decision variations on the existing book has meticulously yielded reductions in early delinquency , and I spoke about this on the first EMI bounces earlier.

The team is closely monitoring our Prime PL 24x7 that was launched, the industry's first end - to-end digital product, which is tailored with enhanced credit swim lanes to augment the credit decision journeys. The decision engine is supported by insights dri ven by alternate data, digitized information, company risk calculation and much more.

You will notice a strategic move o n the secured product launches covering gold loans, commercial vehicles, education loans over and above the existing secured product, there is a clear drive to improve the s ecured mix in the overall AUM .

Point number two , furthering the focus on strengthening and enhancing efficiency of the physical credit underwriting framework, PFL launched an industry -first AI -powered credit decisioning aimed at boosting the credit managers' productivity by 40% in retail lending. In partnership with IIT Mumbai, this solution combines artificial and human intelligence to automate the credit evaluation processes. By analyzing multiple data points, the solution helps credit managers to make quicker decisions while ensuring accuracy, e fficiency and scalability.

In the next phase, PFL aims to evolve the current AI functionality to more sophisticated self - learning AI model. This will leverage powerful deep learning algorithms, enabling autonomous decision -making and continuous system improvement through pattern recognition. Multi -modal communication capabilities will further solidify PFL's leadership position in technology -driven financial services, providing agility while ensuring the best risk management practices.

On the credit and fraud risk decisions , we are leveraging multiple solutions at a cohort level, driven by varied sources of information across credit history, alternate data, banking information via account aggregator, GST, partnership data and much more.
In-house calibrated models are augmenting the risk management framework, supporting decision around auto rejection, differential credit swim lanes, higher deviation authority, exposure limitation and pricing.
The analytics team has institutionalized a process of continuous model recalibrations

used at
various decision points across different products to align the evolving product mix. Given the

complexity and the velocity of data being utilized, the teams are moving the design structure from traditional models to machine learning algorithms.
Finally, our pivotal transformation initiatives in debt management have significantly bolstered our confidence. So let me detail some key initiatives already deployed in debt management.
A. On the collection side . Our in -house analytics capabilities have enabled us to design and deploy sharper machine learning models to assess not only repayment propensity at the borrower level, but models to identify optimal channel of customer engagement across the customer collec tion life cycle. To be specific, at the early bucket stage, sizable proportion of the customer cohorts are engaged digitally only for resolution, supporting cost -efficient channels.
B. Technology synchronization with business goals has supported monitoring near real -time portfolio performance, giving agility to take corrective intervention on the go and this is extremely important area in the debt management practices. Well thought through views of key input and output metrics get refreshed almost every 30 minutes. These dashboards are clickable with actionable insights, enabling even the ground level collections team to make timely , data-driven decisions and optimize performance at every stage.
I am humbled by the pace at which our collection team has adopted some of the best -in-class technologies to improve productivity, speed and precision to connect with the customer.
Our digital collection campaigns are getting sharper to balance the cost of engagement versus payment performance metrics.
We have introduced campaign management tools, allowing us to orchestrate digital and telecalling campaigns without human intervention, saving critical product time and ensuring error -free strategy implementation. We are also monitoring our digital campaign performance in real time, refining our deployment plans with multipronged personalized strategies.
Additionally, we are in the implementation of humanless field agent allocation system that reduces the time taken from 3 to 4 days to under a few hours to complete allocation . As of now, we are the ones who are going to implement that, enabling faster customer engagement post delinquency across digital, tele calling or field channels. Centralization of standardization of the processes reduces subjective decision -making and human errors, thus ensuring fairness and consistency. This data -driven approach blen ded with digital process adoption optimizes resource utilization and efficiency, and that's where we will be able to bring in resource management.
Lastly, GenAI is enabling us to monitor the call across agents with a focused scorecard and training guidance, replacing traditional limited manual sampling process. The scorecard provides insights into engagement quality, identify areas of improvement and drive targeted upskilling . This reinforces compliance and accountability across the collection engagement channel, and this is extremely important in collections.
Now over the next few quarters, we will be moving towards the adoption of a few advanced workflows , and I want to cover this.

1. GenAI -based actionable using near real -time performance insights for our line management teams. Managers will be able to sharpen their focus on areas requiring immediate attention by concentrating on micro cluster on the leaderboard.
2. Digital adaptation of state -of-the-art legal module . This will enable us to initiate paperwork digitally and monitor the impact of legal recourse in real time. This will reduce the long processing time due to manual efforts and enhance the ser

iousness of such actions for delinquent
borrowers.
The campaign management engine that we discussed earlier will autonomously consume and

analyze data across every customer interaction, including digital communications, tele -calling, field operations and legal actions. The tool will determine the best action for each customer without the need for manual intervention . This is an enabler for the strategy team to deploy 100 + micro strategies that are aligned with the customer profiles, preferred communication channels and optimal engagement timings.

As I conclude, I would like to share that we are excited about the future, and we are confident in our team's ability and unwavering commitment in continually delivering remarkable results by leveraging the tech advantage and focusing on risk -first princip le.

Thank you and I would like to hand over to Sunil Samdani.

Sunil Samdani: Thank you, Shriram, and good evening, everyone. Let me take you all through the quarterly and full year financial highlights.

• The Assets under management stood at ■35,631 crores, reporting strong growth of 42.5% YoY and 15% QoQ with good momentum across all our product lines.

• In terms of our AUM mix, contribution from MSME was 36%, followed by personal and consumer finance at 23%, loan against property and pre -owned cars at 24% and 14%, respectively.

• Our on -book secured to unsecured mix was 57:43 compared to 54:46 in previous quarter and 49:51 in the same quarter last year.

• In line with our debt strategy and projected AUM growth, we have further diversified our liability book with focus on long -term funds. The share of long -term borrowings has gone up by 207 bps QoQ .

• Going forward, the share of long -term borrowings is expected to improve further with greater focus on NCDs. In fact, in April of 2025, we've raised ■1,525 crores through NCD issuance subscribed by top 5 mutual funds and a bank. The share of variable rate borrowings in our total liability stood at 70%, which puts us in the advantageous position with the declining interest rate environment envisaged.

• Our Net Interest Income for the quarter stood at ■715 crores, up 12% YoY and at ■2,708 crores for FY25, which is up 23% YoY .

• Pre-provisioning operating profit (PPoP) during the quarter was at ■333 crores , as against ■373 crores last quarter. The PPoP in the quarter was lower due to investments in new

businesses and the change in mix with bias towards secured book. The PPoP for FY25 was ■1,417 crores, up 2% YoY .

• Opex -to-average AUM was 4.8% for the quarter and 4.6% for FY25.

• During the quarter, the credit cost reduced by 27% QoQ at ■253 crores against ■348 crores in the previous quarter.

• Our profitability has continued to improve in the quarter with a profit after tax of ■62 crores as against ■19 crores in Q3FY25.

• The asset quality remains stable with GNPA at 1.84% and NNPA of 0.85% for the Q4FY25.

• The provisioning coverage ratio stood at 54.4 7%. Cost of borrowing remained flat QoQ at 8.07% despite an increase in share of long -term borrowings.

• Our debt -to-equity ratio stood at 3.2x. This gives us enough headroom for our growth.

• Our capital adequacy continues to be healthy and comfortably above the regulatory requirement at 22.94%, of which the Tier 1 Capital is 21.67%.

• The LCR, the liquidity coverage ratio stood at 126% as of March 31, 2025.

• On the liquidity front, we remain comfortable with positive cumulative mismatch across all buckets and a surplus liquidity of ■4,686 crores as of March 31, 2025. Thank you, and I would now like to open the floor for question -and-answer session.

Moderator: The first question comes from the line of Roy Menes from Flagpoint Capital .

Roy Menes: So just 2 questions from my side. The first question is that, obviously, we are seeing a significant divergence between the asset

AUM growth and the NII growth. Can you give us a guidance or some sort of indication in terms of how will it trend going forwa rd? Because I'm assuming that you are investing in secured businesses, more prime customers, et cetera, because of which the divergence is quite high. But FY27 -FY28, how would it trend is something that I wanted to ask was my first question.

Arvind Kapil: Yes, I think not a specific guidance, but I'll give you an answer, which will give clarity. AUM growth because you see a diversification and our acceptance in the market of distribution. So, we are sticking to whatever guidance we have given on the AUM growth. It is moving better than expected, and it should continue on a robust scale from here on quarter -on-quarter.

Now why you find a difference in NII? Because if you recall, I had said that the earlier STPL, which was at a very high rate, which was creating a high interest - NII at that time or boosting it.

We had for 6 -7 months, slowed it down considerably from 1,000 to 150-200 levels and recalibrated it. But over the last 2 months, it started to inch upwards because the bounce rates there have actually improved considerably to 1/3 level. It's a very robust business for us now and we have now started calibrating it upwards. So, the future guidance is , it's going to inch upwards, but we're not giving any specific number to it right now. And that gap will start getting narrower, and it will be a strong strength for us becau se we managed not only to calibrate it well, it's actually turning out to be a big strength area for us from here on, not just for 1 year, but probably for a couple of years.

Roy Menes: Sure. That is helpful. My second question is, obviously, this year, the credit costs have been elevated. Again, I wanted to understand, I think I missed this part, what is the write -off for the full year? And for FY27 and even FY26 because that might be a stabilizing year. For FY27, any guidance on the credit cost and full year write -off number, if you can share that?

Sanjay Miranka : So, our full year write -off numbers are ■1,548 crores, and however, if you look at the Q4, the write -offs have significantly come down as compared to the write -offs which we have done in 2Q2FY25 and Q3FY25 .

Roy Menes: Right path in terms of credit costs?

Shriram Iyer: So, see, in the last 10 months, all our credit underwriting for incremental businesses, which we have risk recalibrated, every signs are showing better than industry trend. However, I would like to see the seasoning it out in the next 3 to 6 months before we put it out as a regular information to all of you.

Arvind Kapil: Just to give you a sense that every business that we have come in after the 10 months that we've been here, the calibration is showing better than industry across products. So , we are very clear because risk first is not just English for us. This is the way the business , we not only have capability to grow AUM, we have very serious capability to conduct risk railroads well calibrated enough that you will see scale of business and risk well calibrated. So, this area, as an MD, I can tell you that we'll only get better and better, and we'll probably strive to be the best - in-class on risk.

Moderator: The next question comes from the line of Chintan Shah from ICICI Securities.

Chintan Shah: So firstly, on the Opex piece, I think strong growth on Opex-to-AUM has also inched up for this quarter, and we have guided that it would be higher for another 2 quarters post it, it settles down. So, any broad ballpark number on what could be the prudent level which we are looking at Opex would settle in this ballpark rate? So that would be helpful on that. Yes, first is on that.

Arvind Kapil: See, Chintan, sorry, you finish. Sorry, I thought you finished, sorry over to you.

Chintan Shah: Sir, should I as

k all together ?

Arvind Kapil: No, no, let me answer the operating cost piece first, you can ask your next question. Would that be fair?

See, on the operating cost, we've already guided for around ■50-odd crores a quarter. Now the minute you launch 6 businesses, and you launch 400 new branches , there will be a temporary percentage to AUM increase, while our AUM is going to be very robust. But as a direction, a year down the line, which means March, 12 months later, we are internally aspiring to see a decline of the operating cost to the percentage of AUM. So, I've set a prudent measure, prudent levels reflecting operational efficiencies and scale. Internally, we put on ourselves that we probably should be in a position to have an operating cost with a slight declining trend.

2The reference stands corrected to ‘ the write -offs which we have done in Q3FY25 ’.

Chintan Shah: Okay. Sure, sure. And secondly, on the capital, if I look at the capital consumption, so we have almost consumed 1,100 bps capital during the year. And now we are around 22% on capital adequacy. So, in this year, can we see , given the strong growth momentum which you're looking at and the limited ROE profile, do we expect any fundraise in the near term?

Arvind Kapil: I think if I look at the crystal gaze, and we probably would look at early next year.

Chintan Shah: Sure, early next year means calendar year, yes, right?

Arvind Kapil: Yes. We'll see calendar or financial year.

Chintan Shah: Okay, sure.

Arvind Kapil: We're not giving any guidance on that, Chintan, let's just keep that open.

Chintan Shah: Sure, sir. That is fair. And just lastly, on this environment, if we see many players, they have

been reporting some inch up in the asset quality in some line there. B ut given that we are growing
at a very stronger pace and getting market share, so do we see any risk to our growth or probably
if things are to go back, do we trim our loan growth estimates from here on? Could that be a
possibility?
Arvind Kapil: See, if you look carefully at the minute details other than the fact that this management team has
a fantastic credibility with the distribution, which is playing out very well with our growth. We
are also, if you notice carefully investing in digital jour neys. We're investing in 24x7, across the
salaried, we're working on something on the business loan, which are probably the first of its
kind.
We've launched 6 businesses. All these 6 businesses, even if you look at the base effect, you
might see the percentage of AUM growth on the robust level and the whole idea of
diversification was, one, from a risk perspective, which is priority one. When you have 10 to 12
products, the diversified risk is substantially more manageable at all times in years to come.
And the second is if you want sustained profits and sustained growth, you need a representative
pool of businesses to help you grow. So, our confidence is that the base we are at and the kind
of products we have launched I think the guidance is, if you notice also, Chintan, every guidance
that we gave even 10 months ago, despite the multiple challenges, as a team, I think we've stood
by or exceeded most of them. And that's going to be our endeavor from here on as well. We see
robust growth ahead. And I think if the economy is operating at healthy rates the way it is right
now, I don't see any concern.
Chintan Shah: Sure. And just sir, lastly...
Arvind Kapil: The asset quality -- gets stronger, both on the quality of risk and asset building.
Chintan Shah: Sure, sir.

Arvind Kapil: Sorry, over to you.
Chintan Shah: And just lastly on the ROA for FY27. So, any ballpark range on what kind of ROA are we
looking for FY27 or FY26, given that it would be a robust year? And the ROA range pro

bably
for the secured business and the unsecured business, if you could just give any ballpark ranges
that would be helpful. That's it from my side.
Arvind Kapil: See ROAs will, in my view, keep improving because remember one thing I've said that our new
STPL book also, we've started building, which is fairly decent ROAs. Our business loans are
moving up quarter -on-quarter. So, I think we are very optimistic. I've given a clear guidance of
3%-3.5% in 3 years from the day I joined, it's 10 months gone, so you can subtract and do the
math. We are looking at 3% -3.5%. So, I think you will, at some point, start inching upwards.
The AUM, I can assure you, are all being constructed at 3 -plus percent ROAs and fairly robust
sensitive to the ROA models that we are trying to build. So, I think it's more about mixing of the
portfolios and gradually with every quarter getting better.
Chintan Shah: Sure, I think this is very helpful, yes, so I think that's it from my side.
Arvind Kapil: Even our guidance for profit for FY26-27 looks clear and strong, which we had given last
quarter. I'm just reassuring that it looks fairly on robust scale.
Chintan Shah: Sure. This would be largely on the back of lower opex and improving credit cost, right?
Arvind Kapil: Yes. So opex in 4 quarters, I think , we should measure of that opex in my limited view every
March for the next 5 years, and we'd like to keep an efficiency improving every year. That's
going to be our internal passion, internal what we assess is something we could pull off. And I
think we are working on a very well -calibrated model and fairly tightly measured. And every
step that we take, we are trying to make sure that our commitment stands strong. Now with 10
months, you can measure as well on all the commitments we gave and what we've achieved so
far.
Moderator: The next question comes from the line of Abhijit Tibrewal from Motilal Oswal Financial
Services Limited.
Abhijit Tibrewal: Just wanted to understand 2 things, sir. First thing first, I mean, how are we thinking about
distribution? I recall when we had put out the press release for the launch of our gold loan
business, we had spoken about, I think, 300 to 400 branches that we p lan to add. But how are
we thinking about approaching the distribution for the other 5 newer businesses that we have
launched? That's the first question.
And the second thing is, sir, when you joined, you had spoken about opex to the tune of about
■50 crores higher for the next 6 quarters. Is it going to be the same trajectory? Or are we looking
at maybe accelerated opex for the first few quarters and which is where we talk about opex to
AUM declining significantly by the exit quarter, Q4 of this fiscal year?

Arvind Kapil: All right. Let me start with your second question because I gave some color to it just some time back. I think on the operating cost, it might go slightly higher in the next 2 quarters, and then it will start tapering down is my assessment. And like I said , Q4 this financial year, we should be able to get fairly prudent levels vis -a-vis this March to next March, and we should be on pretty solid expectations in terms of efficiencies and scalability that we are trying. That's one.
Your first question was regarding distribution of each of the businesses. See, each of the businesses, if you see carefully, has a very distinct distribution.
For example, branches which we are opening are going to be gold loan branches. So even if you see these branches, they have a headline of gold loans. So, they're going to be focused gold loan branch. If you look at each of the business, consumer durable is more at a point of sale. We are focusing on Tier 2, Tier 3 cities. And we've received very robust feedback and promising start that we've had. Our risk calibration is very tight. So, at the point of sale, I've sai

d around 10,000
to 12,000 outlets is what I'm looking at within the 4 quarters. It will give us massive visibility and business.
If you look at Kirana stores, it's going to be shopkeeper loans. We could have 1 to 3 people depending on the catchment running a unified direct channel, just sitting there, not customer -facing, but utilizing the space for business loan, LAP and Kirana sto re, which we will utilize it for good ROA combined business.
And commercial vehicle, obviously, the business runs at dealerships, and that's the point of sale like you have consumer durable dealers. Commercial vehicles , we've given you an idea about a couple of them that we've already started business in a robust manner, and we are scaling that up. So similarly, I think each business has a very precise plan.
On the personal loan side, we are focusing a lot, not only on the DSA network, but we are very excited about the 24x7 product for top corporates and the scale we are building. So, as I talked to you, we're already seeing business happening every month on an end -to-end fully digital. And if you see the micro details of the industry, most banks, or for that matter, most of the industry players are not able to pull this off.
At Poonawalla Fincorp, we've already managed to walk this road for an external customer. And like I said that one of the biggest strengths of Poonawalla Fincorp will be using digital journeys, risk-first approach, risk analytics and AI, in our assessment of external customers with technology. I think that's going to be a very strong tech competing edge for us. And this is not a theory anymore. We can see this monthly, daily, business run rates have started kicking in.
So, I hope that gives you a quick sense.
Abhijit Tibrewal: Sir, and just one follow -up on the?
Arvind Kapil: I said we are not seeing any surprises. We are on course to what we decided to achieve and whatever guidance we are giving you, seems to be we are walking that road. Statistics will all fall in place as long as we keep galloping on whatever we are promisin g you. I see that as a

strength. Now with 10 months down the line, it's much easier to see ahead. It's a clear road ahead for us now, the way I see it in my limited view. Sorry, over to you.
Abhijit Tibrewal: Got it. Got it. And sir, just one last question that I had on the opening remarks that we gave. I think during the call, we shared that 80% of the residual STPL book is now zero DPD, and we are not expecting any additional stress from the residual STPL book. So, suffice to say that, I mean, going forward, maybe in the next couple of quarters, there will be no accelerated write -offs or higher credit costs coming out of the residual STPL book?
Arvind Kapil: I think if you carefully go through the transcripts of what Shriram explained, 2 things in my understanding, which we look fairly confident on. One is we've not done anything which is called accelerated write -offs. We've just had normal flows. There's been no surprise this result per se in terms of the way we move quarter -on-quarter in terms of whatever guidance we gave and whatever confidence so far we've been ex uding . I think the worst is behind us in a limited sense, he told you the credit cost technically in the quarter is visibly down.
He said 80%, if I'm not mistaken, is looking zero DPD of a book, which is probably 7.9% or 8% of the total. So that used to be, I think, 24%, 22% or something.
Shriram Iyer: 21%.
Arvind Kapil: 21%, and it's down there, and I'm expecting that to rapidly reduce as we proceed in this quarter. And I think , I heard him say that this is -- we look totally in control. And I think collection efficiency is rapidly improving. And I think the best test is you've seen the credit cost decline itself probably validates that. To answer to your question, I think the worst is behin

d us. And
like I said, the horses on the courses. And I think we're galloping with a clear view ahead is my assessment.
Abhijit Tibrewal: Got it, sir. That's all from my side. And I wish you and your team the very best.
Arvind Kapil: Thank you so much.
Moderator: Ladies and gentlemen, we take that as the last question and conclude the conference of Poonawalla Fincorp Limited. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

July 31 , 202 5

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NSE Symbol: POONAWALLA
Dear Sir / Madam,

Subject: Transcript of Earning/quarterly conference call for Q 1 FY 202 5-26 – held on Friday, July 25 , 2025. Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘SEBI Listing Regulations’).

Reference: Regulation 46(2)(oa) of the SEBI Listing Regulations

This is in continuation of our earlier letter s dated July 18 , 2025 and July 25, 2025 and pursuant to Regulation 30 and 46(2)(oa) of the SEBI Listing Regulations, we hereby provid e the link of the transcript of Company’s Analysts (earning/quarterly) conference call for Q 1 FY 202 5-26 held on July 25, 202 5.

The transcript of the Conference Call can be accessed at: -

https://poonawallafincorp.com/documents/20121/0/Poonawalla -Fincorp -Ltd-+Q1FY26 -
Earnings -Call-Transcript.pdf

Kindly take the above intimation on record.

Thanking You,

Yours faithfully,
For Poonawalla Fincorp Limited

Shabnum Zaman
Company Secretary
ACS■13918

Poonawalla Fincorp Limited Q1 FY25 -26 Earnings
Conference Call

July 25, 2025

MANAGEMENT : MR. ARVIND KAPIL - MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER
MR. SUNIL SAMDANI - EXECUTIVE DIRECTOR
MR. SHRIRAM IYER - CHIEF CREDIT AND ANALYTICS
OFFICER

Moderator : Ladies and gentlemen, good day and welcome to the Poonawalla Finc orp Limited Q1 FY25 -26 Earnings Conference Call.

We have with us today on the call Mr. Arvind Kapil – Managing Director & Chief Executive Officer , Mr. Sunil Samdani – Executive Director ; Mr. S hriram Iyer – Chief Credit and Analytics Officer and oth er Senior Management Officials.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Arvind Kapil – Managing Director & Chief Executive Officer of Poonawalla Fin corp Ltd . Thank you and over to you, sir.

Arvind Kapil: Thank you. A very good evening to all of you. It's always a pleasure to interact . Maybe the right time looking at the excitement today, I think it would be best to start with our take on the industry and probably the best way to welcome the First Earning s Call of FY25-26. Let me begin by sharing an industry perspective from our lens and how we are building Poonawalla Fin corp in the context of the way industry is behaving.

Firstly, a few bullet points so that all of us are on the same page the way we see it :

- We witnessed a robust demand for retail loans, and we see strong consumer confidence in spending, which supports the economic growth outlook. So, we are very positive on it.
- Secondly, we are sensibly using this opportunity to build our secured book as of now , and at the same time we are also building an unsecured book in a well -calibrated way to follow it. So, you will see a substantially more secured book for this financial year followed by an increasing unsecured book as a broad approach. This is exactly in -line with our risk -first approach f or our building blocks.
- We see a huge role and usage of Tech and AI Agentics - the way we see it in the industry. I think that will be a game changer . The vectors on which we are working , whether it's risk calibration as a value add over traditional techniques for more accuracy or for fraud detection plus quality assessment in underwriting.
- We have the risk -first approach which means if we have to choose between risk and growth ever , without a blinking an eye , we will choose risk as an option. We don't see that time. We see a very optimistic road ahead for the country.
- We also see immense value getting added from the credit bureaus and the name of the game will be risk calibration and one of the cornerstones for any company in my limited view will be strong risk analytics.

Let me begin with a few comments on the strategic front. So , the development o n the strategic front is as follows :

- This quarter for us and I would use the word - marks a significant milestone as we completed a full year of successful execution of the building blocks or the strategic roadmap you may call it. The results are very clearly right in front of all of us . Over the past one year, our priority has been on laying robust foundations and building scalable systems . Over the next three -four quarters , our focus remains on building the AUM, pulling up all the levers that we have set in place.
- I am happy to share that we are already seeing a very healthy credit calibrated growth in the existing products and a very strong momentum in the newly launched businesses that we have over this quarter.
- Other than AUM , we have also got a clear focus on AI, risk -calibration , and credit costs - which is now lower compared to the previous quarter and probably a noteworthy number. I will cover that in detail as well.

• We have also substantially strengthened our long -term liabilities through raising NCDs. I will cover that in detail as well. So, that's a quick area that I will cover.

Let's start with the performance updates . I would like to give a quick update on Q1FY26 r esults: Our AUM grew by 53% YoY and 15.8% QoQ, standing at around Rs. 41,273 crores as on June 30th, 2025. Total disbursements in the quarter grew by around 13.6% QoQ to around Rs. 10,651 crores. We expect healthy AUM growth in the financial year, which will likely be not ches better , I believe , than our guidance for this financial year of around 35 %-40%.

During this quarter , we witnessed a moderation of our Net Interest Margin which was anticipated as part of our ongoing portfolio calibration , particularly with the erstwhile ST PL book transitioning to low er yield coupled with low er contribution in the overall book. This recalibration is a deliberate and strategic move to improve risk -adjusted return of our portfolio. As we actively scale up disbursements of the newly well -calibrated , high-quality book of ST PL and other new products which we have already kick -started and gradually reduce the share of the erstwh ile ST PL book, we expect NIM s to be back at around 9 % within the next 3 -4 quarters.

Next, I want to highlight the Risk-First Approach in the organi zation, maybe a minute or two here.

Let me give you a glimpse of our trends in credit costs which will be later covered at length by Shriram. Here is a quick snapshot :

Our first EMI bounces have improved by over 25% compared to our last quarter . And there has been a sequential improvement in credit costs during the quarter. The credit cost improved by 53 basis points to 2.61 % for all businesses.

Another important point here now that I am going to cover is the credit cost for 12 core products which exclude STPL, which is a new disclosure that we are doing this time, improved to 1.43% driven by around 80% of risk-calibrated AUM. So, let me just explain this to you.

So, on an overall basis , we have come down by 53 basis points to 2.61 %. If I exclude ST PL, we have approximately 12 products and the credit cost of that is close to 1.43 %, which I would tend to believe is in the range of relatively the best in the industry so far and this would be approximately 80% of your Rs. 41,000 crore s odd total. So, you can calculate that. This I believe, adds considerable strength and solidity to our risk -first approach and understanding of our credit portfolio and this additional disclosure that we are doing the first time should give adequate visibility to investors on what road are we walking, what quantum o f stuff we are working on, how rich our analytics is and how effective we could be on scale.

As we assess our credit cost outlook, we anticipate some quarter -on-quarter variability in these building blocks due to changes in composition mix , for example as our consumer durable goes up and stuff like that. We are internally focused and confident that our disciplined approach of credit calibration plus collection will translate into a year -on-year improvement in credit cost metrics with a noteworthy reduction in 2 to 3 years for sustained profits. Basically, what I am trying to allude to is that forget the variability a little bit here and there , but b roadly, if I were to take a big picture of a year -on-year, we see a declining trend on the two figures I shared with you overall , plus excluding ST PL for the visibility , and we see noteworthy improvements on these levels in two to three years. And rest I will leave it when S hriram kind of covers it at greater length.

I have shared a quick snapshot so far of the robust AUM. Just a quick summary , so that we are all on the same page , reduction in credit cost including a new disclosure of excluding STP L. Let us move o

n from here to the borrowing part. Let me give you the color of the borrowing mix. I think in the last three to four months, predominantly last quarter, on the borrowing side, which is the liability side, we are making noteworthy improvements in NCDs. The share of NCDs in our total borrowing has increased from approximately 7% as of March -2025 to approximately 24% as of June -2025, so, you can well imagine in 3 to 4 months . Additionally, we have already added another ~Rs. 1000 crores in July, which is in public domain. Th e cost is fairly noteworthy reduced compared t o the term loans that we were getting from banks. So, I think it is a significant positive step in terms of 24 % to probably 26%-27% odd as I speak to you. But it is a noteworthy area that we have picked up within the first 12 -13 months and especially signific ant over the last three months.

Most importantly, the Board of Directors have approved the raising of the funds by issuance of share equity on a preferential basis to the promoter at the meeting concluded today. Very significant step in my view. Subject to all requisite approval, the promoter shall infuse ~Rs. 1,500 crores equity capital on a preferential basis at a price which we have disclosed in public domain of Rs. 452.5 per share. Th is, I believe, will strengthen our capital base, infuse further confidence in our long-term sustainabl e strategy.

From a product update side, we launched a couple of businesses - six to seven businesses. Let me give you a quick sense between existing and new businesses, what is the kind of momentum :

We have tried to give some numbers here to give you a color on the quantum of numbers so that every quarter you could get a sense there. Our LAP book grew by 128% year -on-year and 22% quarter -on-quarter. Similarly, business loans grew by 57% year -on-year and 10% quarter -on-quarter.

On new businesses, the first one, let me cover Prime PL that was launched in August '24. It is exhibiting a very healthy pace of growth. Incremental dis bursal s of more than Rs. 300 crores in the month of June -2025 which highlights healthy traction in the market. This number reflects the credibility that we have with our channel partners and institutionali zed turnaround times that we have built at the back end for quick response to the market. Just to reiterate, through -the-door quality of Prime PL customer profile is substantially better as incremental sourcing is skewed towards better income profiles & best-in-class company categories. And our risk analytics is playing a key role. The strength and quality of our customer base is looking very encouraging. This is a clear indication that we are attracting financially better profiles. These are individuals of capacity and also the intent to repay. These metrics are clearly a reflection of our unwavering commitment to risk -first.

On our industry -first PL Prime Digital 24 x7, we have started to clock healthy run rates both on the website where customers are directly coming to us as well as from our Fintech partners who are creating embedded journeys of us. We have created embedded journeys which will strengthen us with the first -right -to-refusal. Imagine a Fin tech who comes to me because we have the digital journey of a prime customer, white collar employee and he chooses to give me my kind of pricing just because I give a 24 x 7 convenience. We believe that this will be cutting edge in the next four to six quarters. We h ave maintained that on a daily run rate. We have started moving upwards every week and it's a very healthy rate of growth.

A quick snapshot of the Gold Loan :

As our digital products are scaling rapidly , we are also doubling down on our physical presence, especially through gold loan branches. Gold loan adds strength to our secured bouquet of products. It's a very healthy RO A bu

siness in a seasoned state.

Our customer journey is settled, and our product is also well received in the market. Initial feelers are very positive. We already have dis bursed around Rs. 31 crores in the month of June and through the set of branches that we launched in Phase -I. We are going to scale up the business momentum across the set of new branches as well. We are receiving a very fantastic initial response on the productivity per branch. We are happy to share with you that out of the 400 branches that we committed , as we speak 80 branches are already operational and they are across Gujarat, Haryana, Rajasthan and Maharashtra. We are on track to meet our objectives of launching 400 branches by March -2026. 95% of the branches have come up in Tier-2 and Tier-3 cities.

Moving on to Consumer Durable :

We officially launched it , I think on 22nd April this year and the earl y momentum is quite promising. To give you a sense , towards the end of the last quarter we have already signed up with ~3,000 dealers across 160 locations. We plan to be present at 210 locations across 12,000 dealers by the end of the financial year. So, from ~3,000 dealers we will probably go for 12,000 dealers by the end of this financial year. The business traction is building well. We have already acquired 15,000 customers, disbursed Rs. 34 crores in the month of June in a short span and I think every quarter we are looking at a very decent momentum here. We introduced the PFIN EMI card which is designed to give customers access to pre -approved consumer durable offers that they can utilize at their convenience at any of our dealer touch points. This product is also getting well r eceived in the market and the penetration of PFIN EMI card on our consumer durable customer base is muc h higher than our expectations.

Our next newly launched business Commercial Vehicle Loan:

We launched the business on the 17th of March and are already disbursing Rs. 92 crores. Our disbursement trajectory is on an upward trend with disbursement of Rs. 47 crores in the month of June. We commenced CV business in Maharashtra, West Bengal and expanded into geographies as NCR, Haryana, Gujarat, Tamil Nadu, Andhra Pradesh, Rajasthan and Madhya Pradesh. As of now, we are present across 27 locations in 10 states. We are activating Chhattisgarh, Telangana, Karnataka in the upcoming months to continue increasing the geographical footprint.

By the end of Quarter 1 , we completed onboarding of ~200+ distribution partners in India and we intend to double this over the next one quarter. The hiring plan for expansion also remains on track. We have on boarded 50 + relationship managers, Zonal/Regional /Area all levels . As mentioned in the last call about our plan to roll out mobility solutions , we have successfully launched a comprehensive digital solution in the current quarter. A digital customer onboarding platform with 25 + API integrations with fr ictionless customer onboarding experience. This has gone live in June this year. Till now, the emphasis was entirely on the Used CV segment. We are happy to share that to further strengthen our presence in the space; we will be launching even the New commercial v ehicles at appropriate pricing.

Now on Education Loans , a quick sense :

We launched education loans in the mid of March and in just 90 days, we have logged in 4,000 plus education loan files till date . We have already on boarded approximately 100 partners , now remember, in education loans, you've got counselors as your partners and some of them are very large -scale companies. These are key education consultants with ex pertise of over 100 member dedicated sales teams. By the end of FY25-26, we will scale up our network to 500 plus education consultants and will sanction approximately closer to 4,000 students within the financial ye

ar.

We are offering an industry -first initiative of providing digital instant sanction in the education loan industry. The team has crossed their first disbursement milestone of Rs. 56 crores in the

third month itself, that's June -2025. That gives a sense of momentum or ground level f eel of these businesses.

Let me give you a quick sense now and change our course to digital marketing and AI . Let me move on to the most important vectors that give us the cutting edge as we scale. These are digital transformation , digital marketing and AI. I will cover each one of them with a bit more granularity because we are investing time and effort in it. We see a huge correlation with our strategy including digital journeys as well.

In digital transformation with the perspective of building a future -ready , customer -first lending institution , we are working on three key strategic initiatives aimed at driving business impact and future readiness within the organization. Each of these initiatives are anchored in the core priorities of a modern lending institution like us - improving our efficiencies and enhancing customer engagement.

• Our first initiative is sales efficiency and customer acquisition cost optimization - One of the most critical focus areas of any lending business are these two. We are currently undertaking a comprehensive three -prong ed initiative that aims to streamline sales workflows, leveraging digital tools for performance visibility, enhancing conversion effectiveness. This project is designed to create a leaner , smarter and more accountable sales ecosystem. These initiatives are like :

o Rapid response sales deployment using location intelligence

o We are building an agentic assistive intelligence at point of sale -What will set us apart is our contextual haptic feedback system which actually gives discre et prompts to executives during live customer interaction. This enables AI driven comprehension and real-time recommendations

o Performance /KPI-linked nudging engines that is a Nudge IQ that we like to call

• The second initiative is Unified customer experience. This initiative is centered on unifying and elevating the overall customer experience. In today's competitive financial landscape customer experience encompasses every interaction a customer has with our brand. Our approach involves integrating touchpoints, reducing friction and delivering consistent , personalized experience, which is why we call this ‘experience ’ and not just ‘service ’. And our approach will be an intelligent omni - channel humanoid respo nse layers.

• The third initiative in our digital journey is the Next-Gen Digital Journey s, that focuses on the creation of complex , multi -layered digital journeys tailored to the diverse evolving needs of our customers. These journeys are designed to offer seamless navigation , contextual interactions and intelligent decisions across multiple products. The goal is not just digitization , but the differentiation that we create - positioning us ahead of the curve .

o role-based app interfaces that work seamlessly and orchestrated by an overarching system

o for that matter multi -layere d verification with inbuilt A PIs that we are creating
o automatic dis bursal pathways
Let me pivot now towards the next most important vector for us , and where a lot of work is happening internally - it is expanding our digital reach . While everyone is building the top of their physical footprint, let me tell you that we are not just building the footprint but also accelerating our digital reach. It's being achieved by building best -in-class digital marketing capabilities and interventions , which are focused on creating robust , scalable and data -driven ecosystems .
Let me highlight our progress in a

few key areas :
• First is the significant progress that we have made in scaling our digital marketing initiatives , leveraging AI for both effectiveness and efficiency.
On AI -driven experimentation - Over the past six months , we have conducted more than 500 experiments across various vectors including location, audience segmentation, creative personas , and end -to-end funnel optimization. These experiments have enabled us to scale our digital marketing efforts by 5x , which is why I am making the effort to share this with you because it is making a lot of difference to the customers who are moving to us on the website . So, that's the key takeaway. Imagine a company that had nothing on the customers coming on the website or app and today on a daily or weekly basis , we have a significant increase.
• Now , to diversify and strengthen our acquisition strategy , we are moving towards an omnichannel engine to expand our digital presence and reach target customers via various channels.
We have achieved channel diversification towards App. Today 44% of digital marketing dis bursals are coming from App - result of a strategic transition from a web - only sourc ing model to a more diversif ied web+app sourcing strategy. We are in the process of scaling our presence beyond Google and Meta ecosystem across multiple digital affiliates /publisher networks enabling us to access ad inventories across thousands of platforms with AI -led real time-bidding at lower cost of acquisition.
This is a pretty significant step because this will start creating a cutting edge for us in attracting customers and these acquisition costs start getting lower with time to come.
• Thirdly , we are investing in optimizing the entire customer journey to improve conversions and manage acquisition costs . We conducted an in -depth analysis to understand customer’s behavior and key motivatin g factors driving them to take action in utilizing the insights to get them back on their journey. We have established early warning mechanisms to identify and address potential breakages in the funnel in real-time. This proactive approach has helped us improve end -to-end funnel conversions.
• Fourth, we are focusing on building capabilities that help enhance our visibility on AI -powered answers on search engines and AI platforms , as today a large part of Google's search results is driven by AI.

• Fifth, we are investing in AI -led MarTech for growth . Onboarding industry ’s best tools to manage our own channels such as WhatsApp, SMS, RCS (rich communication service) which offers unparalleled opportunities for high conversion campaigns.
• Sixth, we are revamping our app to drive engagement. Our monthly app installation has grown by 10x in the last three months, depicting the growing importance of mobile platforms. So, this is a fair amount of effort and time invest ing that is happening in this area .

I will now cover the next important vector, the key emerging strength for us - AI.
• We have launched a long -term initiative to predict customer health through unified risk and revenue lens. We are creating a dedicated innovation space that brings analytics and AI together. We believe this fusion could create the magic and excitement that creates a set of new products , fostering rapid and iterative learning . That's important for a company to generate something on a constant basis and that's the kind of machine we are trying to build.
• By embedding this fusion of technologies into our customer onboarding process , we gain a 360 view of each customer's profile - assessing credit risk , revenue potential , and overall health in the real time. It's a long -duration project and we are working with IIT on all this . It's a very rich project with a fair amount of work required on it.

Let me give you a quick update now

as we have already announced AI projects that are running
in the organization and additionally, we have identified 10 incremental projects now. This is just to give you the sense that now we are scaling a total of 35 projects of relevance, of which eight are already completed and executed.
Let me give you an update on the incremental projects . A quick snapshot as I will run through it just to give you a sense .
In HR , for candidate search , we are building a sourcing engine that uses job portals for identifying ideal candidates , leveraging AI to streamline and enhance the recruitment process . By applying AI driven algorithms , the system can analyze job role requirements and automati cally source best candidates' profile. T his enables the creation of an active and dynamic candidate pool and gives us strength to pick and choose at the right time with speed.
Another one in HR is the integration of employee relations , ER, into the complaint resolution management , CRM, which aims to automate the current manual workflow. The idea is whether it's a support function like AI , finance or various others , we are reaching a level where every department is working around creating projects which could solve the problem using AI and iteratively get better over the next two to four quarters.
In finance, for example , we have identified three AI projects to give you a sense : Finance bot , Payment operations and I nvoice auto verification .

The first one , we will create and implement the finance bot for analyzing competition financial reports and internal financial data . It is designed to profile real -time insights , trends and comparative analysis through intelligence . By leveraging natural language processing and autonomous agentic AI -driven solutions , the bot can interpret user queries , extract relevance financial metrics and generate meaningful visualizations and summaries for the users .
For payment operations , the automation of the approval , invoice management , and tagging process is aimed at streamlining financial workflows and reducing manual intervention . By implementing intelligent automation, the system can efficiently ro ute invoices for approval , manage reco rds with minimum error . This enhances operational speed , ensures compliance with internal policies , overall leads to faster processing, better audit readiness and of course productivity.
Another AI project that's worked on in finance is invoice auto verification where invoices will be read and verified based on the policy. T his process of reading and verifying is based on predefined policies and use cases designed to enhance accuracy and efficiency by automating invoice validation.
In treasury , for example , we are implementing a query bot for live monitoring and analysis of market movements that's designed to deliver real -time insights into the financial trends , news and media events that impact market positions. Powered by AI natural language processing the bot continuously scans enterprise market data news articles and social media to identifying emerging patterns. I t enables users to perform deep dives into specific sectors and companies.
In operations , for example , we have identified three additional projects that are being rolled out - Auto knock off / Waiver in matured contracts , Re-KYC and S tamp verification to give you a few ideas.
Auto knock off / Waiver in matured contracts : The AI -enabled console for stamp paper reconciliation is designed to automate and optimize the entire lifecycle of stamp paper management. It leverages artificial intelligence to predict procurement needs based on historical consumption data. The system fetches state-wise and value -wise stamping charges to allocate appropriate digital stamps.
The idea is that whether it's finance , treasury , operations or whethe

r it's as simple as a Re-KYC ,
we are using AI or at least building the blocks . So, it's the mindset of the organization that's moving towards a certain quality of efficiency.
For example, take Re-KYC , it's a simple item but the implementation of AI -based automation communication system that aims to transform customer engagement and compliance management by leveraging intelligence automation. This system enables timely , personalized outreach .

Stamp verification, for example , a console for overall stamp paper reconciliation . By integrating AI, the console can streamline the reconciliation process and provide valuable insights to

optimize procurement strategies.
Imagine in Admin and Infrastructure , we are taking up travel booking automatio n of cabs, flights , hotels . The chatbot interacts with the users to collect their trip details and then processes the booking through an integrated sales platform.
It's not about how big or small it is rather it's about the message that I want to leave i.e. AI that we started off almost three quarters ago , we are building it and trying to transform . I think we have managed to get the mindsets changed . The whole organization is talking a certain language of innovation , re-engineering processes and getting smart because we want to create a smart organization.
Before I end , the AI piece , let me give you an update on the snapshot of the work we have done on AI -first approach in credit underwriting . That's one of the big ones for us .
Our AI -led transformation is not just a technology upgrade for us , it's a strategic evolution of how we underwrite credit , manage operations and analyze portfolios. Several high -impact initiatives are currently under development , each designed to unlock scale , precision and agility. Our upcoming enhancements in commercial and consumer loan underwriting will bring sharper customer insights , faster decision ing, setting new benchmarks in turnaround and accuracy. It's not just about using AI , technology and analytics for turnaround times , we are looking at very high levels of accuracy . Whether it's technology , analytics or technology on an overall basis there's fair amount of options to upgrade even the traditional methods to be more accurate and that's what our experiences are teaching us.
Another key capability slated for release in the second quarter is AI -powered credit bureau analyzer . This solution will enable sharper visibility to borrowing behavior , delinquency patterns , and credit exposure. We are building intelligent agents that will streamline document workflows , data entry , reduce operational lag , and improve pre -underwriting readiness.
These systems are expected to significantly lower processing costs while enhancing compliance , speed and customer experiences. Deployment is expected by late Q3, but we are very excited about it .
As you hear me covering these details , which is important because this could be pretty significant from an industry point of view as well on accuracy first , turnaround time and the speed of automation in terms of how fast we can move forward ac ross products.
Our work in portfolio i ntelligence is equally exciting. W e are developing advanced ML and LLM based analyzers that will identify risk signals early, monitor behavioral trends , and generate actionable insights. These tools are designed to simplify month -end reviews , prioritize

high-impact segments , and eliminate bias through data -driven clarity all using natural language interaction with AI. Rollout is planned between Quarter 3 and Quarter 4.
Our direction is clear : we are embedding AI first approach into our problem -solving ability.
We believe that institutions that integrate AI first strategy and user centricity into their core

will
lead the next wave of financial innovation.
Quick snapshot on the debt strategy that I cover ed earlier :
We continue to optimize the cost of borrowing . We are broadening our lenders and investor base as part of our long-term debt strategy . We aim to achieve share of NCD of around 35% of the total borrowing over the next couple of years. We follow the highest standard of governance .
We have already achieved 24% as of June . In line with the guidance provided last call , we have successfully raised about Rs. 5,200 crores through the secured NCDs and Rs. 250 crores from subordinate tier 2 capital debentures for Rs. 5 ,450 crores during Quarter 1. As a result , the share of NCDs moved from 7% to 24 %+, as we added around Rs. 1,004 crores in July itself.
Finally , to summarize and put all perspectives , whatever has been said over the last 12 months has been clinically executed with proper planning in every vector of business and with every word of our commitment. Be it new business launches, the timeline s, AUM growth, risk, AI, analytics, liabilities, NCDs, or credit cost – so credit cost that's another one. T his gives us the conviction that our strategy is professionally on the right track and delivering the intended objective s. Our strategy focuses on driving innovation through AI , digital journeys , and risk analytics and is gaining very healthy momentum. We have managed to get ET Now - Most innovative organization of the year 2025. Additionally , our commitment to enhance customer experience was acknowledged in the Express BFSI Technology Award. We have also won the Technology Senate award for AI by the Indian Express group . We continue to maintain our confidence on the high for our growth trajectory , maintaining a balance and sensible risk level .
We are very conscious of t he commitments that we make.
With this I would like to hand over to S hriram to give you a color on the Risk Management .
Shriram Iyer: Thank you. T hank you , Arvind. Good evening , ladies and gentlemen.
The Government's vision of 'Viksit Bharat ' underscores the pivotal role of NB FCs in driving

economic momentum. The recent regulatory measures reaffirm the strategic emphasis on NB FC led credit expansion as a key lever for stimulating growth. Union budget further highlights continued focus on strengthening the NB FC regulatory framework , aiming to improve governance, risk management and financial stability.
A significant change to the new income tax regime by increasing the tax rebate threshold and adjusting the slab structure , resulting in zero tax liability for incomes up to 12 lakhs , is a strong stimulus to the consumption lending.

Further the retail lending trends from Bureau 's reflect healthy growth of 27% from NB FCs year -on-year.
Poonawalla Fincorp 's strategic investment in the last few quarters of being ready with multiple product lines across the retail lending space aligns with the market potential coupled with the current industry momentum. We are well positioned to capitalize the opportunity with a well calibrated credit mix. The secured product launches have ensured a balanced AUM mix along with diversification.
Our secured mix to the AUM was 49% for Q1FY25 to now 57% for Q1FY26 .
Focusing on the asset quality , let me give you a glimpse of our key trends :
Our GNPA remained stable at 1.84 %. Our first EMI bounces have improved over 25 % compared to last quarter.
There have been sequential improvements in the annualized and quarterly credit cost. The annualized credit cost improved by 288 basis points from 5.49 % in FY25 to 2.61 % for Q1FY26. The quarterly credit cost has improved by 53 basis points from 3.14 % for Q4FY25 to 2.61 % for Q1FY26. Please note the detail shared is for the overall PFL book.
We are doing an additional disclosure of 12 businesses without STPL , wherein th

e credit cost is
1.43%. This 1.43% is driven by approximately 80% of the risk calibrated AUM reflecting PFL's robust credit underwriting, collections and portfolio management practices positioning it favorably within the industry landscape.
As we assess our credit cost outlook , we anticipate with composition mix changes in the building blocks ph ase, we maintain guidance of 1.5% to 2% , but internally we are committed and confident that our disciplined approach of credit calibration plus collections will translate into improved credit cost metrics year -on-year with noteworthy reduction in 2 -3 years for sustained profits.
A quick snapshot of the erstwhile STPL portfolio which was at 8% of the total on -book AUM as of March -2025, is down to about 4% as of June -2025. Our credit cost for erstwhile STPL book has come down to Rs. 64 crores for Q1FY26 as compared to Rs. 137 crores in Q4FY25 which is a reduction of 53% over the previous quarter.
We are actively monitoring the rollout of our digital lending products across both salaried and self-employed segments. Our strategy focuses on expanding credit swim lanes to capture business opportunities , while maintaining prudent risk controls. Teams are continuously refining the decision engine framework leveraging diverse data sources to enhance credit assessments.
Further , let me give a short deep dive on key drivers the team focuses on supporting the calibrated risk framework as we build our AUM :

On the desired recalibration , the diversification in the business strategy leads to a shift in sourcing mix . Aligning to the change requires a continuous risk calibration process. In-house models go through a continuous evolution focusing on building sharper cohort level models , driven by varied sources of information. With the increasing complexity and variety of data coupled with the new product launches , multi -layered model strategies are being designed. The risk strategies driven by the se model support data driven decisions , focusing on operational efficiency of the credit processes and this is through auto rejection , augmenting the risk framework via deviation level risk mitigation , exposure limitation and pricing.
Our pivotal transformation Quarter on Quarter in debt management practices and initiatives , shoulder the strategic business growth and provide confidence to scale. This is powered by advanced analytics , GenAI and best -in-class digital collections infrastructure. Right KPI's at the fingertips o f the ground level collection team support to influence a data driven decision and optimize performance at every stage.
In Q1FY26 , we implemented the human -less field agent allocation system that reduces the time taken from three to four days to under a few hours to complete allocation enabling faster customer engagement post delinquency across digital , tele calling and field channels.

Centralization and standardization of the processes h ave reduced subjective decision making and human errors , thus ensuring fairness and consistency. This data -driven approach blended with digital process adoption has led to optimized resource utilization and efficiency.
As I conclude , we are energized by the opportunities ahead and deeply confident in our team's capabilities and steadfast commitment to excellence. By harnessing our technological edge and staying anchored to a risk -first approach , we remain focused on consistently delivering remarkable results. Over to you, Sunil.
Sunil Samdani: Thank you , Shriram and good evening , everyone.
Let me quickly take you through the financial highlights for the quarter :
The Assets under management stood at Rs. 41,273 crores , reporting a strong growth of 53% year-on-year and 16% quarter -on-quarter with continued momentum across all our products .
In-line with our debt strategy , and the projected

AUM growth , we have further diversified our
liability book with a focus on long -term funds. The share of long -term borrowings ha s gone up 14% quarter -on-quarter from 61% to 75% on the overall borrowings.
As of June of 2025 , we increased our NCD mix including the sub debt to ~24% of the overall borrowing from about 6% in March -2025. Further in July 2025 , we raised additional Rs. 1,005 crores. With this, the total YTD NCD raise goes to Rs. 6,463 crores. Going forward , we will continue to focus on raising long -term funding through NCDs and maintain a prudent balance of long -term to short -term funds.

The share of variable rate borrowings stood at ~56% with another ~11% of capital market borrowings with an average tenure of approximately 3 -months , puts us at an advantageous position with declining interest rate environment envisaged.
Our net interest income , including the fees and other income continue to grow healthy standing at Rs. 768 crores for Q1FY26, u p ~7% quarter -on-quarter. This is despite an increase in share of secured asse ts book, recalibration of erst while STPL portfolio and higher debt to equity ratio.
The cost of borrowing s lowered to 8.04% for the quarter versus 8.07% in Q4FY25. This again is despite the increase in share of long -term borrowings.
Our OPEX to average AUM was at 4.8% as we continue to invest in new businesses and distribution. In -line with our growth strategy , during the quarter , we increased our employee base to 4,685 and expanded our branch network.
Our pr e-provisioning operating profit, PPOP, during the quarter was Rs. 325 crores.
As mentioned, the asset quality remained stable with gross NPA at 1.84% and net NPA at 0.85%.
The provisioning coverage ratio stood at 53.93%.
Our profit after tax was at Rs. 63 crores during the quarter as the company is making significant investments in new businesses, branches, AI and technology.
The debt -to-equity ratio stood at 3.72 x, which gives us enough headroom for growth.
Capital adequacy ratio continues to remain healthy and comfortably above the regulatory requirement at 20.55% for the quarter as of 30th June of which the Tier-1 capital is 19.02%.
The liquidity coverage ratio stood healthy at 130% as of 30th June 2025. On the liquidity front, we remain comfortable with positive cumulative mismatch across all buckets and the surplus liquidity of Rs. 4,465 crores as of 30th June 2025.
Thank you for your patient hearing and now I would like to open the floor for question -and-answer session.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. The first question comes from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chintan Shah: Thank you for the opportunity and congrats on the quarter. Firstly, on our MSME book, it is around one -third of the total book. Could you help me with the split into secured and unsecured for our MSME book which is 36% of the overall book? So, that was the first question.
Shriram Iyer: So, if you ask for MSME book, around 65%-70% of my business is mortgages which is LAP of which 75 %-80% are all self -owned property. So, to that extent, the LAP book is behaving

extremely well for us. So, it is secured if you ask me - overall, it is around 6 3%-70% is the range which I could give you.
Arvind Kapil: But overall, MSME for us is going to be a very robust growth engine and I see a great opportunity both on the business side as well as I don't see any concerns on the risk on the portfolio. Even our new calibrations and the way 30 -60-90 is going, my assess ment is that it’s a fantastic opportunity in terms of well -calibrated risk. As a matter of fact, if you look at our GNPA on that, it is fairly low right now and it is not a small size, and we are

very focused on it being very well
calibrated. We are not in any hurry. So, we are following our philosophy that it should be good quality and that is what we are doing. So, in our case, MSME, whether it is this or we double on this, the quality will be well calibrated. You can be rest assured. The GNP A on that is really low right now.

Chintan Shah: So, on this 20% STPL book, entirely is the STPL book in erstwhile or is it new? And so, in what time is it expected to run down the erstwhile STPL book? By what time will it entirely run down?

Shriram Iyer: So, our STPL book as I had said, it is around only 4%.

Arvind Kapil: No, he is talking about if 4% is old STPL. He wanted a breakup . So, the old STPL is around 4%, the rest of it which you see is new, well calibrated and there it is almost really -really very good and solid business that we are growing in a conscious manner, and we see a huge upside there. That is what I said, in the whole construct, I deliberately had a very high proportion of secured businesses first, followed by unsecured businesses. That is the model. So, your old STPL is around 4% left, tha t is about it. Out of which also , I think you ha ve a decent proportion at zero dpd and all that .

Shriram Iyer: Yes, absolutely.

Chintan Shah: So, and just on the capital ra ise. So, now this Rs. 1,500 crores promoter of capital raise , so that would be it or would we also be looking to do any second round of current raise or any other capital ra ise?

Arvind Kapil: So, this Rs. 1,500 crores which the promoter has put in, we welcome it as his confidence in growth capital. We have always maintained that on external raise, we would want to look at anything in the range of debt -to-equity of around 4.75 to 5 ballpark, t hat is what we have because I want to, with our RO A projections, I want to look at healthy RO E as we proceed ahead, three years down the line. I mean, that is the line of thinking.

Chintan Shah: And so, on a steady state basis, once the OPEX normalizes and credit costs, as you already mentioned, it would stabilize around 1.5 % to 2% is what our guidance is. So, any ballpark steady state RO A which we could be looking at, probably from two years down the line?

Arvind Kapil: See, we always have very stretched internal targets but let me stick to our guidance. Our guidance is June -2028, we have set 3 %-3.5%. Internally, we always love to scramble to beat expectations

as by now you have seen us over the last four quarters. So, I will leave it at that. I think it's always better to be conservative and overachieve. We like to do that if we can.

Chintan Shah: Sure. I will join back in the queue for follow -up questions. Thank you.

Moderator: Thank you. The next question comes from the line of Abhijit Tibrewal from Motilal Oswal Financial Services Ltd. Please go ahead.

Abhijit Tibrewal: Thank you for taking my question. So, Arvind, just two things for me is , NIM s for us continue to contract. So, if you could just explain what is resulting in this NIM contraction and somewhere during your opening remarks, I also heard that we spoke about getting to steady state margins of 9%. So, by when can we reach those 9% margins? And this margin compression that we have seen for the last two quarters, for how long is that going to sustain before we stabilize and the margin starts inch ing up towards 9%? That's my first question.

Arvind Kapil: See, the environment when you are building blocks , understand the philosophy, I have given very clear guidance that within four quarters, in our internal assessments we have 9%. And to give you a sense, the compression is because the old ST PL book ha d to be reduced. We had to clean that up and the new ST PL book has started to rise. Our digital journeys on very healthy ROAs, they have started to rise. But as they start rising ev

ery quarter, they will start adding
positive value to the NIM s. But the reason I've given you a four -quarter kind of outline is , so that allows us to very sensibly build the model. I am not so worried about NIM s. Please understand that as the company starts growing from here, we have launched multiple products, we will have a substantially increa sed customer franchise. So, as your cross -sell starts increasing next year, from April onwards as well, you will get not only the unsecured piece sensibly well - calibrated rising, but you will also have your cross -sell piece rising. But if you see in the first year of operation, cross -sell is very, very low. And as the company starts expanding on its customer franchise, we come with very strong experiences there. We also have digital journeys, which are one of its kind in the industry. So, both on new acquis ition as well as cross -sell, we could make significant progress, and both are extremely positive for the NIM s in terms of a structural construct. But when you build a business, it's more important to build solid business first rather than NIM s first. That's important to understand as a philosophy because we have taken a position of risk first, which is what we are walking right now. But I've given you a clear visibility to NIM s. So, I am not too worried about NIM s, by the way.

Abhijit Tibrewal: So, just to sum that up, sir, basically it will take four quarters thereabouts, is it? So, for the next few quarters, we might see a NIM compression before it stabilizes and the n gradually starts --

Arvind Kapil: See, hear me very clearly. I said four quarters, which is 12 months, you will hit an approximate

figure of nine . So, that's exactly what I am saying. I am not saying it's going to compress till then. That's your assumption, not mine.
Abhijit Tibrewal: Got it. This is clear now. Thank you so much.

Arvind Kapil: When you're building a business i t's very important to bias towards solidity first. NIM is a much easier part from our perspective to achieve. Remember, we have launched two major digital journeys, STPL we have recalibrated it , things are positive and, on the rise, here. So, we have managed to get our costs down. We get our secured up. And we wanted the risk calibration of unsecured to get a little more time, which is what it's done, so that it's more seasoned before we start scaling it up at a much decent rate. And that's what we are entering now. So, things should only look up. But we have given you broad guidance in terms of so that you have that clarity. Over to you. Next question ?
Abhijit Tibrewal: Got it . This is useful. The second thing was on credit costs. While you guided for steady state credit costs of 1.5 % to 2%, what we have seen now remains significantly elevated. So, what will the trajectory be like? Again, as you e xplained, margins will get to 9% in the next four quarters, 12 months. Likewise, if you could just give out the trajectory on credit costs and how they could trend over the next four quarters ?
Arvind Kapil: We have said what we had to say. My limited point is, there are two figures that we have done this time. One is an additional disclosure. So, let me reiterate that for everybody's consumption. 3.14% has gone down to 2.61 % on an overall level. That's level one, 53 basis point reduction. That's not elevated if I see all the NBFCs, by the way, just for my academic knowledge. The second one is, if I remove STPL from there, we have done an additional disclosure that 12 of my busine sses, which is ap proximately 80% of approximately Rs. 41,000 crore s which might be what, 35,000 -odd 32,000-33,000 crores , whatever it is. That is a decently sized book, which is a credit cost of 1.43 %, even if it goes up by 10 -20 basis point, hypothetically on a quarter -on-quarter basis, or you even v

ary that slightly and year-on-year, we have given a projection on
both these figures will come down and are noteworthy in the next two, three years. So, this is important to absorb and understand what I am saying. If you look at 12 businesses and you compare it with, these are almost projections of 12 businesses out of my 13 bus inesses, which is very close to banking kind of NCL . I've not seen this in the NBFC world, by the way. So, these are not significantly elevated anymore. These figures, please get these figures absolutely clear what I am saying. These are precise disclosures, which should have no doubts what I am talking about . Thanks.
Abhijit Tibrewal: Got it, sir. And then last question, as you have acknowledge d, MSME has been in the storms since yesterday. So, if you could just help us understand.
Arvind Kapil: I never acknowledge . That's your statement.
Abhijit Tibrewal: No, sir. That's what I am saying. But what I am trying to understand is if you could help us understand our MSME business a little better, right? Because I got a little confused when we said that 60 %-70% of our MSME is secured against property. I was under the impression our LAP book that we report separately, right? That is the loans that we give out against our property. So, MSME, I mean, is it secured, unsecured? I am just trying to understand that a little better. And also, within MSME unsecured that we do, I am assuming we also do business loans. So,

what kind of ticket size do we do in business loans? What's the usual turnover of the micro enterprises that we cater to in our MSME business?
Arvind Kapil: So, MSME for us, I think what S hriram was alluding to, and he can chip in if he likes, is 63% of whatever MSME we do happens to be secure. So, that's point, approximately ballpark what I heard him say. But more importantly, whether it's secured or it's unsecured, whether it's loans against property, whether it's business loans, or any of the other versions of MSME that we do, what I can assure yo u is, is extremely well calibrated on the risk side. Now, industry might be going through its various, I don't think there's anything too unusual about when I was handling, before my previous assignment, a very large portfolio as well. I think we have always had these situations of MSMEs - always have to be very well risk -calibrated. I don't see any storm in the industry in my assessment. These storms have always existed if you don't calibrate it well. So, to blame the industry is not something I see that way. I see that if you've got to be well risk-calibrated , and the industry is what it was, I don't think there's a deterioration in the industry level, and I am not a large enough size to comment on it. So, I don't see it that way. And so that's what I like to share with you. As far as the book is concerned, it's behaving really well right now. So, that's all I can share with you. Our new calibration will be extremely well calibrated because

that's what we are here for. But I don't even think industry is at any concern level, to be honest with you. If you don't calibrate yourself we ll, it's v ery easy to blame the industry.
Abhijit Tibrewal: So, that's fair. And thank you for a detailed explanation. That's all from my side. Congratulations and b est wishes to you.
Arvind Kapil: Thank s.
Moderator: Thank you. We take the next question from the line of Mohit Jain from Tara Capital Partners. Please go ahead.
Mohit Jain: Hello. Sir, this is regarding the STPL portfolio. I guess it was 8% in the last quarter, and right now I think it's down to 4%. And you have earlier said that 80% of this portfolio is well calibrated with zero DPD, and you don't expect any slippage from that. So, for the remaining 20% of the portfolio, right now I think you have said that the figure for the STPL provision is Rs. 6

7 crores.
That seems to be a pretty high NPA we are having in that portfolio. Can you just clarify on this one, sir?
Shriram Iyer: If you look at even the balance book, as I said, yeah , we have a substantial amount as I last time disclosed. It's a zero DPD book. Second is we are carrying sufficient provisioning. So, to that extent, I don't see any kind of an issue out there. Second is from a collection efficiency standpoint, we have significantly improved our collection efficiency. So, with a 4% with a zero DPD book, which is substantial enough, and we have sufficient provisioning around it, I don't see any issue. And if you ask me, the problem actually doesn't exist now anymore. It's ju st over next seven to eight months, it may kind of run off. And we have sufficient provisioning around that.

Mohit Jain: Just to clarify, sir, just to re -frame the question. So, right now the old STPL is around Rs. 1,700 crores, like 4% roughly. If you are saying 80% is well-calibrated , the remaining 20% is around Rs. 500 crores -Rs. 600 crores, on which we already had a quarterly provision of Rs. 60 crores - Rs. 70 crores. So, that number seems to be very high. So, is it fair to say that 80% of the book is completely clean and 20% is almost going to be written off sort of a book which is gradually, we don't expect m uch recovery there?
Arvind Kapil: To be honest, better to be conservative on that and we like to believe the same, but it's better to be watchful ti ll it's gone, a lright ?
Mohit Jain: Yes. T hank you , sir.
Moderator: Thank you. The next question comes from the line of Kaitav Shah from Anand Rat hi. Please go ahead.
Kaitav Shah: Good evening, sir. Just one question on the MSME book. In terms of credit underwriting, we have always h arped on stronger credit underwriting. If you can tell us a bit more about the book in terms of leverage, financial leverage of your customers, what proportion of the book would be to more than three or four lenders, something like that, at least at the start of it?
Shriram Iyer: Kaitav , this is S hriram here. In fact, that's a great question and you actually answered my point. The biggest challenge today in the MSME book was the leverage part of it and that's where we look at the number of enquiries in those set of customers and the enquiries are mo re than two to three even enquiries. Forget about even having being a third or fourth lender, we don't even look at those kinds of transactions. That's one of our gatekeeping criteria and that's one of the reasons that our M SME book is fully under control.
Arvind Kapil: That's a good question and actually it answers what probably we should have answered in the first time. So, it's a good question and that's why you see that our quality of the book always remains a little more risk-calibrated because some of these things we don't get very tempted to kind of walk something which we are not very comfortable with.
Kaitav Shah: Sure, thank you. I think that was my only question.
Moderator: Thank you. The next question comes from the line of Sanjay Chawla from Renaissance Investment Managers . Please go ahead.
Sanjay Chawla: Good evening. Thank you for the opportunity. My que stion is, you mentioned that STPL, on your core book excluding the STPL credit cost is 1.43%. Can you give a sense of what has been your credit cost experience d on the new STPL book so far, especially in this quarter?
Shriram Iyer: On the new STPL book, I can say that my che que bounces have come down significantly by around 70% and my collection efficiency has significantly improved by 40%. We are still at a building block stage, the seasoning of those loans are yet to be seen, but it is by the che que

bounces being down by 70% itself gives us, it's a very encouraging result fo

r us and we don't
see any challenge in terms of portfolio quality on that book.
Arvind Kapil: As a matter of fact, after adequately seasoning and waiting for it patiently, last quarter we have started scaling it up and that's why I wanted the secured books to be of a certain size before we start scaling it up and I think it's, we are very excited about it, as a matter of fact, if I can use that word, because it's very decently well calibrated.
Sanjay Chawla: My question was, to quantify it, the credit cost on your new S TPL book, would it be higher than the blended 2.61% this quarter?
Arvind Kapil: Yes, because it's a high ROA and high, that's a different one. That's why I've given you details of, if I give you the rest of the book at 1.43 % and I give you this at 2.61 %, that answers your question, my friend. And that's a 25% yield, it is a very different business. That's the reason I said all other businesses being in a certain price range, we singled out one business. I have not singled out consumer durable, we have kept it as part of the regular retail chain, but all regular consumer businesses of 12, we have just put it together as an additional disclosure to give exactly the sense which you're asking.
Sanjay Chawla: Got it. So, the other question is, what kind of outlook do you have on the OPEX increase now, having completed one quarter for the rest of the year?
Arvind Kapil: We expect that our OPEX as a percentage will go up, it hasn't gone up by the way. So, we have done some bit of hard work. But I think when you increase 80 branches, you increase around 1,000 plus people, we are building that up. While on one side, we are working a lot on AI projects, a lot of them will get commissioned in the third quarter and a lot of efficiencies will start building in the Quarter 4, which will obviously have annualized impacts. So, plus we have aggressive plans on growth as well, because our risk calibration is looking pretty good. Imagine 12 business at 1.43 % is almost like ban king levels. This is not what I get to see in the NBFC world. So, I think we will keep our options open. So, what's the best optimization ? I've given you enough guidance to get a sense, but I think we are in full control of the ship now. This looks like from here on, things look on a very good note, but we will obviously, this is a finance business, so we always have to keep ourselves grounde d.
Sanjay Chawla: Okay, Got it . Thank you.
Moderator: Thank you. We take the next question from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.
Nischint Chawathe: Hi, thanks for taking my question. Two questions, actually. If you could give some color in terms of the segment al yield for at least the key lines of businesses, and the other thing is, some sense in terms of sourcing mix that you're looking at, which is basically broken up into in -house versus a third party sort of a distributor, either digital or physical ?

Arvind Kapil: See, our bias is all our businesses have been designed keeping in mind 3%-3.5% ROAs. Now, I don't think on an earnings call, I can summarize all yields, but these are obviously healthy yields. Our cost of borrowing, my OPEX costs, if I have to make it 3%-3.5% , all six businesses that I've launched with a bias towards healthy ROAs, because that's what we have given a commitment we want to reach or exceed, whatever. So, with that, we also have STPL that we have managed to reduce our bounce rates , get the thing recalibrated. We have a lot of digital journeys that we even run on higher pricing than regular businesses that we run for price, for convenience, whether it's personal loans that we are surprised positively to see that our daily run rates seem moving on a healthy level at very decently high yields. Some of them are even at a 4% ROAs. So, I think that'

s how I normally like to answer these questions, is sort of giving a competing strength sort of what pricing each business I do. But it's all healthy pricing, we are in this business to make money. So, we are very clear, risk -calibrated and we want to make money on this. So, this has to be on healthy ROAs, which is why you see some of the businesses which are low ROAs have not launched only, because they're much easier to do.
Nischint Chawathe: It's essentially 5% pre-tax ROAs, what you're looking at ?
Arvind Kapil: I mean, we have given a post -tax kind of guidance of 3%-3.5% . I will probably maintain that at the right time. So, we will go with that. See, most of the guidance , we move to 30 -35%, we beat it, we kind of exceeded that. We said, second year 35-40%, we have given you a guidance that it will be not ches better. Our risk cost has come down. We have given you additional disclosure on credit basis. Investo rs have been asking . You need it greater , it was a fair point. I've given you 12 with a percentage that none of the NBFCs have right now. And this is a Rs. 33,000-35,000 crores odd book, which is not like some Rs. 8,000 crore s book. So, I think it's got enough on the table for you to do the math and figure out what's the post -tax ROA, pre -tax. But allow me to stick to the guidance we have so far given here, because I think quite a bit before I speak any different line. That's the reason I would like to stick to what I said.
Nischint Chawathe: Yes, fair. And if you could give some color on sourcing, in terms of how much of it could be in -house versus, where you could use some channel partners ?

Arvind Kapil: Fair point. I t must have been a little complex, but I will give you a sense. I covered something called digital marketing. The reason I covered that was to give you a sense, while it sounded a little complex or it sounded theory, the real reality is we did Meta, Google and a whole lot of other channels that we are activating , this company never had direct digital business or PL Prime or business loans coming in closing end -to-end digitally. To create that m arket is what we are working on. A nd as you create the first level, the second level becomes much lower cost every year because the cross -sell goes up. The net impact starts getting positive and positive. So, what happens, the company acquires 100 customers next year, 20 %-30% of them come in as cross - sell and your overall cost starts actually becoming extremely advantageous. So, if you see the whole model is fairly thought through. My sourcing is through DSAs. My sourcing is creating two industry -first digital journeys, which will both be for business loans, as well as white collar personal loans. We are going to price for convenience, and we have made it successful in the personal loan side already, by the way. We haven't disclosed the daily run rates , but it's on a

healthy level already. And that ’s the beauty is that keeps increasing. Even every two weeks, we find that the level is going up because that's how the word of mouth and that spreads. So, we are investing a fair amount of time and effort to develop that ecosystem. I think that will also give us a cutting edge in terms of first right to refusal. Look at it simplistically. Imagine a Fin tech who's giving business to your top banks today, why shouldn't it embed my journey and give me the business that we approve at my pricing? It doesn't have to do anything, but there's a huge amount of customers who want the loans at 5 in the morning , 11 or 11.30 sitting in their house. They don't mind if the EMI is what they can afford, and the profiles are right. Convenience, pricing for convenience is a very dumb thing in the world. And we get good customers; we get the first right to refuse. So, you have digital journeys sizing up in a big way. You've go

t physical
journeys also we are investing. For example, on one side, we are coming up with industry first digital journeys. On the other side, I've said 400 gold branches. Why? Because if we had a break even in 13 months, and my team tell me we could be breaking even 11 months hypotheti cally, or earlier, let's see how it goes quarter and quarter. It could be early to co mment . But let's say then you can size up both opportunities and in a seasoned state gold could be a 4% RO A business. Why shouldn't we set that up? So, we are here to make money in terms of professionally on the company. It's very important that we build both on the franchise of physical and digital as long as it makes good ROAs. And like I said, we will raise external capital at 4 .75- 5 and with our projections, why shouldn 't we aspire for a 20 % ROE in the third, fourth year.

Moderator: Thank you. Ladies and gentlemen, we take that as the last que stion and conclude the question -and-answer session. I now hand the conference over to the management for their closing comments.

Arvind Kapil: Thank you so much for such a large audience showing interest. We are truly honor ed. Thank you so much.

Moderator: Thank you. On behalf of Poonawalla Fincorp Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2025

October 27, 202 5

BSE Limited
Corporate Relationship Department 25th
Floor, Phiroze Jeejeebhoy Towers, Dalal
Street, Fort,
Mumbai ■ 400 001.
BSE Scrip Code: 524000 National Stock Exchange of India Limited
The Listing Department,
Exchange Plaza,
Bandra■ Kurla Complex, Bandra
(East), Mumbai ■ 400 051.
NSE Symbol: POONAWALLA
Dear Sir / Madam,

Subject: Transcript of Earning/quarterly conference call held to discuss Unaudited financial results for quarter ended September 30, 2025 – Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘SEBI Listing Regulations’).

Reference: Regulation 46(2)(oa) of the SEBI Listing Regulations

This is in continuation of our earlier letter s dated October 09, 2025 and October 17 , 2025 and pursuant to Regulation 30 and 46(2)(oa) of the SEBI Listing Regulations, we hereby providing the link of the transcript of Company’s Analysts (earning/quarterly) conference call for Q 2 FY 202 5-26 held on October 17 , 202 5.

The transcript of the Conference Call can be accessed at: -

https://poonawallafincorp.com/documents/20121/0/Earnings -Call-Transcript -Q2FY26.pdf/

Kindly take the above intimation on record.

Thanking You,

Yours faithfully,
For Poonawalla Fincorp Limited

Shabnum Zaman
Company Secretary
ACS■13918

Encl: As above

Poonawalla Fincorp Limited Q2 FY25 -26 Earnings
Conference Call

October 17 , 2025

MANAGEMENT : MR. ARVIND KAPIL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. SUNIL SAMDANI – EXECUTIVE DIRECTOR

Moderator: Ladies and gentlemen, good day and welcome to the Poonawalla Fincorp Limited's Q2 FY 25-26 Earnings Conference Call. We have with us today on the call Mr. Arvind Kapil - Managing Director and Chief Executive Officer , Mr. Sunil Samdani - Executive Director , Mr. Shriram Iyer- Chief Credit and Analytics Officer and other senior management officials.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Arvind Kapil, Managing Director and Chief Executive Officer of Poonawalla Fincorp Limited. Thank you, and over to you, sir.

Arvind Kapil: Thank you. A very good evening to all of you. Wish you all and family a happy and prosperous Diwali. It's a pleasure to interact with all of you. Let me begin with a broad quick sense in the industry perspective that I see , which trans lates I believe into the growth story that we are following right now.

If you look at the domestic econom ic activity, it remains resilient in our assessment and is expected to maintain momentum. I believe supported by key domestic drivers like GST reforms, moderation in the inflation, cut in the CRR repo rates. I also see the GDP expansion has been very robust in Q1FY26 .

Now coming specifically to Poonawalla Fincorp, we are currently in an intensive investment phase that is strategically designed to drive long -term predictable, sustainable profitability with a risk -first and governance -first approach. This expansion will enable us to achieve stronger operating leverage, result in lower credit cost ratios that we're aspiring, higher sustained profitability and, of course, improved RO As.

Let me give you some precise points or sense on the key highlights for the quarter.

• Our AUM grew at around 68% year -on-year, 15.6% quarter -on-quarter, standing at Rs. 47,701 crores as on September 30, 2025.
• Total disbursements in Q2FY26 grew by around 16% quarter -on-quarter in comparison to 13.6% growth in Q1FY26 . Disbursements have almost doubled on a year -on-year basis.
• Our new product disbursement stands at approximately Rs. 750 crores for the month of September 2025 . The whole idea was to give you guys a sense as to how the ground level traction is playing out for the new products that we launched probably not more than 5 -6 months ago.
• New product contribution to disbursement in Q2FY26 stands at 17% compared to 11% in comparison to the previous quarter, which is Q1FY26 .
• Our on -book secured mix stands at 56%.

• Shares worth around Rs. 1,500 crores have been infused by the promoter. You're well aware of that , through the preferential issue on the private placement in Q2FY26 , which reinforces the promoter's confidence.
• Net interest margin stands at 8.4% in Q2FY26 versus 8.32% in Q1FY26 . So, it's an uptick of around 8 basis points. I think it has started to move up.
• Our GNPA for Q2FY26 stands at 1.59% versus 1.84% i n Q1FY26. It's a drop of 2 5 basis points. I would treat this as a pretty important and noteworthy. Noteworthy, I would treat it because if you really go into the details and you see the GNPA, it remains stable in absolute terms, too, which is the absolute cost was Rs. 711 crores this quarter as against Rs. 712 crores last quarter despite the growth. So , the 1.59%, I think, would be fairly solid in my assessment.
• Our Stage 1 asset rose to 97.1%, another point that I would treat as a pretty solid for our foundation that we've reached as compared to 96.5% in Q1FY26. Now why i s Stag

e 1 assets
important? Because this reflects stronger asset quality and stable borrowing performance. And this is, in my experience, a true representation of times to come on the credit cost. Because if your Stage 1 asset rises to 97.1%, even if you see industry standards, we would

be fairly on a strong wicket compared to probably the competing landscape. And this improvement underscores our continued focus on the prudent underwriting and effective risk management. So , both GNPA as well as Stage 1 assets, I think, is a significant turning point if I have to look at the future in terms of our credit costs.

• Our stated objective is to achieve one of the best -in-class credit costs . And with that, we stand by. These two indicators that I just gave you are, I think, on a fairly solid wicket.

• We've launched around six or seven businesses. They will pick up scale in different proportions over years. You will have the same calibration playing in the range of 1.5% to 2% as the new product contribution gets more representative in size. So, they have better yields, they're more representative in size, and we are very excited about the momentum.

• Our cost of borrowing has dropped from 8.04% to a 7.69%. That's around 35 basis points. One of the key levers was NCD contribution, which has substantially increased from a 7% in March 2025. As of June 2025, it reached 24% and now closer to 35% approximately till date i.e. as of now , adding strength to long -term capital funding. Our aim is to ensure stable and cost -efficient funding. So, we had promised the markets that our NCDs will come up within a year or two. We're happy to share that it's already ranging in the range of 30% to 35%. And this, I think, will be a very strong sense, not just as a strength in terms of drop in borrowing cost, it also adds a lot of stability from risk management on the liability side because you start developing that market in terms of long -term funding.

• On AI, this quarter, we've identified, again, 10 incremental projects on top of the 35 existing ongoing projects that we had last quarter, taking our total tally to 45 cutting -edge AI projects with specifics. Out of these 16 projects are live. Also to highlight, we are doing some AI projects in finance and operations that will strengthen our governance -first digital initiatives.

Let's quickly move on to the business highlights. Let me now take you through a detailed update on our business .

Our LAP book grew at around 136% year -on-year, 23% quarter -on-quarter. Similarly, the Business loans portfolio grew by 54% year -on- year and 8% quarter -on-quarter.

Now specifics to the new businesses to give you a sense.

Prime PL launched with a focus in August 2024 continues to demonstrate strong momentum and market acceptance. In Q2FY26, average monthly disbursals have reached approximately Rs. 400 crores, underscoring healthy traction and growing customer demand. A noteworthy milestone is that around 26% of disbursements in Q2FY26 were processed through a fully straight -through journey with zero manual intervention in credit operations. We are very, very excited about this part because this absolutely strengthens our promise to go for external customers successfully on the digital journey. So, it reflects a well -calibrated growth strategy combined with robust business expansion and sets a strong foundation for scalable tech lending as well.

Next is Gold loans . As our digital products are scaling rapidly, we're also enhancing our physical presence, especially through the gold loan branches. We are fully operational now at 160 branches as we speak with another 20 to be launched shortly across Gujarat, Haryana, Rajasthan and Maharashtra. Gold adds strength to our secured book of products. To give a sense, monthly disbursement figures moved appr oximately to Rs. 110 cr

ores in September 2025 from Rs. 28 crores in June 2025. We are seeing a constant increase in productivity across branches.

We are on track to meet our objective of launching 400 branches by March 2026, out of which 95% of these branches will come up in Tier 2 and Tier 3 markets in line with our strategy to create multiproduct distribution points in high -potential locations.

Moving to the Consumer durable loans snapshot. As of September 2025, we're live with 10,000 -plus dealer distribution points spread across 190 locations approximately. We're confident to hit 12,000 dealership distribution points by the end of the year is what we had committed. The business traction is building well. The market re sponse is substantially better than our expectations. To give a sense, we almost doubled the disbursement value to approximately Rs. 65 crores in September from June 2025.

Confident to keep on multiplying the customer acquisition through this business. This business will create a massive customer franchise for Poonawalla Fincorp at a fairly accelerated level on very well -calibrated hopes. We've started penetrating regional retail chains, which will help us increase our distribution strength. We've already onboarded several major mobile OEMs and are also moving on onboardin g leading OEMs in the consumer durable space.

We would also like to highlight our PFIN EMI card, which has been receiving great customer acceptance in the market. Customers have preapproved offers that they can utilize as for their

convenience at any of our now 10,000 dealer touch points. 94% of our consumer durable loans, customers acquired in September 2025 have taken our PFIN EMI cards. We will soon be launching the card on our website and app for direct customers as well and build that strength.
In Commercial vehicle business , almost all business metrics have doubled, beginning with disbursals, which have doubled have reached approximately Rs. 100 crores in September 2025

as against June 2025 . Geographical footprint of CV business has widened to 49 locations till September 2025 as against 27 locations in June 2025. Our channel distribution has more than doubled and has strengthened to 450 channel partners as of September 2025.
Parallelly, we have successfully launched new commercial vehicle business through Q2FY26 and have disbursed Rs. 50 crores during the quarter. This will complement our primary business segment, which is used commercial vehicle loans. CV business is now live in all 12 states as part of our Phase 1 geo -expansion plan.
Education loans , a quick snapshot and a feel , 6 months after launching the business, we've logged in over 10,000 files, have onboarded 200 consultants and strategic partners. During th e fall season, we've disbursed a milestone of Rs. 100 crores in a single month. As of September, we have approximately 1,000 customers.
By the end of FY26, we are poised to scale our network to 500 -plus education consultants and leverage on our unique “Instant Sanction” product offering. The idea is to focus on building the distribution and focus on post -grads as a core segment.
On Shopkeeper loans, we are undergoing targeted calibration to achieve our desired risk benchmarks over a couple of quarters, following which we will scale up our volumes.
Now let me take you through our scale of distribution network. I think it's important to pause here and understand this strength. We're continuously broadening our reach through combined physical and digital channels to ensure greater accessibility and convenience for our customers.
Key distribution channels for us are:
o We are live with 160 gold loan branches as against 80 branches last quarter, we are on track for 400 branches by March 2026 . A significant increase in our physical footprint .
o Strengthening our DSA network across LAP business on

personal loans to improve
market leverage and efficiency, quarter -on-quarter is increasing .
o Quantum leap in consumer durable dealer distribution points from 3,000 in June 2025 to 10,000 points in September 2025 , which is a jump ove r 3x from the previous quarter.
o We've doubled the education counselors from 100 in the last quarter to 200
o Collaborating with 450 + commercial vehicles against 200 in June 2025, effectively doubling our presence in the quarter for the customer acquisition .
o Rolling out industry -first end -to-end digital journeys across various products to enhance customer onboarding and servicing .
o Enhancing our experience on the website and digital platforms to strengthen online customer acquisition and engagement
o Leveraging technology -driven marketing strategies to target new customer segments with precision and efficiency, which I'll cover in a little detail later.
Now let me cover the critical strategic pillars that will differentiate us as we scale. Digital transformation, Digital marketing and Artificial intelligence and Debt Strategy . I think these 4 I'd like to give you a sense because there's a fair amount of work happening, which will

play out as we scale. I'll provide a comprehensive overview for each domain to illustrate the key initiatives underway. I believe this could be a multiplier effect to generate for our businesses.
The first pillar, quick one is Digital transformation.
PFL has embarked on digitization and automation initiative for its operational processes that are leveraged across life cycle of the loan. While this would cover the entire life cycle of the loan, the current digitized plan covers loan servicing, regulatory and compliance reporting, EMI presentation and payments, which will strengthen our governance first approach.
On loan servicing, this will reduce the turnaround to action customer requests for foreclosures, part payment, auto refunds and TDS certificates. Additional channels of WhatsApp, SMS for delivering customer documents will be introduced, complementing the current channels like e - mail.

Regulatory and compliance reporting will be made faster while maintaining accuracy of the various digital initiatives like CIC reporting automation across systems and automation of CKYC update. Straight -through processing of EMI mandate will ensure faster payment application and reduce manual effort.
These digitization initiatives will be implemented in the next two quarters.
Overall, these initiatives will ensure faster turnaround and operational activities, reduce manual errors, increase scalability of operations to support the planned business growth without equivalent incremental cost in operations. And the most important is the more you automate pieces like operations and finance, the more closer you get to solid governance because it's absolutely lease audit trails and it's the right way to build the building blocks of the company from here on for the next 12 months.
PFL has also embarked on automation in finance on similar governance -first approach, high on compliance and system - driven process and finance function. This will be achieved by maximizing automation of intermedia ry processes to deliver seamless financial workflows.
Automation is planned across multiple work streams, including budget control, reconciliations, regulatory reporting, liquidity management, payouts and taxation .
To name a few , the budget control automation shall facilitate system -driven budget tracking and variance across departments, improving financial governance and enabling data -driven decision - making.
In liquidity management, the daily computation of liquidity coverage ratio will be automated.
The indirect tax automation will include automation of state -level distribution of the input tax credit on common services.
Overall, net

-net, the finance automation results in a hand -off system -driven, more efficient finance operation in the next 9 to 12 months. Both automation and finance and operations clearly is, we are walking the talk on governance in my limited view.

Now coming to Digital marketing at Poonawalla Fincorp .
We have taken significant strides in strengthening our digital presence in the last 1 year.
First, we're increasing our channel partners for our digital acquisition. While Google and Meta remain important pillars of our digital acquisition ecosystem, we have now built capabilities to scale our presence even beyond these platforms by partnering with over 30 digital affiliates and publisher networks.
This approach has already delivered remarkable results with disbursements growing multifold in just 4 months. We are committed to exploring even more innovative channels and ways to ensure a well - balanced and diversified acquisition mix that drives sustainable growth.
Second, important, driv ing cost efficiencies through the tech innovation. We have been laser - focused on optimizing the entire customer journey to improve the funnel conversion and manage our acquisition cost. By working closely with Google, we've built a real strong real -time information sharing to our campaigns that enhances our cost efficiencies. We will continue to do experiments and technology interventions to build strengths on to our new campaigns.
Third, strengthening our app and website infrastructure for organic growth is a very important initiative for us. Continuing our efforts on strengthening our app, we've added new features, improved with UI/UX, along with 21 + other enhancements, resulting in a significant improvement in our Play Store ratings and 44% growth in our app installs versus last quarter.
We've also invested heavily in enhancing our website performance, focusing on faster page speeds, improved discove rability and reduced load time, leading to 21% increase in non -paid traffic vs last quarter.
These efforts have laid the foundation to now shift towards strong content -led organic growth across both traditional and generative AI search and drive accelerated organic traffic to our platforms.
Fourth, we are building a MarTech -driven growth engine, which is another key area of focus that has been the build -out of cutting -edge MarTech architecture to support our growth ambitions.
Fifth, strengthening our brand through social campaigns. Finally, we're committed to building a stronger, more engaged brand presence. With our latest festive social campaign that we have recently released, we aim to drive awareness of our brand promise of being the most trusted financial services brand. A noteworthy aspect of this campaign is that its production is AI -led, including visuals, music and even vernacular translations. We strongly believe that by leveraging AI analytics and MarTech and a customer -centric approach, we're building a scalable, sustainable acquisition model.
Let me cover the third and important pillar, that's AI, on the overall game plan.

At the very outset, we had shared our vision to become an AI -first organization with analytics and AI positioning as the foundation pillars of a transformational journey with several AI

solutions being built in -house to strengthen internal capabilities, a few being developed in collaboration with strategic vendor partners to accelerate delivery and scale.
We have mapped out incrementally 10 AI projects, which takes our total tally now to 45 AI projects across the organization. We are truly excited with this. Let me give you a sense.
In taxation, for example, we are solutioning the TDS receivable consolidation process within the taxation function to eliminate manual reconciliation across mult

iple systems. Leveraging AI,
the solution will extract, format and consolidate data into standardized TDS registers, enabling accurate year -wise reconciliation. AI -driven anomaly detection will enhance data integrity, reduce errors and support compliance .
Imagine the next one - First, an AI -powered speech analytics platform that can enable 100% automated audits of outbound calls, eliminating manual sampling, enhancing compliance oversight and delivering deep behavioral insights across agent performance, sentiment and script error s. It will proactively flag risk events such as mi s-selling or unprofessional language, enable real-time supervision intervention and sharper lead conversion strategies.
Third, a Gen AI voice bot is designed in -house to automate L1 level customer interactions, handling initial screening, data capture, intelligent call routing. This will significantly improve human agent productivity and ensure consistent multilingual enga gement at scale with capability to manage up to 30,000 calls concurrently. Both solutions will drive measurable gains in order to bridge lead qualifications and operational efficiency.
The fourth most important is as part of our operational AI strategy, we're introducing a modular agentic AI workflow to streamline branch disbursement processes for LAP and business on products. This system automates 70% to 80% of marker efforts through 6 intelligent agents covering data capture, credit assessment, collateral validation, fraud checks, disbursal readiness and a human checker interface. Built on a compliance -first explainable AI architecture, it integrates OCR policy engines and external APIs to ensure transparency, auditability and alignment with regulatory norms.
The fifth as part of our AI -first strategy to strengthen risk governance and operational efficiencies, we've launched risk hindsight automation initiative under the CPA Automation Phase 1 aimed at reducing manual sampling and enabling scalable rule -based hindsight execution. The solution leverages AI -powered OCR to extract and classify key documents like PAN, Aadhaar, bank statements and salary slips followed by automated checklist validation to determine first -time right or first -time not right status. It performs basic credi t checks, including geo limit validation, age tenure income thresholds, employability stability and EMI bounce detection. Every action is a log for auditability with structured output and evidence backs.
In credit, the sixth one, the proposed AI -driven fraud control management project aims to enhance fraud detection and retail lending by automating the analysis of customers ' submitted documents such as identity proofs, address verification, bank statements, salary slips and property records. Using the advanced AI and machine learning model, the system will intelligently read, extract, cross -validate data across documents and applications and access the

probability of fraud. This initiative has significantly improved detection, accuracy , and reduced manual review time.
Seventh, the proposed AI document digitization and data automation project aims to streamline data processing and retail lending for automating the reading, extraction and summarization of customer submitted documents such as identity proof, business verif ication, bank statement, salary slip. Leveraging AI -powered documentation passing and natural language processing, the system will accurately digitize and interpret relevant data.
In compliance, the eighth one, we've unveiled an AI -powered solution 'RegIntel ' designed to autonomously address queries related to internal guidelines and regulatory frameworks.
In strategy , the ninth one, AI-driven RPA . This initiative is designed to create intelligent agents that execute tasks based on user -defined instructions or end objectives while main

taining process
governance to human -in-the- loop interaction. The agent performs routine actions autonomously

but prompts the user for critical steps. It is completing payment transactions or submitting application, ensuring compliance and oversight.

Tenth, the competition mapping. The competition mapping project aims to deliver real -time AI - powered insights into the competitive landscape, enabling data -driven strategic decisions, improving our ability to respond to the market forces.

So, these are the 10 AI projects. The whole idea is to have every small and large piece of the organization walking the role of AI and building your skill sets around it and efficiencies kicking in thereafter.

Finally, let me talk about our liability debt strategy .

Just to reiterate, our cost of borrowing, I've shared with you has improved to 7.69% from 8.05%, 35 basis points. As part of our long -term debt strategy, it's personally driven by all of us. We'll continue to focus on raising NCDs to optimize the borrowing cost and improve diversification of the borro wing mix. That's the important part here. I'm again happy to inform you that in line with the guidance, we successfully raised Rs. 2,355 crores through the secured NCDs during Q2FY26 , a total of Rs. 7,800 crores during H1 FY26 . As a result, the share of NCDs in our total borrowing has increased from 7% in September 2024 to 27% as of September 2025 . As we speak, we've raised additional Rs. 3,000 crores. So , we are heading towards a 30% to 35% on a steady - state basis. That's what we're aiming for. This increase in NCD has also contributed to significant diversification of our base.

Awards and recognition .

I'm very proud to announce that we have facilitated with the 'Most Innovative Practice ' for our AI-Powered underwriting and AI -Powered hiring at the prestigious CII National Awards for Artificial Intelligence 2025, highlighting our continued commitment in digital transformation through AI.

We've also been awarded the 'Most Innovative Digital Journey for Education Loans', which underscores our commitment to build the best -in-class industry -first journey across products.

Additionally, we've been awarded the winner in the 'Future of Work' at FICCI National HR Innovation Awards of 2025 for our talent acquisition AI solutions.

Finally, thanks for your patience. And to summarize, we've methodically implemented our plans across every business front from product launches to asset growth and risk controls, including our digital transformation through AI initiatives.

Our AUM growth trajectory is looking robust and very well risk calibrated.

We've continuously optimized our borrowings to secured NCDs and our new product disbursals on a very healthy robust growth trajectory, even at a healthy rate . We have clear plans to achieve healthy ROAs through lower credit costs and efficient product mix.

Our diversified investments, technology -led transformation and distribution expansion are laying a strong foundation for growth, operational efficiency and sustainable profitability in the coming quarters.

With this now, I'd like to hand over to Shriram to give you a flavor on the risk management.

Shriram Iyer: Thank you. Thank you, Arvind. Good evening, everyone.

Recently, there has been a pivotal evolution in India's indirect tax framework, the GST 2.0. This evolution is signaling a strategic shift in policy direction aimed at enhancing compliance, transparency and efficiency. The reduction of GST in major categor ies is projected to foster consumption, credit demand and MSME growth. The reclassification of goods and services is expected to lower household expenditure, encouraging spending, particularly during the high demand period such as the festive season. Strategically, GST 2.0 aligns with the government's broader objective of fostering inclusive economic expansion and reinforcing India's growth momentum.

This, accompanied with the RBI's proposal on strengthening the credit quality assessment tool by moving to a weekly bureau reporting would make credit reports more current and reliable for lenders. Reforms released by government and calibrated recommendations on strengthening credit quality framework resonate to provide a healthy credit growth demand and supply equation.

Poonawalla Fincorp has been able to ride the growth momentum wave with a risk -calibrated approach, ensuring sustainable, predictable business growth. The collaborative efforts across risk, credit and collections have supported to build a calibrated book, resulting in to superior risk - adjusted return.

Focusing on the asset quality, let me give you a glimpse of the key trends.

• The GNPA has improved to 1.59% in Q2FY26 versus 1.84% in Q1FY26. In absolute terms, GNPA is at Rs. 711 crores for the Q2FY26 versus Rs. 712 crores in Q1FY26, indicating stable asset quality.
• Over the l ast 4 quarter s, there is sequential quarter -on-quarter improvement in Stage 1, Stage 2 and Stage 3 composition of assets and advances, which highlights our calibrated approach to portfolio expansion and strengthened debt management practices. On Stage 1 composition in Q2, it was spoken about a little earlier , Q2FY26 is at 97.1% versus 96.5% in Q1FY26. Also , on the Stage 2 composition in Q2FY26 is at 1.3% versus 1.6% in Q1FY26. Stage 3 composition in Q2FY26 is at 1.6% versus 1.8% in Q1FY26.
• The quarterly credit cost has remained range bound at 2.67% for the Q2FY26 versus 2.61% in Q1FY26 for the overall PFL book.
• For the 12 core products, the annualized credit cost is at 1.51% for the Q2FY26.
Our stated objective is to achieve best -in-class credit cost in the industry. For us to do that, we will normalize STPL and instant loan book to reasonable levels, and the mix will show a declining trend as other products will start gaining full -scale participation in the product basket. We have launched 6 to 7 businesses to our existing product suite. All the new businesses are picking up scale in different quarters and different years and different proportions. Once all these start gaining adequate composition . Gold will be having a fairly strong delivery and model and distribution. Education loans will be strongly focused towards postgraduates. Likewise, commercial vehicles and LAP will also have a strong secured product foundation. Even if you look at unsecured, we will have a higher bias to salaried segment , and with our digital journeys, we get the first right to refuse. You will have the same calibration playing out closer to the best -in-class credit cost in the industry as the contribution of the new products gets more representative in size.
All these factors put together will support building a very strong credit calibrated book and credit cost with downward bias on a year -on-year basis. With reference to the erstwhile STPL, the credit impairment charged to P&L in FY 25 and attributed to the erstwhile STPL book was Rs. 1,339 crores on an average AUM of Rs. 4,839 crores. This was out of the overall credit impairment charged to P&L of Rs. 1,553 crores, representing 27.67% for th e FY 25.
In the last quarter, the credit impairment on the erstwhile STPL book was Rs. 64 crores and in Q2FY26 is Rs. 57 crores. The erstwhile STPL book, which was 4% of the total on -book AUM as of June 2025 is now down to approximately 2% as of September 2025, of which 70% is zero DPD and the book is adequately provided. The worst is behind us. We are excited as we look into the future quarters.
Further, let me give a short deep dive on select areas as we build our AUM.
A comprehensive overhaul of our instant digital consumer loan policy and control framework was done that aime

d in strengthening credit risk management and improving portfolio performance. We have incorporated specific correction and calibration driven by 6 to 7 enhanced controls beyond account aggregator to improve the credit quality.

This multipronged risk framework covered the multi -bureau strategy augmented with cohort level risk model, industry fraud alert controls, identity triangulation framework, introducing of channel prescreening criteria, alternate data -driven profiling, geo r isk intelligence enabling location risk categorization and enhanced predictive risk framework. These refinements have supported to building a better calibrated instant digital consumer book.
To ensure agility and responsiveness, a dynamic monitoring mechanism was put in place to track disbursal patterns and early risk indicators. This allowed for timely interventions and policy recalibration based on observed performance trends. As a result o f these strategic changes, the latest first EMI bounce has improved by 70% compared to the erstwhile STPL book while also having a 40% better collection efficiency.
Collection management is another core pillar at Poonawalla Fincorp, wherein we are reimagining collections as a core strategic capability anchored in automation, real -time data intelligence and AI. Scorecards have been deployed across every stage of the customer life cycle from pre -delinquency to recovery that ena ble precision targeting and differentiated strategies. Each digital ML and AI capability scorecards, automated allocations, intelligent communications and Gen AI productivity tools creates impact individually, but together, they unlock a multiplier effect supporting higher efficiency, lower cost and better cus tomer experience. To balance information to action, Gen AI -based tools are in development to optimize

actionable insights for every manager daily, enhancing decision speed and field productivity across levels.
As I conclude, our commitment is anchored in a robust risk -first framework that leverages data -driven decision -making, advanced analytics and digital innovation. This integrated approach not only strengthens our governance and responsiveness but also empowers us to deliver consistent results with long -term sustainability. Guided by this philosophy, we remain focused on driving impact through precision, agility and continuous transformation.
Thank you all and wishing you all and your families a happy Deepavali. Over to Sunil.
Sunil Samdani: Thank you, Shriram, and good evening, everyone. Let me give you a quick financial highlights for the quarter.
• The asset under management stood at Rs. 47,701 crores, reporting a strong growth of 68% year-on-year and 15.6% quarter -on-quarter. It is with the help of continued strong momentum across all our products.
• Part of our debt strategy and the projected AUM growth, w e continue to further diversify our liability book with special focus on increasing the share of NCDs. Accordingly, the share of long - term borrowing has gone up by approximately 5% quarter -on-quarter from 75% to 80% in the overall borrowings.
• The share of variable rate borrowing stood at 55%, with another 10% of capital market borrowings with an average tenure of approximately 3 months puts us at an advantageous position in a declining interest rate environment.

• Our net interest income, including fee and other income, continue to grow healthy, standing at Rs. 905 crores for Q2 FY26, which is up 17.8% quarter -on- quarter. This is despite increase in share of secured asset books and recalibration of erstwhile STPL portfolio.
• The cost of borrowings dropped to 7.69% for the quarter versus 8.04% in Q1 FY26. This is on account of overall reduction in interest rate and increase in capital market borrow

ings.
• Opex to AUM ratio was stable at 4.8% as we continue to invest in new businesses and distribution.
• In line with our growth strategy, during the quarter, we increased the employee base to 5,081 and expanded our branch network to 260 + currently, we are talking about today.
• The pre -provisioning operating profit during the quarter was Rs. 387 crores, which is a 19.1% increase quarter -on-quarter.
• Our asset quality improved quarter -on-quarter with gross NPA at 1.59%, resulting in a 25 bps reduction quarter -on-quarter and net NPA stood at 0.81%.
• Our provisioning coverage ratio stood at 49.65%.
• Our profit after tax stood at Rs. 74 crores during the quarter. This is despite the company making significant investments in new businesses, branches, AI and technology.
• The debt equity ratio stood at 3.64x. This gives us enough headroom for growth.
• Capital adequacy ratio continues to remain healthy and comfortably above the regulatory requirement at 20.85%, of which the Tier 1 capital is 19.63%.
• The liquidity coverage ratio stood at 141% as on September 30, 2025.
• On the liquidity front, we remain comfortable with positive cumulative mismatch across all buckets and surplus liquidity of Rs. 6,261 crores as of September 30, 2025.
Thank you. Happy Diwali and I would now like to open the floor for question -and-answer session.
Moderator: Thank you. We will now begin the question and answer session. We have the first question from the line of Chintan Shah from ICICI Securities.
Chintan Shah: Thank you for the opportunity and c ongratulations on good set of numbers. So , sir, just on the opex front, so basically out of this Rs. 518 crores of o pex.
Arvind Kapil: Chintan, can you be slightly louder? I can't hear you.
Chintan Shah: Sure. Is it better?
Arvind Kapil: Yes, much better.
Chintan Shah: Yes. First of all, thanks for the opportunity and c ongratulations on a good set of numbers. So , sir, on the opex front, largely, I wanted to understand, so of this Rs. 518 crores of opex , so what will be the split of the opex in terms of basically for the non -employee cost, how much of that would be towards this technology initiatives that we have been taking? And what would be towards probably outsourcing or the DSA cost, just firstly on that?
Arvind Kapil: Chintan, we've not given a breakup right now on the same. But I think what's important is, if I remember the figures we were close to, we had given a guidance of being crossing 5, but we are

close to 4.8x AUM. And I like to normally look at opex cost as a percentage to AUM because
all of it is getting used for those seven businesses that we are actually calibrating and building
the whole distribution. So , our efficiencies for this year, I have already stated, should be
measured on how efficiently we can build AUMs. I mean that's the kind of an answer, which I
think at this junction would be more appropriate.
Chintan Shah: Okay. Sure.
Arvind Kapil: Be little l ouder, please.
Chintan Shah: Yes. Sure. Sorry, sir. So , sir, probably just to ask something in a different manner. So , in terms
of our current sourcing mix for across the products, how much of that would be brand driven
and how much of that would be via Fintech partners or DSA or any other sources? Basically,
just trying to understand direct sourcing via Poonawalla's own network and indirect sourcing?
Any breakup or any numbers on that would be really helpful?
Arvind Kapil: See, let me, for a moment start with a breakup like what do we acquire from our own sources
and what do we acquire from partners? Let me, for a moment, split that. So , I think it will be a
mix of close to 18% to 20% will be on our self-reliance and the rest would be still a mix of
DSAs, Fintech partners and various distributions that we rely on. So , we've reached close to 18%
to 20% acquis

ition happens with self -reliance.
Chintan Shah : Okay , and self -reliance wo uld largely mean branches, right, or anything apart from that as well?
Arvind Kapil: So even our website , by the way, our digital journeys, what I announced, if you take, for
example, even PL Prime, the digital part is almost 25% of what we do now on a monthly basis.
So, if you see even the Prime business, we are pretty robust. And similarly, we are building
various digital journeys. And if you saw the reason I shared our marketing plans of using Google
and Meta was to tell you that, that is basically a hint in the direction that we are doing a fair
amount of bid to make our awareness in the virtual world to build that strength, to rap idly expand
our acquisition directly on all digital acquisition that we do today.
Chintan Shah: Understood. And sir, any ballpark sense on what this number could look like 18%, 20% by FY 27
or FY 28?
Arvind Kapil: To be honest, the plan is to grow it. I mean, it should be year -on-year growing. It is difficult to
say what number it will be, but self -reliance would be an important initiative for us. But it should
grow upwards and grow in a growing direction because the businesses we are acquiring
obviously has much better cost, has much better efficiencies and are much more self -reliant.
Chintan Shah: Sure, understood. And just one last thing just happening on this again...
Arvind Kapil: And one more thing, as your customer franchise , sorry, I'll just add one more thing. As your
customer franchise grows , remember one thing, as your cross -sell base grows, the number of
customers actually coming back to us on the initiatives of marketing as well as all the in -house
reliance substantially would go upwards. You just need to have a very good acceptability with

external customer base as well. So , I would not like to decrease that as far as possible while
growing our internal strengths.
See, look at our consumer durable, while that might be dependent initially on the point of
acquisition of this 10,000 outlets that we've got, but what happens a year or two later when the
cross -sell starts. So, you have the same probably, let's say, approximately 3 lakh, 4 lakh
customers additionally acquired, go to 10 lakh, 15 lakh customers next year. All this cross -sell,
which starts, creates multiple customers at much lower cost, increases your customer fran chise
by a very significant proportion over last year even now, and it will increase substantially over
the next year. So , this will create a far more environment for self -reliance.
Chintan Shah: Sure, understand. And just one last thing on what would this number be around March 2025
quarter, that is Q4 FY25, this would be how much, around 10%, 12%?
Arvind Kapil: I think you should take it as 18% to 20%. I mean, I haven't mastered every quarter -on-quarter
for the exact number, but in case you feel that . One thing, self -reliance is increasing, but I'm also
building multiple distributions. Like in education loans, we are building our entire franchise. I
shared with you that entire distribution we are building on counselors. On commercial vehicles,
we've gone to 400 -plus dealers. On consumer durable, we are building a whole 10,000 outlets
going to 12,000, maybe 20,000 next year. So , with this kind of thing, we are building almost
five, six distributions. That's why if you heard my second or third page when I was, I actually
took out some time to recalibrate for you.
One of the big strengths the company is building, I realize in my limited assessment is we're
building multiple distributions. So , one strength could be in -house in that. Otherwise, we are

also calibrating and building multiple distributions across gold, across geographies, across our digital penetration, across various products that we've launched.
Chintan Shah: Sure.

This is super useful. And I will probably get back in the queue for further questions. All the very best.
Arvind Kapil: And if you see the deliverables also, which is the brass stacks, quarter -on-quarter, we're almost either doubling or tripling stuff, and we are moving at a very healthy rate. So , all the projections that we had done for this year, we do expect most of the run rates to be fairly more robust than our plans.
Moderator: We have the next question from the line of Nischint Chawathe from Kotak Institutional Equities.
Nischint Chawathe: Nischint here from Kotak. Just a small one. Thanks for the detailed introduction. But just a small one is if I look at your coverage on Stage 1 loans and that has kind of come up quite significantly from like 2.8% to 2.7%. I understand that, obviously, the re is a big change in the composition of book. But I think as you further add the secured assets, where do you really see this settling down? And the other one also is that when you are just about starting these businesses, you obviously have an internal track record of the PDs and LGDs. So how do you kind of work out this number?
Arvind Kapil: Could you be louder on the second question.

Nischint Chawathe: Yes. So , when you start building out some of these businesses, those business lines, which Poonawalla has probably not done in the past, how do you kind of assess the PDs and LGDs and hence, work out the Stage 1 or 2 coverage ratios?
Sanjay Miranka : Yes, you're right that Stage 1, if you see, has been increasing significantly, and it has crossed 97%, 97.12% to be precise as on September 2025 . The ECL provision across stages is well provided book , and the way the PD, LGD for the new clients is new to PFL also. So , at product level , for each of the products, where we may not have significant experience of our own, so we have taken help of professional agencies.
Arvind Kapil: And Professional Managing Director, who has done all these businesses and a professional team who has done this earlier.
Sanjay Miranka : So, this is th ere, they have mapped our product basket with a similar set of peer groups and accordingly , the PD, LG D has been worked out at each product level.
Arvind Kapil: So I think, see, remember, none of these businesses, as I said earlier as well, is a surprise to us. Whether it's my risk team, whether it's the Chief Business Officers, we are well -versed with all these businesses. As a company, Poonawalla, you're absolutely right. These are new businesses. But it's a new management team who's probably done it for a couple of decades, and we come here with that experience. So, we are not new to the nuances, both in business, risk, collections . I can assure you, this is all very planned and thought through. So , which is why you see Stage 1 improving. If you notice, most companies, by the way, don't show Stage 1. And it's quite interesting, I noticed that, because Stage 1 to get that kind of thing , can give you a very clear indicator. I'm talking about the business guy , not a specialist or analyst. Normally, Stage 1 gives a very clear picture of the future.
Shriram Iyer: And add to what MD said. Of course, all the products have been done. We have 21-22 years experience of doing all these products. We have all the information today available with the bureaus, and we know each product, how do they perform across ticket size s, geographies and all of that and that also kind of helps us when we build those kind of look -alike customers. So it's not that difficult to do that. And if you see, sequentially we have improved over last 4 quarters. So that kind of gives you a sense in terms of what we are kind of han dling now.
Nischint Chawathe: Got it. That answers my question. Thank you very much and all the best.
Moderator: Thank you. We have the next question

from the line of Kaitav Shah from Anand Rathi. Please go ahead.
Kaitav Shah: Sir, just a couple of quick questions. Number one was on the STPL book. How is that shaping up? I think you mentioned in your commentary that it has been growing at a pretty good pace. So one is if you can perhaps throw more light on that? And second was o n the credit cost. So that still remains at slightly sticky at 250 bps. So how do you see that going ahead over the next 1 year or so?
Shriram Iyer: Coming to the part 2 of your question. See, if you look at our overall credit costs have been range bound to around 2.67%. Stage 1, Stage 2 and Stage 3 assets have sequentially improved

quarter -on-quarter. As the contribution of the core products, including the new product keeps growing and gain full -scale participation in the product basket, the share of the credit calibrated instant loan book will be normalized to lower levels. This will have a favorable bias on the overall credit cost for the next 3 to 5 years. The strategy here is to continuously calibrate and the product mix adjustments will aid in our stated objective in achieving our best -in-class credit cost in the industry.

Arvind Kapil: Yes. I think on the new instant loans that we like to call it now , with the calibration that I think Shriram's team has done over the 6, 7 calibrations. We are, Kaitav, moving on a pretty decent levels. Right now, on a monthly basis, quarter -on-quarter, it's taken an upward trend. We are quite pleased with the last 12 months' credit calibration. It's pretty much in line with where we are. The a dvantage is that as you go forward and you start getting your good -quality cross -sells and stuff, I think we could see even a strength of ROAs going up on this one. Today, everything is new acquisition for us, not just here across businesses. So, you'll appreciate that across businesses, our strengths with new customers will start increasing. By the same time next year, we could be on a very robust cross -sell. We are building in a lot of efficiencies for ourselves. And I think , let me be honest with you, we are excited about it. I think that probably gives you a feel.

Shriram Iyer: Kaitav, also one point which I had kind of called out that the new calibrated book, we are seeing the bounce rates have come down 70% now. So , that kind of gives us the confidence. And the collection efficiency has also equally improved to 40%, right? And with the product mix changing, this will have a bias towards the best -in-class credit quality.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question. I now hand it over to the management for closing comments.

Arvind Kapil: I think I wish all of you a very happy Diwali, and thanks for always being kind and supporting. We are looking confident and excited for the journey ahead. Thank you. Thank you all. Have a great weekend.

Moderator: Thank you. On behalf of Poonawalla Fincorp Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

Poonawalla Fincorp Limited Q3FY26 Earnings
Conference Call

January 16 , 202 6

MANAGEMENT : MR. ARVIND KAPIL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. SUNIL SAMDANI – EXECUTIVE DIRECTOR
MR. SHRIRAM IYER – CHIEF CREDIT AND ANALYTICS
OFFICER
MR. VIKAS PANDEY – CHIEF BUSINESS OFFICER
(CONSUMER BUSINESS)
MR. VEERARAGHAVAN IYER – CHIEF BUSINESS
OFFICER (COMMERCIAL BUSINESS)
MR. HARSH KUMAR – CHIEF HUMAN RESOURCES
OFFICER AND HEAD ARTIFICIAL INTELLIGENCE
MR. SANJAY MIRANKA – CHIEF FINANCIAL OFFICER
MS. SHABNUM ZAMAN – COMPANY SECRETARY

Moderator : Ladies and gentlemen, good day and welcome to the Poonawalla Fincorp Limited Q3FY2025 - 26 Earnings Conference Call .

We have with us today on the call Mr. Arvind Kapil – Managing Director and Chief Executive Officer , Mr. Sunil Samdani – Executive Director , Mr. Shriram Iyer – Chief Credit and Analytics Officer , Mr. Vikas Pandey – Chief Business Officer (Consumer Business), Mr. Veeraraghavan Iyer – Chief Business Officer (Commercial Business), Mr. Harsh Kumar – Chief Human Resources Officer and Head Artificial Intelligence and other Senior Management officials .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded.

Now, I hand over the conference over to Shabnum Zaman – Company Secretary of Poonawalla Fincorp Limited . Thank you and over to you, ma’am.

Shabnum Zaman : Thank you . In line with good corporate governance practices, please note :

This presentation may contain forward -looking statements regarding the Company ’s future business prospects, strategies, estimates, and profitability , but it is important to note that these statements are based on certain expectations, assumptions, anticipated developments, and are subject to various risks and uncertainties. The actual results may differ significantly from what is stated in these forward -looking statements. Risks and uncertainties related to these statements include fluctuations in earnings, our ability to manage growth, competition, economic conditions in India and abroad, changes in law, rules, and regulations relating to any aspect of the Company ’s business operations, general economic, market and business conditions, attracting and retaining skilled professionals, as well as government policies and actions.

Now, I would like to hand over to Mr. Arvind Kapil – Managing Director and Chief Executive Officer of the Company .

Arvind Kapil : Thanks, Shabnam. Thank you. A very good evening to all of you. I wish all of you and your loved ones a very Happy New Year.

Let me open with industry and economic perspective from our side and the ways we are shaping

our organization amid the current sector shifts :
India's real GDP grew at 8.2% in Q2 FY 2025 -26, up from 7.8% in Q1 FY2025 -26. CPI inflation progressively softened to 1.33% in December 2025 from 4.26% in January 2025 . High frequency indicators signal ongoing economic momentum with inflation below the lower tolerance band, falling unemployment and improved exports. Financial conditions in our assessment remain supportive and with robust credit to commerce, while demand holds steady under strong consumption.

Let me start with the performance update . I would like to give a quick update on the Q3FY26 results.

• Our AUM, as all of you are well aware, is growing at around 77.6% year-on-year, 15.3% quarter -on-quarter , standing at around ■55,017 crores as of December 31st, 2025.
• Total disbursements in Q3FY26 grew by 84% year-on-year and 6.5% quarter -on-quarter . Our new product disbursements have reached a monthly run rate of approximately ■950 crores in the month of December.
• New products delivered at 25% quarter -on-quarter disbursement growth, demonstrating a tangible momentum and market pull which our new products are generating at a grassroots level, to give you guys a feel. Yes, the new product contribution to disbursements in Q3FY26 stands at 20% as compared to 17% in comparison to the previous quarter.
• Our on -book secured mix stands at around 56%.
• Net interest margin, including fee and other in

come, stands at around 8.62% in Q3FY26 versus 8.4% in Q2FY26 . So, it has increased by around 22 basis points from Q2 to Q3.
• Our GNPA for Q3FY26 stands now at 1.51% versus a 1.59% in Q2FY26 . It is a drop of another eight basis points here.
• Our Stage -1 assets, which I think is an important indicator for any finance Company , rose to 97.4% for Q3FY26 as compared to 97.1% in Q2FY26 . I think this is important from our efficiency improvement point of view, reflecting stronger asset quality and stable borrower performance. This improvement underscores our continued focus on prudent underwriting, and effective risk management.
• Our stated objective is to achieve one of the best -in-class credit costs, which requires a more balanced and mature portfolio mix for which transition is already underway. We have already launched new businesses, and they will pick up scale in different proportions over the years.
• Our cost of borrowing has reduced from 8.04% in Q1FY26 to 7.65% in Q3FY26 , i.e. around 39 bps in three quarters. One of the key levers was the NCD contribution. It has substantially increased from 7% in March 2025 to 27% in September 2025, and now approximately to about 30 % - 33% as of December 2025. Adding strength to long -term capital funding. Our aim is to ensure stable and cost -efficient funding.
• On AI, out of the total tally of 57 cutting -edge AI projects now, we have reached 30 projects are live.

Let me start with how we think about credit costs and RO A, because this, I believe, sits at the heart of how we are building this Company . It is important that we are all on the same page. We are designing a high -quality, stable, low -volatile credit portfolio, not accumulating a balance sheet. From an inception, every product we scale is built to deliver sustainable, healthy R OAs on through the cycle basis. Growth is therefore a means to compound intrinsic value, not an objective in itself.

Let us understand the role of individual products , their contribution design, higher natural provision impact, and the mathematical average of approximately 12 products and then one business of instant consumer loans, making a total of 13 products.
To provide clarity on how total credit cost should be viewed in my assessment, it is very important to recognize that different lending products inherently carry different risk profiles. Instant loans, by design, carry a higher standard on credit cost, while the remaining approximately 12 lending products are more granular, diversified, and comparatively lower risk. We expect credit costs across individual businesses to decline steadily ov er time, driven by portfolio seasoning, our solid risk calibration, a nd strong collections, and that is going to be a big focus area for us.
At the consolidated level, reported credit cost represents, and this is important, a mathematical weighted average reflecting the proportional contribution of the instant loan business and the

combined contribution of the other businesses based on their re spective share of assets. Accordingly, portfolio -level credit cost is a function of portfolio mix and not driven by any single product in isolation.

Accordingly, movements in consolidated credit cost should be viewed as a function of changing composition of the portfolio as different businesses scale at different times. As the portfolio evolves over time, it is important to note products such as gold loans, education loans, salary personal loans, and loans against property are expected to account for 50% to 60% of the portfolio. These businesses have lower inherent risk profiles, lower credit costs, and their growing contribution will lead to a more ba lanced portfolio in our assessment with growing ROAs and a sustained reduction in overall credit cost.

Let me share our perspective on growth, provisioning, and

accounting optics in the credit
context .

Reported credit cost includes normal and regulatory provisioning and therefore reflects both realized losses and pr udent forward -looking buffers. Management remains focused on continuously improving credit calibration, underwriting discipline, and collection efficiencies across individual lending products, with an objective of strengthening overall portfolio credit performa nce over time.

Improving RO A is a key focus area for the Company , and alongside efforts to enhance credit calibration and collection efficiency within individual lending products, management is equally focused on achieving the right product mix to balance risk and returns and the objective of driving sustainable RO A improvement.

Mr. Shriram Iyer will share meaningful insights and early risk indicators across products, which is quite encouraging.

Let me cover my perspective on RO As, which is going to be a key focus area for the Company .

We have reached an RO A of 1.2% in this quarter, Quarter 3 . At this juncture, let me give you a sense of disbursement yield for Q3FY26. I think this could be an important metric. The present disbursement yield , pricing of new originations for Q3FY26 , is approximately 15.5%, reflecting the impact of new product launches and disciplined risk calibration across originations. The new products we have launched have scaled well and are performing in line with our internal expectations. This gives us confidence that growth is now coming from a more diversified and structurally stronger portfolio.

On the risk side .

Credit costs are trending better quarter after quarter. The new credit calibration is behaving well. Early indicators are encouraging, and we are seeing improved performance across vintage s. As committed, we have increased our disclosure, wherein this time we are sharing product -level AUMs across products, and I think a very important indicator the risk team is sharing in the investor deck is the 6-MOB, early risk indicator, which in my experience is a lead indicator for any finance Company in terms of what the new calibration looks like.

At the same time, I do believe that operating leverage is beginning to come through. Our operating model is built to deliver structural operating leverage as we scale multiple product distributions, digital platforms, distribution partners, and enhanced customer franchise with increasing cross -sell strength, fueling the strength of our ope rating leverage.

Putting all this together, early disbursement yields, successful product launches, improving credit outcomes, and operating leverage, we believe that the structural levers are firmly in place now. As these trends continue, we see a clear progressive build -up over the coming periods.

On a customer service front, let me share an important perspective. We are launching a next - generation conversational AI platform for omnichannel customer service designed to autonomously resolve 80% of voice and chat interactions, significantly reducing cost -to-serve while improving customer experience. Only high empathy and exception cases are routed to human agent, driving operational efficiency and scale.

Our industry -first contextual agent UI that delivers real -time intelligence, including customer history, loan risk flags, and sentiment analysis, enabling faster resolution, higher first -contact closure, and improved compliance. It is important to note the platform is powered by multi -agent AI orchestration and is currently in C UG (closed user group) testing with Hindi and English. That will go live by March '26. Subsequently, in phase, we will deploy AI voice agent across six regional languages and chatbot in 14 regional languages, unlocking mass market adoption across India, linguistically diverse customer base. This, I believe, in my limited vie

w, should tra nsform
our customer service and make it really smart.

Now, let me talk about a quick sense on the debt strategy :
As part of our long -term debt strategy, we endeavor NCDs to be in the range of 30% - 35% of our total borrowings. We shall keep following the highest standard of governance and transparency with complete oversight of the ALCO on the liability management.
I shall share some of the key highlights .
To give you guys a sense , in line with the guidance provided during our last investor call, we have successfully raised over ■4,500 crores by way of secured NCDs during Q3FY26 and a subset of around ■12,330 crores during the nine months. The share of NCD in our borrowing stands at 33% as of December 31st 2025 , vis-à-vis 7% as of March 31st 2025. This increase in NCD borrowings has also contributed to a significant diversification of our investor base. #We continue to expand our investors across mutual funds, insurance companies, banks, corporates, and pension funds.
To summarize, Operating leverage is now structurally embedded in our business. Over the past 18 months, we have made upfront investments in distribution, technology, risk, and multi -product infrastructure , largely fixed in nature and built ahead of revenue. This platform can now support materially higher AUM without a proportional increase in costs. As AUM scales, incremental growth is absorbed by an established operating backbone across underwriting, collections, technology, compliance, and branches, leadi ng to declining marginal costs and expanding operating margins. Operating leverage is further strengthened by product mix improvement. As four core products , Gold Loans, Education Loans, Personal Loans, and LAP scale to 50 –60% of AUM over a period of time, higher ticket sizes, longer tenors, and more predictable cash flows drive superior cost efficiency and improve the cost -to-income ratio#
#Due to technical issues , the above paragraph was not recorded during the call
Our endeavor is that AI initiatives will amplify our strength. We have initiated 12 AI projects in Q3FY26 across credit, collections, servicing, and operations to reduce manual effort, improve decisioning, and enable higher volumes without commensurate increases in headcount or expenses. Crucially, this leverage is achieved with disciplined risk management. As a result, we believe our past 18 months ' well-calibrated AUM growth, coupled with present runways, are expected to translate into sustained profitability, driving steady improvements in RO A.
And n ow, I would like to hand over to the Chief Business Officer – Vikas Pandey , and then subsequently to Mr. Veeraraghavan Iyer to give you a sense on the business updates.
Vikas Pandey : Thank you, Arvind and g ood evening to all of you. My name is Vikas Pandey. I am Chief Business Officer for Consumer Business.

Over the past few quarters, our new businesses have scaled meaningfully with constant emphasis on high -quality growth, discipline execution, and technology -led efficiency. Our prime personal loan business, launched in August 2024, continues to gain strong traction.
In Q3FY26 , we delivered average monthly disbursements of nearly ■430 crore, reflecting growing customer confidence. What is particularly encouraging is the quality of the book. Over 70% of customers have bureau scores above 750 , are salaried with 'category A ' corporates and earn net monthly income exceeding ■75,000. This validates our risk -calibrated acquisition strategy. Digitally, we continue to raise the bar. 28% of disbursements for prime personal loan in Q3FY26 were processed fully straight through , with zero manual intervention, under scoring is focused on scalable and efficient operations.
Alongside digital scale -up, we are

also strengthening our secure d portfolio like gold loan. Our
gold loan franchise is expanding rapidly, and we remain well on track with the planned rollout of new year branches during the current financial year.
In gold loans , monthly disbursements have nearly doubled from ■110 crores in September to ■207 crores in December 2025, driven by strong branch productivity. 95% of our branches are in Tier-II and Tier-III markets, creating high -potential , multi -product distribution hubs. Early cross -sell traction from these catchments is very encouraging.
Our next product, consumer durable business , continues to scale efficiently, on track to reach 12,000 retail outlets by the year end across 190 -plus locations. During the festive month of October 2025 alone, we disbursed ■118 crore to 54,000 customers entirely through a seamless digital journey, demonstrating both scale and execution capability. OEM partnerships are expanding across mobile and consumer durable segments, and the PFIN EMI card has seen strong market acceptanc e. With pre -approved limits and a vailability across all touchpoints and now live on our app and website, the card is becoming a powerful enabler of repeat usage and

customer stickiness.
Our next product, commercial vehicle business , delivered average monthly disbursement of ■100 crores in Quarter 3 financial year 2026, representing 35% quarter -on-quarter growth. U sed CV Financing continues to anchor the business, contributing over 70% of disbursements. We have significantly expanded our channel ecosystem to 700 -plus partners, up from 450 last quarter, and now operate across 55 locations with strong momentum in Gujarat, Rajasthan, Tamil Nadu, and Maharashtra.
Next product, education loan . In just nine months since launch, the education loan business has logged 16,000 -plus files supported by a network of 325 -plus consultants and partners. By financial year 2026 end, we aim to expand our consultant network beyond 500 -plus. Our disbursement in the month of December has reached ■118 crores. Our instant sanction journey in education loan has crossed 300 sanctions, valued at ■150 crores yea r till date.
Now coming to our digital marketing strategy :

It continues to evolve toward a diversified ROI -led AI -first model with five key focus areas :
• The first one, deepening our digital partner ecosystem . We now work with 38 -plus digital partners, driving 42% quarter -on-quarter growth in disbursements while reducing platform concentration risk.
• Second, driving cost efficiency through technology -led innovations . Our paid campaigns have seen efficiencies from near real -time data sharing and will continue to optimize and drive precision with the upcoming server -to-server integrations.
• Third, we have further improved our website performance through faster load times, better discoverability, and SEO -led enhancements. We have also stepped up our presence off website through content presence across relevant external platforms. This has driven over 150% quarter -on-quarter growth in our visibility across Google 's AI-driven search and discovery results.
• Fourth, our mar Tech stack now embeds AI across own channels , allowing us to run and scale experiments on content, timing, channels to drive better retargeting, superior convergence, lower acquisition cost, and improved customer lifetime value.
• Fifth and last, our contextual and AI -enabled brand investments are helping reinforce brand trust and salience while remaining closely linked to business outcomes.
So, finally, across businesses, the common thread is very clear , credit -first, compliance -first approach, discipline execution, scale with quality, and leverage AI and technology as a force multiplier. We are building platforms and portfolios designed not just to grow faster, but to grow better and compound

over time.
Thank you and now I hand over to Veeraraghavan to give you all a flavor on commercial business.
Veeraraghavan Iyer: Good evening, everyone. My name is Veeraraghavan Iyer. I am the CBO for Commercial Business.
The commercial business basket of products consists of loan against property, business loans, loan to professionals, medical equipment loans, machine loans, shopkeeper loans, and mid - market finance . Over the past 18 months, we have built the commercial business around three important vectors.
• The first important vector is people . People are the key to success of any business, and we have meticulously worked on the same to build winning teams across verticals.
• The second most important vector is distribution . In distribution, we have not only worked to increase our reach into new markets and channels, but also , worked to penetrate deeper in existing markets and channels. This we have done by closely working with our channel partners, using our decade long relationship with them, and by providing them with superior TAT and service. Also, we have invested in our in - house direct distribution channel, which would operate mainly out of gold loan

branches launched, sourcing all commercial retail products in the catchment areas and locations.
• The third most important vector is infrastructure . By infrastructure, I mean process infrastructure, policy, and product. We have concentrated on the three P 's of process, product, and policy, redefined them, re -engineered them for customer delight, bringing in best -in-class TATs by leveraging on our digital expertise. By doing this, we have

succeeded in growing all commercial products with our risk -first, governance -first approach.

Here is a detailed break -up of the commercial business numbers :

- Commercial business AUM stands approximately at ■33,700 crore s, exhibiting a very robust growth year -on-year.
- Our LAP AUM stands at approximately ■15,100 crore s and is the major contributor to the commercial business AUM.
- Our unsecured business loan, loans to professionals, and shopkeeper loan AUM stands at approximately ■8,000 crore s, growing substantially year -on-year.
- Our medical equipment and machine loan AUM stands at ■660 crore. We have now built the base to grow this book aggressively going forward.
- Our mid -market AUM, which includes NBFC and supply chain finance, stands at approximately ■9,400 crore.
- Approximately 72% of the commercial business AUM is secured in nature.

As mentioned earlier, we started our in -house direct distribution channel, sourcing all commercial retail products around nine months back, and I am happy to announce that this non -DSA channel has started contributing approximately 22% of the overall commercial retail loan disbursements.

We are on track to achieve 40% - 50% of the total commercial retail disbursement through the direct channel over a period of time . As the share of the direct channel disbursement increases in the overall mix, it reinforces the strength of the direct distribution non -DSA channel, leading to sustainable profits of the commercial retail products.

On the digital front, we are ready and piloting our straight through digital business loan offering, which will be the first of its kind in the self -employed space. We are also enhancing the product suite in the machine loan and medical equipment business by launching the lease business.

Summing it up, we believe that the commercial business has methodically implemented the plans with risk -first and governance -first framework and built the foundation for industry -leading growth in all commercial business products, as the commercial busines s remains one of the most important vectors in the overall PFL strategy.

Thank you. Now I hand it over to Harsh to brief you on digital and AI initiatives.

Harsh Kumar : Thank you, Veeraraghavan . Good evening, everybody. My name is Harsh Kumar. I Head Artificial Intelligence. I want to take you through what we are doing in AI.

AI continues to be a central enabler of our operating model transformation. In Q3 FY26 , we advanced our AI initiative, focused on lifting productivity, reinforcing governance, and streamlining customer and employee journeys. These action material ly strengthen our ability to scale efficiently and deliver sustained performance as we transition towards a more intelligent and data -driven operating model. We have built a governance framework for all our AI projects, incorporating the ‘Seven Sutras ’ as defined by the regulators. This has been adopted to ensure consistency of delivery along with safety and accuracy.

Given update on AI landscape at PFL, I would like to take you through a few of the major projects introduced across the organization in the last quarter :

IT development team has taken significant steps to accelerate and optimize the application development lifecycle with the introduction of BuildBuddy , an AI -powered assistant acting as a development buddy that aids in writing code and also suggests fixes before code is committed. It does this by providing contextual feedback on logic, performance, and readability, along with automated refactoring.

The rollout of DartGenie , an AI -driven natural language insight engine, empowers the internal team to access data insight simply by asking questions in plain language. Currently available in the operations and HR team, this capability reduces dependency on specialist support and accelerates decision -making at scale . With plans to extend its reach to other functions, including customer service and finance too.

Within the risk team itself, we have delivered an AI-driven solution that aids in post sanction review for the personal product by enabling teams to operationalize a comprehensive risk hindsight process. The system automates document interpretation, field -level validation, and detailed audit logging, materially improving accuracy, reducing manual intervention, and strengthening the discipline of our risk governance.

The next step is to extend the risk hindsight framework enabled by AI across broader lending portfolios. To aid our strategic initiative, we have created an AI-powered competition benchmarking engine that, on its own, searches for changes, analyzes market and competition, and delivers timely insight on pricing and product shifts. By embedding AI into our strategic

decision -making, we are not just benchmarking competitors. We are building a future -ready financial organization that leads with insight , agility , and customer centricity.
We have our in -house employee support assistance by HR that has been enhanced with additional agent -driven capability. This smarter AI -powered solution executes contextual actions such as instant various employment related document generation , with improved accuracy and intelligence. By introducing autonomous agent driven workflows, the tool

significantly improves employee experience and enables HR teams to shift their focus towards strategic initiatives.
We have introduced our central KYC AI platform , embedding upfront AI -driven checks into KYC workflow. This brings intelligent upfront validation of KYC data, reducing manual intervention by roughly 15% and materially strengthening both accuracy and turnaround performance.
Credit AI , our AI -enabled underwriting support engine, has achieved full adoption in personal loan underwriting, significantly enhancing productivity and enabling underwriters to concentrate on risk judgment over manual processing. We have started scaling this across our broader portfolio, and the upcoming launch of

'Saarthi' will add a new layer of AI -driven portfolio intelligence.
We have also launched a multilingual AI -driven conversational agent that initiates calls to prospective customers, screens them on key eligibility parameters, validates interest, captures required data, and initiates the loan journey before connecting them to respective teams based on their requirements. This brings more contextual and consistent conversation and improves productivity and conversion rates in key customer acquisition units. The solution is currently implemented for specific business units w ith plans to extend the same to other product lines.
In conclusion : AI initiatives delivered in Q3FY26 constitute a significant advancement in the organization 's ongoing transformation. They enhance the effectiveness of our workforce, reinforce the robustness of our governance framework, and enable a more seamless and intuitive experience for our stakeholders. More importantly, these initiatives further activate our long - term vision to become a digitally fluent, data -driven, and highly scalable financial organization, with AI -first approach being adopted acr oss functions.
I would like to now hand over to Mr. Shriram Iyer , our Chief Credit and Analytics Officer.
Shriram Iyer : Thank you. Thank you, Harsh. Good evening, everyone. I am wishing you all compliments of the season.
The economic landscape has observed a series of monetary policy adjustments, including cumulative repo cuts of 125 basis points since February , GST rationalization, and tax reforms highlighting government aim to support growth and enhance liquidity in the system. Northward movement in the consumer vehicle sales in Q3FY26 reflects positive movement in domestic demand, resulting in improvement in credit offtak e.
India's outstanding loans grew at around 11% year -on-year, and positive economic momentum favor growth opportunities. Poonawalla Fincorp is aligned to this positive momentum and focused towards building a resilient portfolio. Effective orchestration of risk -calibrated framework has supported growth trajectory, ensuring stability and predictability in business

performance. Risk, credit, and collections working in synergy are the backbone of a resilient and well-structured portfolio.
Focusing on the asset quality, let me give you a glimpse of our key trends :
- The GNPA has improved to 1.51% in Q3FY26 versus 1.59% in Q2FY26.
- Over the last four quarters, there has been a sequential quarter -on-quarter improvement in Stage -1, stage 2, and Stage -3 composition of assets, which highlights our calibrated approach to portfolio expansion and strengthened debt management practices. Stage -1 composition in Q3FY26 is at 97.4% versus 97.1% in Q2FY26 . Stage -2 composition in Q3FY26 is at 1.1% versus 1.3% in Q2FY26 . Stage -3 composition in Q3FY26 is at 1.51% versus 1.59% in Q2FY26 .
- The quarterly credit cost has improved to 2.62% for Q3FY26 versus 2.67% for Q2FY26.

For all products other than the instant consumer loans, the quarterly credit cost has been a range bound around 1.4% to 1.5% for Q3FY26 . Our endeavor is to be committed to a stated objective to hold best -in-class credit costs in the industry.
Let me highlight how we are aligning our credit philosophy into action :
The first key aspect being Credit by design . We expect a structurally improving asset quality

trajectory driven by deliberate choices in product mix and disciplined risk calibration. Portfolio will be focused on products and customer segments that have inherently lower risk and more stable behavior al patterns. Our focus is on salaried low -risk asset class.
Loan against property book has a portfolio LTV of around 45% - 50% of the market value, providing higher margin against outstanding principal. 70% of our exposures are extended against self -occupied resi

dential or self -occupied commercial properties. 85% of our customer
profile is being catered to the segment that has a bureau score of 750 plus. Early risk indicator of 6-MOB 30-plus delinquency ratio for LAP portfolio remains strong at a sub 0.05% limit .
Gold loan portfolio is built with a skew towards emerging affluent households, with strong upward bull rate momentum, right customer profile selection gives them additional cushion to unforeseen market fluctuations. As of Q3FY26, there are no accounts that have crossed 30 DPD.
Education loan exposures are driven towards students opting for top -tier universities, post -graduation international courses, and wealth -progressive households. Students ' credibility, along with backing from strong parental credit history, provides alignment towards financial resilience. Repayment performance is showcasing robust portfolio build -up.
Commercial vehicle business offers secured and income -linked finance. 75% of our portfolio is built by used commercial vehicles. 60% of the customer segment is large fleet operators, providing long -term stability. As of Q3FY26 , there are no accounts that have crossed 30 DPD.

Unsecured personal loans to salaried professionals being built is skewed towards higher bureau score. 70% of our customers have a bureau score of 750 plus. 75% of our portfolio is working with top corporates. The 6-MOB 30-plus delinquency remains range bound at around 0.4%.
Instant consumer loan is driven by existing -to-credit (ETC) profile , non-credit hungry and skewed towards formal credit -related cohorts. Given this is a digitally sourced book, the 3 -MOB 30-plus delinquency metric serves as a more reliable indicator of digital acquisition quality. We are pleased to report that this metric has shown consistent improvement on quarter -on-quarter basis, with Q3FY26 reflecting a 70% improvement compared to Q3FY25 . This positive trend underscores the effectiveness of our good strategies and continued focus on portfolio quality.
Consumer durable , funding is skewed to existing -to-credit, along with sizable influence of credit -diversified borrowers within ETC segment. Right cohort selection in consumer durable business also sets precedents to control and minimize cash funding and fraud risk events prevalent in this product. As CD is a lower tenure book, the early vintage risk is tracked at a 2 -MOB 1-plus, which is at 0.15%, and 3 -MOB is at 0.06%. This metric has also been showing encouraging trends over the last three months.
Business loan portfolio growth is driven by customer segments with controlled lender position , credit history over five years, controlled unsecured leverage, non -credit hungry profiles, profiles with around at least two business cycles seasonally. The 6-MOB 30-plus delinquency trend is range bound for around the last two quarters and is 1.15%.
Pre-owned car mix is driven towards profiles with controlled recency of exposure build, seasoned credit history for over five years plus. The change in mix of the portfolio has reflected encouraging reduction of 15% in 6-MOB 30-plus performance in Q3FY26 versus Q2FY26 , and around 30% reduction as compared to the same quarter previous year, Q3FY25 .
PFL continues to manage risk in alignment with banking standards, as reflected in our 30 -plus delinquency levels, which benchmark favorably against the others. There has been a sequential improvement in the 6-MOB 30-plus for the last four quarters. The 6-MOB 30-plus for sourcing of Q1FY26 is 1.34%. This demonstrates the improved quality of a new acquisition. We expect credit costs across each of our individual businesses to decline steadily over the coming years, driven by improved portfolio and disciplined risk calibration, to strong colle ction efficiency across products.
In addition, we have consciously invested in products

that have combined high ROA potential
with structurally lower credit costs, which will further support improvement as the portfolio matures and their sizes increases. At a consolidated level, reported c redit costs represent a mathematically weighted average of our portfolio, comprising of four business lines and one instant loan business. The consolidated figure primarily reflects the portfolio mix, particularly the relative weight of the instant loan po rtfolio versus the rest of the portfolio.

Accordingly, movements in the consolidated credit costs should be viewed as a function of the

changing composition of the portfolio, as different businesses scale at different rates. Over time, products such as gold loans, education loans, salaried persona l loans, and loan against property are expected to contribute an increasingly larger share of the portfolio. These businesses have lower inherent risk profiles and lower credit costs, and their growing contribution will lead to a more balanced portfolio w ith growing ROAs and a sustained reduction in overall credit costs.
Overall, our focus is to build the Company on a strong ROA, and for which we will mix the well-calibrated instant consumer loans with the rest of the products, so the mathematical mix of well-calibrated portfolios builds a stronger value proposition.
Second key aspect as we grow the book is calibration, quality, and pace. The calibration drive is focused on optimized cohort selection via multi -source inputs. Information cover is not just limited to existing relationship behavior with PFL. We also look at bureau overall credit exposure history, banking via the account aggregator, GST, salary, and partner data.
Augmentation of risk strategy via in -house proprietary models at product and cohort level are used as levers for optimizing risk metrics. Across the model lifecycle, from design to development to post -deployment monitoring, the model strength and accuracy is rigorously tested. This is augmented with real -time through -the-door monitoring to control the expected PD against the sanction cost. As we speak, the decisions across credit lifecycle are supported by 50-plus AI /ML models and designed with over 5,000 -plus feature evaluation. Further, given the portfolio build -up phase, dynamic model calibration with 4 months to 12 months supports the continuous improvement.
As I conclude, together, th ese step-by-step execution across origination, risk containment, and collection is translating into a structurally stronger portfolio. This approach is delivering cleaner incoming cohorts, lower embedded volatility, and sustained improvements in collection efficiency over the cycle.
Thank you, and now I hand over to Mr. Sunil Samdani.
Sunil Samdani : Thank you, Shriram , and good evening, everyone. Let me quickly take you all to the financial highlights of the quarter.
• The Asset under management stood at ■55,017 crores , representing a growth of 77.6% year -on-year and 15.3% quarter -on-quarter.
• As part of our debt strategy and projected AUM growth, we continue to diversify our liability book, focusing on long -term borrowings. Hence, the share of long -term borrowing has gone up by about 4% from 8 0% to 84% in an overall borrowing. The share of variable -rate borrowing stood at approximately 50%, with another 9% of capital market borrowing, with an average tenor of approximately three months. The judicious use of short -term borrowing has helped us maintain our cost of borrowing at a co mpetitive level.

• Our net interest income, including fees and other income, continues to grow healthy, standing at ■1,080 crores for Q3F Y26, which is up 19.3% quarter -on-quarter. This is despite maintaining a healthy share of secured asset book at 56%.
• The cost of borrowing re

duced to 7.65% for the quarter versus 7.69% in Q 2FY26. This is on account of overall reduction in the interest rate environment in Q3FY26.
• Opex-to-AUM for the quarter was at 4.41%, a reduction of 40 basis points quarter -on-quarter, primarily on account of improved productivity and efficiency. Further, this reduction is despite continuous investment in new businesses and distribution.
• We have expanded our branch network to 320 branches as on date and increased employee strength to 5,264 as on 31st of December 2025.
• The pre -provision operating profit during the quarter was ■528 crores, which represents a 36.5% increase quarter -on-quarter.
• The asset quality improved quarter -on-quarter with gross NPA at 1.56%, which is a 8 bps reduction quarter -on-quarter, and net NPA reduced to 0.80% against 0.81% previous quarter.
• Our profit after tax stood at ■150 crores for the quarter, representing a 102% growth quarter -on-quarter and 702% growth year -on-year. We can now see the benefits of AUM growth and investments in the new businesses coming in.
• The debt -to-equity ratio stood at 4.25 times, which gives us headroom for growth.
• The capital adequacy ratio continues to remain healthy and comfortably above the regulatory requirement at 18.17%, of which the Tier 1 capital is at 17.15%.
• The liquidity coverage ratio at 156% as on December 31st, 2025, is well above the regulatory requirement of 100%.
• On the liquidity front, we remain comfortable at a surplus liquidity of ■6,488 crores as of December 31st, 2025.
Thank you. Happy New Year, and I would now like to open the floor for question -and-answer

session.
Moderator : Thank you very much, sir. We will now begin the question -and-answer session. The first question comes from the line of Chintan Shah with ICICI Securities. Please go ahead.
Chintan Shah : Yes. Thank you for the opportunity and congratulations on the strong set of numbers and crossing the 1% ROA mark. So, my first question is on the asset quality. So, if I look at the provision coverage ratio for Stage -1, stage 2, as well as Stage -3, it has been coming off since the last four quarters. Since December 2024, the Stage -3 PCR is almost down 10% to 48% now, versus 57%. The Stage -1 and stage -2 PCR combined is now less than 1% versus 2.8% a year ago. So, considering that 44% of our boo k is currently still unsecured, where do we see this number settling on a steady state basis? Ye s, that is the first question.
Shriram Iyer : Yes, hi. This is Shriram here. See, as I said, there is a change in the product mix, and if you see your Stage -1 book has increased from 97.1% in Q2FY26 to 97.4% in Q3FY26 and if you look at even prior to four quarters, it was close to around 95 .6% (Q3FY25) something . So, we are seeing that the Stage -1 assets itself has increased, so in terms of the overall Stage -1. Another

important point to note here is the Stage -3 book has also reduced from 1.59% to 1.51% , that kind of explains the reduction in the PCR, right? Also, we will have to note that the reduction in the PCR is also on account of the rundown of the old STPL, which had a higher provisioning. So, as the product mix changes and then you have low -risk kind of assets, the ECL also kind of changes accordingly, and that is the reason your PCR is lower.
Chintan Shah: Sure. So, in terms of a steady state, so something around 50% PCR on Stage -3 could be considered from a one year or two year perspective?
Shriram Iyer : I cannot comment on that because each product, as the mix changes a nd we start scaling up, we may look at a time horizon or something which we will have to look at and based on which the provisioning will be made.
Arvind Kapil : I think on the calibration, let me just add, Chintan, that we have this time disclosed very precise, I think if I am not mistaken,

1.5 years approximately , six quarters of data for 6-MOB, which will give a very good insight into how we are underwriting and what is the bureau based information in terms of the quality on our entire book. I think that is another very strong data, first time we have disclosed , that should give you a complete insight and confidence into the solid credit calibration underwriting that we have been speaking about.
Chintan Shah: Sure and sir, if you would just help me with the write -off policy for our unsecured products, what would be the write -off policy on that?
Sanjay Miranka : 180 DPD.
Chintan Shah: On overall products, whether secured, unsecured?
Sanjay Miranka : Yes, so unsecured is 180 DPD. Vehicle secured is 365 DPD and even loan against property is 730 DPD, which actually is case -by-case basis across the industry.
Chintan Shah: Sure and just one more thing , on the 294 branches and currently 320, I think which we mentioned, so apart from gold loan, what other products would we be currently offering? So, what is the plan there? Just wanted to understand that, ye s.
Arvind Kapil : So, I think our branches that we are talking about are focused. Our gold loan branches are going to be fairly die-hard gold loan branches. That is the plan right now , and that is what I had mentioned last time. We are very focused on the branches. There will be some benefit of cross sell, but I think it is going to be a very gold, gold kind of branch , which is focused.
Chintan Shah: Understood. And sir, so on the new disbursement, which is like 20% of the overall disbursement.
Arvind Kapil : Cross sell might happen, but directionally, it is a very focused gold loan branch for us. Sorry. Yeah, you were asking a question.

Chintan Shah: No, sorry. Got it. So, basically, dedicated gold loan, but some other benefit from cross -sell, then we would not deny that.
Arvind Kapil : It is not like other product cases would not happen from gold loan branches , but we are a focused , branch designed for gold loan. That is all our limited point. Sorry , over to your question.
Chintan Shah: Sure, sir. Understood, sir. And also, sir, on the disbursement from the new products, which was currently around 20% for the quarter and 11% of the AUM, so any ballpark targets here? So, what kind of percentage in the overall AUM mix are we looking for the new products by the time we reach Rs 1 crore of AUM?
Arvind Kapil : I think, see, the plan for these new products are , we are well calibrated , we are servicing a very distinct objective. Personal loan is a very salaried profile , we are getting fantastic build up there . We are very happy with the way it is building up, acceptability of corporates. You heard that it

is high-quality asset. If you look at consumer durable, we are investing behind a customer franchise. If you look at commercial vehicles, it has picked up very good momentum. If you look at gold, I think it is continuously quarter -to-quarter building up fantastic. So, objective is going to be , we will keep investing behind these businesses to increase . But remember, bulk of the heavy lifting investing has been done and I think it will be probably fair to say that operating leverage will start kicking in now and that was the whole original plan.
So, we had said that in the first 18 months, we would be probably biased to a little more AUM and investments. I think all that heavy lifting done, you started to see probably operating leverage started to kick in, and you can start seeing the sparks now in terms of probably robust profits. You can start smelling that, and I think we are very excited from here on.
Chintan Shah: Thank you for patiently answering all the questions. I have more, but I will fall back in the queue . Thank you and all the very best. Yeah. Thank you.
Moderator : Thank you.

The next question comes from the line of Abhijit Tibrewal with Motilal Oswal.
Please go ahead.
Abhijit Tibrewal : Good evening and thank you for taking my question. Sir, the f irst question is on the gold loan and the CV business. What I heard during the opening remarks is we have crossed 300 gold loan branches. But when I see our presence, it is predominantly the w estern India, Gujarat, Haryana, Rajasthan, Maharashtra. So, if you could just help us understand, is the idea to first capture the central and northern parts of the country, and then eventually go to southern India and in consumer durable, also, I kind of heard that 90% of our dealer presence is somewhere in Tier-II, Tier-III cities. So, what is the playbook w hich will be there in CD (consumer durable) as well?
Arvind Kapil : I could not hear your full questions, but gold loans, I think if you are asking effective Quarter 3 , I think we should be in the range of approximately 19 0 – 192 branches , somewhere there. But all the LOIs, identification , all of that has been done, and the remaining branches, we should be

on track in this quarter. We should be in a position to build a very solid franchise, like I said earlier, with a focus on gold. Gold is giving us good yields , good asset class, and it is in line with plan.
On consumer durable, whatever little I could hear, and please correct me and add to the question if required , whatever I understood you said was, what is the momentum feel on Tier-II, Tier-III cities? I think , if I am not mistaken, we already ha ve close to 10,000 plus outlets , and o ur strategy is mix of consumer durable. Because , as a Company , we have strong strength on unsecured digital, we do not need additional manpower. We are finding that we started as an experiment probably , now, along with consumer durable, we could be the first Company where our resources are not only doing consumer durable, but also digitally we have a certain proportion of origination, which is coming with the same team on unsecured digital loans, and very successfully so.
Remember, just to give you a sense, consumer durable might have an average ticket size of, let us say, ■28,000 approximately. But an unsecured loan in throughput could be ■4.5 lakhs to ■6 lakhs. So, the throughput and productivity of the team with the yields, even at the point of origination, not at cross -sell, we could be the first Company to successfully pull it off. That itself gives us a huge advantage on consumer durable reach as the business model being more robust, then a conventional, pure, only consumer durable model has the same team. I hope , I am able to get across.
Abhijit Tibrewal: Got it , sir. So, that answers my question. The only other follow -up I had on gold loans was, I mean, right now, I have seen the branch presence is predominantly in western India. Is that the thought process to first capture western India, central, and northern India, and then move to southern India?
Vikas Pandey : Yes. Actually, we have covered already Gujarat. We are in Maharashtra, Rajasthan. We are going state by state because gold loan is a product where you have to have a supervisory depth because we are opening branches. The next geography which we are picking up now is Karnataka and some part of Odisha. So, that is how we will spread our branches.
Abhijit Tibrewal: Got it.
Arvind Kapil : You do not want to just spread yourself in gold, it is important we have done this business in the past. It is very important to have density pockets with supervisory depths because one of the biggest advantages and risks is you need very solid control when it comes to gold branches. You will appreciate that. That is the background.
Abhijit Tibrewal: Got it. The second question I have is about credit costs. Just trying to understand wh ile, I think, again, during the

opening remarks, I kind of picked up that barring instant loans which have higher credit costs, most of the products are showing range bound credit costs of about 1.4% - 1.5%. So, I had two subparts to this question, Arvind, sir. First thing is, I mean, whatever credit costs that you see right now, are they all attributable to the newer and existing products that we

earlier had? So, this has nothing to do with any accelerated write -offs, which you called out in the presentation. These are all business -as-usual credit costs, right? This 2.6% credit costs that you are seeing right now?

Arvind Kapil : So, I think let me explain that point again. It is very nice of you to raise it again. I think the point that I and Shriram are highlighting is that whether it is instant loans, whether it is the remaining 12 products, all individual credit costs are showing constant improvement so far. That is point number one. I think the limited point we wanted to share with you that it is part of our design to optimize . When you look at our credit costs, you must keep in mind that you should treat it as, in simplistic ter ms, a mathematical average of instant loan, consumer loans, and the remaining 12 products. So, while explaining, I said instant loans relatively by design , have higher yield and higher credit costs, whereas the others are normal yields and normal credit costs. More as a reference point. But I think the larger point I wanted to say is that when you look at our credit costs, look at two important things , it is a mathematical mix of the 12 products and instant loans. So, let us say the contribution is 15, 18, or 20 , because individually all products might actually end up reducing our credit costs, and we could have a great opportunity for ROA build -up. So, it is a very limited point just to understand.

Also, looking at our growth rate, please remember, as NBFCs, you have a higher natural provisioning. So, that also complements, if you grow at a higher rate, becomes part of your total credit cost. It is just sensitizing the total picture. That is about it.

Abhijit Tibrewal: Got it. And w hen we said that credit costs will reduce in the coming quarters and years, the primary driver is going to be the improvement in product mix in favor of gold loans, LAP, education loans, right? Rather than the seasoning of these products because once the s easoning, maybe the credit costs will start inching up. So, the primary driver is going to be primarily the improvement in product mix.

Arvind Kapil : So, let me repeat again. All 13 products with seasoning are expected, and calibration and strong connections are, in our assessment, expected to constantly improve every quarter. That is point number one. Point number two, it is in our hands , how do I mix it for respective total credit costs to optimize the ROAs of the Company . As from here on , ROAs will become an important thing. So, let us say, for example, hypothetically saying you have an X product at a credit cost of, hypothetically, let us say, 2% , and you have another credit cost at let us say, 3%. Now, either you take 50/50 and have a credit cost total, or you can have a 60/40 mix and do it. Similarly, when you have a mix of approximately 12 to 13 businesses, all we are saying is that the mix will be optimized. So, you actually might land up with quarters going the 2% might become 1.8%, and the 3% might become 2.8%. But the mix could be in such a manner which could reflect the total credit cost that you actuall y land up making very healthy ROAs despite individually improving , thanks to collections, thanks to product seasoning, and our credit calibration. That is why I said you must check our 6-MOB because, if you check our 6-MOB, you will get the pulse . Not only is Stage -1 improving, which is one part of the story . Not only is the GNPA impr

oving , that is another part of the story. But if you see carefully, 6-MOB normally in any banking or finance business is a very solid indicator of what is the quality of calibration that you are doing

across the portfolio and you will get a firsthand sense of how individual products will be fairly solid.

Abhijit Tibrewal: Got it, Arvind sir. This is very useful and thank you so much for your enhanced disclosures in this quarter. So, just last thing I was asking, today we have taken board approval for reaching ■5,500 crores of cash equity? We plan to con sume it in this quarter or after the end of this fiscal year?

Arvind Kapil : Are you talking about capital raise, if I get you right? If you are, then I think we have taken a 12-month s ena bling approval, but I think you are well aware of our growth rates .

Moderator : Thank you, sir. Our next question comes from the line of Nischint Chawathe with Kotak Institutional Equities. Please go ahead.

Nischint Chawathe : So, across these 13 products, how do you think about the duration of the book, let us say, across short, medium, and long tenures, h ow are you really kind of thinking about balancing this? And in that sense, is there a little bit of a scope to play the yield curve? I believe you have increased the duration of the liabilities in the last two - three quarters.

Arvind Kapil : Duration of the liabilities.
Nischint Chawathe : Yes. So, on the asset side, first of all, how are you thinking about the contribution of short, medium, and long tenures ? And I mean, are you kind of targeting a particular average duration of the book? And in that sense, how are you placed on the liability side?
Sanjay Miranka : Yes. So, see, across these 13 products, these are into different tenure buckets, right from the ultra long-term, like loan against property to consumer durable, which is ultra short -term. So, I think the products are now there in every space of duration which we want to be and like Arvind articulated, we look at how these products ramp up, and it gives us better risk -adjusted return. So, with that, I think we are pretty fine with the duration being six months here and there because we have a well -diversified liability profile and have the capability to raise money in every single tenure bucket on the liability side. So, right now, also, if you look at our ALM, it is positive across each of the buckets, except that three years to five years, which anyway, with the capital raise would be taken care. So, I think that is fine, we are flexible on the duration. So, there is no specific.
Nischint Chawathe : What is the current duration of the book on the asset side?
Sanjay Miranka : Current duration of the asset would be somewhere between 2.5 to 3 years.
Nischint Chawathe : Okay. And does it kind of change, maybe in a year or so when the contribution of the newer product goes up?

Sanjay Miranka: While it may not change dramatically, like I said, it will depend on the evolution of each of the products and the way they scale up. So, this is it. But I think we are pretty broad. We will take care of that in whichever way it goes. Ye s.
Moderator : Thank you. The next question comes from the line of Kaitav Shah with Anand Rathi. Please go ahead.
Kaitav Shah : Yes, thank you so much for taking my question. First of all, congratulations, good quarter, and thank you so much for the increased disclosure. I think they are pretty useful. So, my question is more on the operating leverage. I think you already pointed out that we have seen signs of improved operating leverage , and do you think this trend can continue, or there is still some investment that is left to be done at an overall aggregate level, which can keep the cost -to-income ratio topped up?
Arvind Kapil : I t

hink, see, the very facts are designed hand and a lot of strategic investments, which we did over the quarters of this financial year and if you ask me, the trade -off is in complete favor of operating leverage . So, not that you would not make incremental sales teams, and not that you would not have new branches. You will have a certain proportion of that investment which are going on. But I think it is usually in favor of operating leverage from now on and I would term this as we would be excited from here on the operating leverage side.
Sunil Samdani : Directionally, the Opex in percentage terms .
Arvind Kapil : Opex yes. But then we have said every year directionally it should and I think you mentioned cost-to-income, and I think probably it will be a heartening to see similar trends there as well , as the years go by.
Kaitav Shah: Okay. Sir, second question was on the AUM growth front, would you like to reiterate the target because we have been growing slightly higher than our long -term average is? So, near-term, will we continue to grow higher given that the new products are firing much better than expected?
Arvind Kapil : Our focus is going to be completely biased to the retail products, the full bouquet of retail products, especially the new ones. But I think our broad guidance of 35% to 40% is what I like to say is a good guidance. There could be some moments where we may have had much better than that. But I would probably hold that broad approach directionally to be 35% - 40% is what I would like in today ’s economy.
Moderator : Thank you. Ladies and gentlemen, this will be our last question. It is from the line of Agam with Agam Investments. Please go ahead.
Agam : Thanks for the opportunity. Just a quick question on the credit costs. The credit costs of this quarter, so going ahead, as you said, it will go down. What can it be? Any thoughts or color on that?

Shriram Iyer : We are not giving any forward guidance, but as the contribution of these new products such as gold loans, education loans, PL prime , and all of the new products keep growing and gain full - scale participation in the product basket , the share of the credit calibrated book will be normalized at a lower level and this will have a favorable bias on the overall credit cost.
Agam : Okay. Just a last question. On the fund raise part, I think maybe I missed the voice. Can you

repeat what is the , so we have mentioned 12 months. What is the timeline? Realistically, w hen
are we looking to close since we are growing at a much faster pace.
Sanjay Miranka : So, we will basically look at the way the growth pans out from here on, and on the basis that, w e
will do the capital raise . So, we do not have specific timing in mind right now.
Arvind Kapil : I think, you know, the part is that we have taken the approval that gives us strategic flexibility
now, and it is in our control, and we are well on top of it. I think that is a limited point. There is
no particular guidance we are giving on the timelines.
Moderator : Thank you, sir. Ladies and gentlemen, that was the last question for today. With that, we
conclude today 's conference call. On behalf of Poonawalla Fincorp Limited , that concludes this
conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jan 2026

January 21, 202 6

BSE Limited
Corporate Relationship Department 25th
Floor, Phiroze Jeejeebhoy Towers, Dalal
Street, Fort,
Mumbai ■ 400 001.
BSE Scrip Code: 524000 National Stock Exchange of India Limited
The Listing Department,
Exchange Plaza,
Bandra■ Kurla Complex, Bandra
(East), Mumbai ■ 400 051.
NSE Symbol: POONAWALLA
Dear Sir / Madam,

Subject: Transcript of Earning/quarterly conference call held to discuss Unaudited financial results for quarter ended December 31 , 2025 – Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘SEBI Listing Regulations’).

Reference: Regulation 46(2)(oa) of the SEBI Listing Regulations

This is in continuation of our earlier letter s dated January 06 , 202 6 and January 16, 2026 and pursuant to Regulation 30 and 46(2)(oa) of the SEBI Listing Regulations, we hereby providing the link of the transcript of Company’s Analysts (earning/quarterly) conference call for Q 3 FY 202 5-26 held on January 16, 2026 .

The transcript of the Conference Call can be accessed at: -

https://poonawallafincorp.com/documents/20121/0/Earnings -Call-Transcript -Q3FY26.pdf

Kindly take the above intimation on record.

Thanking You,

Yours faithfully,
For Poonawalla Fincorp Limited

Shabnum Zaman
Company Secretary
ACS■13918

Poonawalla Fincorp Limited Q3FY26 Earnings
Conference Call

January 16 , 202 6

MANAGEMENT : MR. ARVIND KAPIL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. SUNIL SAMDANI – EXECUTIVE DIRECTOR

MR. SHRIRAM IYER – CHIEF CREDIT AND ANALYTICS OFFICER
MR. VIKAS PANDEY – CHIEF BUSINESS OFFICER (CONSUMER BUSINESS)
MR. VEERARAGHAVAN IYER – CHIEF BUSINESS OFFICER (COMMERCIAL BUSINESS)
MR. HARSH KUMAR – CHIEF HUMAN RESOURCES OFFICER AND HEAD ARTIFICIAL INTELLIGENCE
MR. SANJAY MIRANKA – CHIEF FINANCIAL OFFICER
MS. SHABNUM ZAMAN – COMPANY SECRETARY

Moderator : Ladies and gentlemen, good day and welcome to the Poonawalla Fincorp Limited Q3FY2025 -26 Earnings Conference Call .

We have with us today on the call Mr. Arvind Kapil – Managing Director and Chief Executive Officer , Mr. Sunil Samdani – Executive Director , Mr. Shriram Iyer – Chief Credit and Analytics Officer , Mr. Vikas Pandey – Chief Business Officer (Consumer Business), Mr. Veeraraghavan Iyer – Chief Business Officer (Commercial Business), Mr. Harsh Kumar – Chief Human Resources Officer and Head Artificial Intelligence and other Senior Management officials .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded.

Now, I hand over the conference over to Shabnum Zaman – Company Secretary of Poonawalla Fincorp Limited . Thank you and over to you, ma’am.

Shabnum Zaman : Thank you . In line with good corporate governance practices, please note :

This presentation may contain forward -looking statements regarding the Company ’s future business prospects, strategies, estimates, and profitability , but it is important to note that these statements are based on certain expectations, assumptions, anticipated developments, and are subject to various risks and uncertainties. The actual results may differ significantly from what is stated in these forward -looking statements. Risks and uncertainties related to these statements include fluctuations in earnings, our ability to manage growth, competition, economic conditions in India and abroad, changes in law, rules, and regulations relating to any aspect of the Company ’s business operations, general economic, market and business conditions, attracting and retaining skilled professionals, as well as government policies and actions.

Now, I would like to hand over to Mr. Arvind Kapil – Managing Director and Chief Executive Officer of the Company .

Arvind Kapil : Thanks, Shabnam. Thank you. A very good evening to all of you. I wish all of you and your loved ones a very Happy New Year.

Let me open with industry and economic perspective from our side and the ways we are shaping our organization amid the current sector shifts :

India’s real GDP grew at 8.2% in Q2 FY 2025 -26, up from 7.8% in Q1 FY2025 -26. CPI inflation progressively softened to 1.33% in December 2025 from 4.26% in January 2025 . High frequency indicators signal ongoing economic momentum with inflation below the lower tolerance band, falling unemployment and improved exports. Financial conditions in our assessment remain supportive and with robust credit to commerce, while demand holds steady under strong consumption.

Let me start with the performance update . I would like to give a quick update on the Q3FY26 results.

• Our AUM, as all of you are well aware, is growing at around 77.6% year-on-year, 15.3% quarter -on-quarter , standing at around ■55,017 crores as of December 31st, 2025.

• Total disbursements in Q3FY26 grew by 84% year-on-year and 6.5% quarter -on-quarter . Our new product disbursements have reached a monthly run rate of approximately ■950 crores in the month of December.

• New products delivered at 25% quarter -on-quarter disbursement growth, demonstrating a tangible momentum and market pull which our new products are generating at a grassroots level, to give you guys a feel. Yes, the new product contribution to disbursements in Q3FY26 stands at 20% as compared to 17% in comparison to the previous quarter.

• Our on -book secured mix stands at around 56%.

• Net interest margin, including fee and other in

come, stands at around 8.62% in Q3FY26
versus 8.4% in Q2FY26 . So, it has increased by around 22 basis points from Q2 to Q3.

• Our GNPA for Q3FY26 stands now at 1.51% versus a 1.59% in Q2FY26 . It is a drop of another eight basis points here.

• Our Stage -1 assets, which I think is an important indicator for any finance Company , rose to 97.4% for Q3FY26 as compared to 97.1% in Q2FY26 . I think this is important from our efficiency improvement point of view, reflecting stronger asset quality and stable borrower performance. This improvement underscores our continued focus on prudent underwriting, and effective risk management.

• Our stated objective is to achieve one of the best -in-class credit costs, which requires a more balanced and mature portfolio mix for which transition is already underway. We have already launched new businesses, and they will pick up scale in different proportions over the years.

• Our cost of borrowing has reduced from 8.04% in Q1FY26 to 7.65% in Q3FY26 , i.e. around 39 bps in three quarters. One of the key levers was the NCD contribution. It has substantially increased from 7% in March 2025 to 27% in September 2025, and now approximately to about 30 % - 33% as of December 2025. Adding strength to long -term capital funding. Our aim is to ensure stable and cost -efficient funding.

• On AI, out of the total tally of 57 cutting -edge AI projects now, we have reached 30 projects are live.

Let me start with how we think about credit costs and RO A, because this, I believe, sits at the heart of how we are building this Company . It is important that we are all on the same page. We are designing a high -quality, stable, low -volatile credit portfolio, not accumulating a balance sheet. From an inception, every product we scale is built to deliver sustainable, healthy R OAs on through the cycle basis. Growth is therefore a means to compound intrinsic value, not an objective in itself.

Let us understand the role of individual products , their contribution design, higher natural provision impact, and the mathematical average of approximately 12 products and then one business of instant consumer loans, making a total of 13 products.

To provide clarity on how total credit cost should be viewed in my assessment, it is very important to recognize that different lending products inherently carry different risk profiles. Instant loans, by design, carry a higher standard on credit cost, while the remaining approximately 12 lending products are more granular, diversified, and comparatively lower risk. We expect credit costs across individual businesses to decline steadily ov er time, driven by portfolio seasoning, our solid risk calibration, a nd strong collections, and that is going to be a big focus area for us.

At the consolidated level, reported credit cost represents, and this is important, a mathematical weighted average reflecting the proportional contribution of the instant loan business and the combined contribution of the other businesses based on their re spective share of assets. Accordingly, portfolio -level credit cost is a function of portfolio mix and not driven by any single product in isolation.

Accordingly, movements in consolidated credit cost should be viewed as a function of changing composition of the portfolio as different businesses scale at different times. As the portfolio evolves over time, it is important to note products such as gold loans, education loans, salary personal loans, and loans against property are expected to account for 50% to 60% of the portfolio. These businesses have lower inherent risk profiles, lower credit costs, and their growing contribution will lead to a more ba lanced portfolio in our assessment with growing ROAs and a sustained reduction in overall credit cost.

Let me share our perspective on growth, provisioning, and

accounting optics in the credit
context .

Reported credit cost includes normal and regulatory provisioning and therefore reflects both realized losses and pr udent forward -looking buffers. Management remains focused on continuously improving credit calibration, underwriting discipline, and collection efficiencies across individual lending products, with an objective of strengthening overall portfolio credit performa nce over time.

Improving RO A is a key focus area for the Company , and alongside efforts to enhance credit calibration and collection efficiency within individual lending products, management is equally focused on achieving the right product mix to balance risk and returns and the objective of driving sustainable RO A improvement.

Mr. Shriram Iyer will share meaningful insights and early risk indicators across products, which is quite encouraging.

Let me cover my perspective on RO As, which is going to be a key focus area for the Company .

We have reached an RO A of 1.2% in this quarter, Quarter 3 . At this juncture, let me give you a sense of disbursement yield for Q3FY26. I think this could be an important metric. The present disbursement yield , pricing of new originations for Q3FY26 , is approximately 15.5%, reflecting the impact of new product launches and disciplined risk calibration across originations. The new products we have launched have scaled well and are performing in line with our internal expectations. This gives us confidence that growth is now coming from a more diversified and structurally stronger portfolio.

On the risk side .

Credit costs are trending better quarter after quarter. The new credit calibration is behaving well. Early indicators are encouraging, and we are seeing improved performance across vintage s. As committed, we have increased our disclosure, wherein this time we are sharing product -level AUMs across products, and I think a very important indicator the risk team is sharing in the investor deck is the 6-MOB, early risk indicator, which in my experience is a lead indicator for any finance Company in terms of what the new calibration looks like.

At the same time, I do believe that operating leverage is beginning to come through. Our operating model is built to deliver structural operating leverage as we scale multiple product distributions, digital platforms, distribution partners, and enhanced customer franchise with increasing cross -sell strength, fueling the strength of our ope rating leverage.

Putting all this together, early disbursement yields, successful product launches, improving credit outcomes, and operating leverage, we believe that the structural levers are firmly in place now. As these trends continue, we see a clear progressive build -up over the coming periods.

On a customer service front, let me share an important perspective. We are launching a next -generation conversational AI platform for omnichannel customer service designed to autonomously resolve 80% of voice and chat interactions, significantly reducing cost -to-serve while improving customer experience. Only high empathy and exception cases are routed to human agent, driving operational efficiency and scale.

Our industry -first contextual agent UI that delivers real -time intelligence, including customer history, loan risk flags, and sentiment analysis, enabling faster resolution, higher first -contact closure, and improved compliance. It is important to note the platform is powered by multi -agent AI orchestration and is currently in C UG (closed user group) testing with Hindi and English. That will go live by March ’26. Subsequently, in phase, we will deploy AI voice agent across six regional languages and chatbot in 14 regional languages, unlocking mass market adoption across India, linguistically diverse customer base. This, I believe, in my limited vie

w, should tra nsform our customer service and make it really smart.

Now, let me talk about a quick sense on the debt strategy :

As part of our long -term debt strategy, we endeavor NCDs to be in the range of 30% - 35% of our total borrowings. We shall keep following the highest standard of governance and transparency with complete oversight of the ALCO on the liability management.

I shall share some of the key highlights .

To give you guys a sense , in line with the guidance provided during our last investor call, we have successfully raised over ■4,500 crores by way of secured NCDs during Q3FY26 and a subset of around ■12,330 crores during the nine months. The share of NCD in our borrowing stands at 33% as of December 31st 2025 , vis-à-vis 7% as of March 31st 2025. This increase in NCD borrowings has also contributed to a significant diversification of our investor base. #We continue to expand our investors across mutual funds, insurance companies, banks, corporates, and pension funds.

To summarize, Operating leverage is now structurally embedded in our business. Over the past 18 months, we have made upfront investments in distribution, technology, risk, and multi -product infrastructure , largely fixed in nature and built ahead of revenue. This platform can now support materially higher AUM without a proportional increase in costs. As AUM scales, incremental growth is absorbed by an established operating backbone across underwriting, collections, technology, compliance, and branches, leadi ng to declining marginal costs and expanding operating margins. Operating leverage is further strengthened by product mix improvement. As four core products , Gold Loans, Education Loans, Personal Loans, and LAP scale to 50 –60% of AUM over a period of time, higher ticket sizes, longer tenors, and more predictable cash flows drive superior cost efficiency and improve the cost -to-income ratio#

#Due to technical issues , the above paragraph was not recorded during the call
Our endeavor is that AI initiatives will amplify our strength. We have initiated 12 AI projects in Q3FY26 across credit, collections, servicing, and operations to reduce manual effort, improve decisioning, and enable higher volumes without commensurate increases in headcount or expenses. Crucially, this leverage is achieved with disciplined risk management. As a result, we believe our past 18 months ' well-calibrated AUM growth, coupled with present runways, are expected to translate into sustained profitability, driving steady improvements in RO A.
And n ow, I would like to hand over to the Chief Business Officer – Vikas Pandey , and then subsequently to Mr. Veeraraghavan Iyer to give you a sense on the business updates.
Vikas Pandey : Thank you, Arvind and g ood evening to all of you. My name is Vikas Pandey. I am Chief Business Officer for Consumer Business.

Over the past few quarters, our new businesses have scaled meaningfully with constant emphasis on high -quality growth, discipline execution, and technology -led efficiency. Our prime personal loan business, launched in August 2024, continues to gain strong traction.
In Q3FY26 , we delivered average monthly disbursements of nearly ■430 crore, reflecting growing customer confidence. What is particularly encouraging is the quality of the book. Over 70% of customers have bureau scores above 750 , are salaried with 'category A ' corporates and earn net monthly income exceeding ■75,000. This validates our risk -calibrated acquisition strategy. Digitally, we continue to raise the bar. 28% of disbursements for prime personal loan in Q3FY26 were processed fully straight through , with zero manual intervention, under scoring is focused on scalable and efficient operations.
Alongside digital scale -up, we are

also strengthening our secure d portfolio like gold loan. Our gold loan franchise is expanding rapidly, and we remain well on track with the planned rollout of new year branches during the current financial year.
In gold loans , monthly disbursements have nearly doubled from ■110 crores in September to ■207 crores in December 2025, driven by strong branch productivity. 95% of our branches are in Tier-II and Tier-III markets, creating high -potential , multi -product distribution hubs. Early cross -sell traction from these catchments is very encouraging.
Our next product, consumer durable business , continues to scale efficiently, on track to reach 12,000 retail outlets by the year end across 190 -plus locations. During the festive month of October 2025 alone, we disbursed ■118 crore to 54,000 customers entirely through a seamless digital journey, demonstrating both scale and execution capability. OEM partnerships are expanding across mobile and consumer durable segments, and the PFIN EMI card has seen strong market acceptanc e. With pre -approved limits and a vailability across all touchpoints and now live on our app and website, the card is becoming a powerful enabler of repeat usage and customer stickiness.
Our next product, commercial vehicle business , delivered average monthly disbursement of ■100 crores in Quarter 3 financial year 2026, representing 35% quarter -on-quarter growth. U sed CV Financing continues to anchor the business, contributing over 70% of disbursements. We have significantly expanded our channel ecosystem to 700 -plus partners, up from 450 last quarter, and now operate across 55 locations with strong momentum in Gujarat, Rajasthan, Tamil Nadu, and Maharashtra.
Next product, education loan . In just nine months since launch, the education loan business has logged 16,000 -plus files supported by a network of 325 -plus consultants and partners. By financial year 2026 end, we aim to expand our consultant network beyond 500 -plus. Our disbursement in the month of December has reached ■118 crores. Our instant sanction journey in education loan has crossed 300 sanctions, valued at ■150 crores yea r till date.
Now coming to our digital marketing strategy :

It continues to evolve toward a diversified ROI -led AI -first model with five key focus areas :
• The first one, deepening our digital partner ecosystem . We now work with 38 -plus digital partners, driving 42% quarter -on-quarter growth in disbursements while reducing platform concentration risk.
• Second, driving cost efficiency through technology -led innovations . Our paid campaigns have seen efficiencies from near real -time data sharing and will continue to optimize and drive precision with the upcoming server -to-server integrations.
• Third, we have further improved our website performance through faster load times, better discoverability, and SEO -led enhancements. We have also stepped up our

presence off website through content presence across relevant external platforms. This has driven over 150% quarter -on-quarter growth in our visibility across Google 's AI-driven search and discovery results.
• Fourth, our mar Tech stack now embeds AI across own channels , allowing us to run and scale experiments on content, timing, channels to drive better retargeting, superior convergence, lower acquisition cost, and improved customer lifetime value.
• Fifth and last, our contextual and AI -enabled brand investments are helping reinforce brand trust and salience while remaining closely linked to business outcomes.
So, finally, across businesses, the common thread is very clear , credit -first, compliance -first approach, discipline execution, scale with quality, and leverage AI and technology as a force multiplier. We are building platforms and portfolios designed not just to grow faster, but to grow better and compound

over time.
Thank you and now I hand over to Veeraraghavan to give you all a flavor on commercial business.
Veeraraghavan Iyer: Good evening, everyone. My name is Veeraraghavan Iyer. I am the CBO for Commercial Business.
The commercial business basket of products consists of loan against property, business loans, loan to professionals, medical equipment loans, machine loans, shopkeeper loans, and mid -market finance . Over the past 18 months, we have built the commercial business around three important vectors.
• The first important vector is people . People are the key to success of any business, and we have meticulously worked on the same to build winning teams across verticals.
• The second most important vector is distribution . In distribution, we have not only worked to increase our reach into new markets and channels, but also , worked to penetrate deeper in existing markets and channels. This we have done by closely working with our channel partners, using our decade long relationship with them, and by providing them with superior TAT and service. Also, we have invested in our in -house direct distribution channel, which would operate mainly out of gold loan

branches launched, sourcing all commercial retail products in the catchment areas and locations.
• The third most important vector is infrastructure . By infrastructure, I mean process infrastructure, policy, and product. We have concentrated on the three P 's of process, product, and policy, redefined them, re -engineered them for customer delight, bringing in best -in-class TATs by leveraging on our digital expertise. By doing this, we have succeeded in growing all commercial products with our risk -first, governance -first approach.
Here is a detailed break -up of the commercial business numbers :
• Commercial business AUM stands approximately at ■33,700 crore s, exhibiting a very robust growth year -on-year.
• Our LAP AUM stands at approximately ■15,100 crore s and is the major contributor to the commercial business AUM.
• Our unsecured business loan, loans to professionals, and shopkeeper loan AUM stands at approximately ■8,000 crore s, growing substantially year -on-year.
• Our medical equipment and machine loan AUM stands at ■660 crore. We have now built the base to grow this book aggressively going forward.
• Our mid -market AUM, which includes NBFC and supply chain finance, stands at approximately ■9,400 crore.
• Approximately 72% of the commercial business AUM is secured in nature.
As mentioned earlier, we started our in -house direct distribution channel, sourcing all commercial retail products around nine months back, and I am happy to announce that this non -DSA channel has started contributing approximately 22% of the overall commercial retail loan disbursements.
We are on track to achieve 40% - 50% of the total commercial retail disbursement through the direct channel over a period of time . As the share of the direct channel disbursement increases in the overall mix, it reinforces the strength of the direct distribution non -DSA channel, leading to sustainable profits of the commercial retail products.
On the digital front, we are ready and piloting our straight through digital business loan offering, which will be the first of its kind in the self -employed space. We are also enhancing the product suite in the machine loan and medical equipment business by launching the lease business.

Summing it up, we believe that the commercial business has methodically implemented the plans with risk -first and governance -first framework and built the foundation for industry -leading growth in all commercial business products, as the commercial busines s remains one of the most important vectors in the overall PFL strategy.
Thank you. Now I hand it over to Harsh to brief you on digital and AI initiatives.

Harsh Kumar : Thank you, Veeraraghavan . Good evening, everybody. My name is Harsh Kumar. I Head Artificial Intelligence. I want to take you through what we are doing in AI.
AI continues to be a central enabler of our operating model transformation. In Q3 FY26 , we advanced our AI initiative, focused on lifting productivity, reinforcing governance, and streamlining customer and employee journeys. These action material ly strengthen our ability to scale efficiently and deliver sustained performance as we transition towards a more intelligent and data -driven operating model. We have built a governance framework for all our AI projects, incorporating the 'Seven Sutras ' as defined by the regulators. This has been adopted to ensure consistency of delivery along with safety and accuracy.
Given update on AI landscape at PFL, I would like to take you through a few of the major projects introduced across the organization in the last quarter :
IT development team has taken significant steps to accelerate and optimize the application development lifecycle with the introduction of BuildBuddy , an AI -powered assistant acting as a development buddy that aids in writing code and also suggests fixes before code is committed. It does this by providing contextual feedback on logic, performance, and readability, along with automated refactoring.
The rollout of DartGenie , an AI -driven natural language insight engine, empowers the internal team to access data insight simply by asking questions in plain language. Currently available in the operations and HR team, this capability reduces dependency on specialist support and accelerates decision -making at scale . With plans to extend its reach to other functions, including customer service and finance too.
Within the risk team itself, we have delivered an AI-driven solution that aids in post sanction review for the personal product by enabling teams to operationalize a comprehensive risk hindsight process. The system automates document interpretation, field -level validation, and detailed audit logging, materially improving accuracy, reducing manual intervention, and strengthening the discipline of our risk governance.
The next step is to extend the risk hindsight framework enabled by AI across broader lending portfolios. To aid our strategic initiative, we have created an AI-powered competition benchmarking engine that, on its own, searches for changes, analyzes market and competition, and delivers timely insight on pricing and product shifts. By embedding AI into our strategic decision -making, we are not just benchmarking competitors. We are building a future -ready financial organization that leads with insight , agility , and customer centricity.
We have our in -house employee support assistance by HR that has been enhanced with additional agent -driven capability. This smarter AI -powered solution executes contextual actions such as instant various employment related document generation , with improved accuracy and intelligence. By introducing autonomous agent driven workflows, the tool

significantly improves employee experience and enables HR teams to shift their focus towards strategic initiatives.
We have introduced our central KYC AI platform , embedding upfront AI -driven checks into KYC workflow. This brings intelligent upfront validation of KYC data, reducing manual intervention by roughly 15% and materially strengthening both accuracy and turnaround performance.
Credit AI , our AI -enabled underwriting support engine, has achieved full adoption in personal loan underwriting, significantly enhancing productivity and enabling underwriters to concentrate on risk judgment over manual processing. We have started scaling this across our broader portfolio, and the upcoming launch of

'Saarthi' will add a new layer of AI -driven portfolio intelligence.
We have also launched a multilingual AI -driven conversational agent that initiates calls to prospective customers, screens them on key eligibility parameters, validates interest, captures required data, and initiates the loan journey before connecting them to respective teams based

on their requirements. This brings more contextual and consistent conversation and improves productivity and conversion rates in key customer acquisition units. The solution is currently implemented for specific business units w ith plans to extend the same to other product lines.

In conclusion : AI initiatives delivered in Q3FY26 constitute a significant advancement in the organization 's ongoing transformation. They enhance the effectiveness of our workforce, reinforce the robustness of our governance framework, and enable a more seamless and intuitive experience for our stakeholders. More importantly, these initiatives further activate our long - term vision to become a digitally fluent, data -driven, and highly scalable financial organization, with AI -first approach being adopted acr oss functions.

I would like to now hand over to Mr. Shriram Iyer , our Chief Credit and Analytics Officer.

Shriram Iyer : Thank you. Thank you, Harsh. Good evening, everyone. I am wishing you all compliments of the season.

The economic landscape has observed a series of monetary policy adjustments, including cumulative repo cuts of 125 basis points since February , GST rationalization, and tax reforms highlighting government aim to support growth and enhance liquidity in the system. Northward movement in the consumer vehicle sales in Q3FY26 reflects positive movement in domestic demand, resulting in improvement in credit offtak e.

India's outstanding loans grew at around 11% year -on-year, and positive economic momentum favor growth opportunities. Poonawalla Fincorp is aligned to this positive momentum and focused towards building a resilient portfolio. Effective orchestration of risk -calibrated framework has supported growth trajectory, ensuring stability and predictability in business

performance. Risk, credit, and collections working in synergy are the backbone of a resilient and well-structured portfolio.

Focusing on the asset quality, let me give you a glimpse of our key trends :

• The GNPA has improved to 1.51% in Q3FY26 versus 1.59% in Q2FY26.
• Over the last four quarters, there has been a sequential quarter -on-quarter improvement in Stage -1, stage 2, and Stage -3 composition of assets, which highlights our calibrated approach to portfolio expansion and strengthened debt management practices. Stage -1 composition in Q3FY26 is at 97.4% versus 97.1% in Q2FY26 . Stage -2 composition in Q3FY26 is at 1.1% versus 1.3% in Q2FY26 . Stage -3 composition in Q3FY26 is at 1.51% versus 1.59% in Q2FY26 .
• The quarterly credit cost has improved to 2.62% for Q3FY26 versus 2.67% for Q2FY26.

For all products other than the instant consumer loans, the quarterly credit cost has been a range bound around 1.4% to 1.5% for Q3FY26 . Our endeavor is to be committed to a stated objective to hold best -in-class credit costs in the industry.

Let me highlight how we are aligning our credit philosophy into action :

The first key aspect being Credit by design . We expect a structurally improving asset quality trajectory driven by deliberate choices in product mix and disciplined risk calibration. Portfolio will be focused on products and customer segments that have inherently lower risk and more stable behavior al patterns. Our focus is on salaried low -risk asset class.

Loan against property book has a portfolio LTV of around 45% - 50% of the market value, providing higher margin against outstanding principal. 70% of our exposures are extended against self -occupied resi

dential or self -occupied commercial properties. 85% of our customer profile is being catered to the segment that has a bureau score of 750 plus. Early risk indicator of 6-MOB 30-plus delinquency ratio for LAP portfolio remains strong at a sub 0.05% limit .

Gold loan portfolio is built with a skew towards emerging affluent households, with strong upward bull rate momentum, right customer profile selection gives them additional cushion to unforeseen market fluctuations. As of Q3FY26, there are no accounts that have crossed 30 DPD.

Education loan exposures are driven towards students opting for top -tier universities, post - graduation international courses, and wealth -progressive households. Students ' credibility, along with backing from strong parental credit history, provides alignment towards financial resilience. Repayment performance is showcasing robust portfolio build -up.

Commercial vehicle business offers secured and income -linked finance. 75% of our portfolio is built by used commercial vehicles. 60% of the customer segment is large fleet operators, providing long -term stability. As of Q3FY26 , there are no accounts that have crossed 30 DPD.

Unsecured personal loans to salaried professionals being built is skewed towards higher bureau score. 70% of our customers have a bureau score of 750 plus. 75% of our portfolio is working

with top corporates. The 6-MOB 30-plus delinquency remains range bound at around 0.4%.
Instant consumer loan is driven by existing -to-credit (ETC) profile , non-credit hungry and skewed towards formal credit -related cohorts. Given this is a digitally sourced book, the 3 -MOB 30-plus delinquency metric serves as a more reliable indicator of digital acquisition quality. We are pleased to report that this metric has shown consistent improvement on quarter -on-quarter basis, with Q3FY26 reflecting a 70% improvement compared to Q3FY25 . This positive trend underscores the effectiveness of our good strategies and continued focus on portfolio quality.
Consumer durable , funding is skewed to existing -to-credit, along with sizable influence of credit -diversified borrowers within ETC segment. Right cohort selection in consumer durable business also sets precedents to control and minimize cash funding and fraud risk events prevalent in this product. As CD is a lower tenure book, the early vintage risk is tracked at a 2 -MOB 1-plus, which is at 0.15%, and 3 -MOB is at 0.06%. This metric has also been showing encouraging trends over the last three months.
Business loan portfolio growth is driven by customer segments with controlled lender position , credit history over five years, controlled unsecured leverage, non -credit hungry profiles, profiles with around at least two business cycles seasonally. The 6-MOB 30-plus delinquency trend is range bound for around the last two quarters and is 1.15%.
Pre-owned car mix is driven towards profiles with controlled recency of exposure build, seasoned credit history for over five years plus. The change in mix of the portfolio has reflected encouraging reduction of 15% in 6-MOB 30-plus performance in Q3FY26 versus Q2FY26 , and around 30% reduction as compared to the same quarter previous year, Q3FY25 .
PFL continues to manage risk in alignment with banking standards, as reflected in our 30 -plus delinquency levels, which benchmark favorably against the others. There has been a sequential improvement in the 6-MOB 30-plus for the last four quarters. The 6-MOB 30-plus for sourcing of Q1FY26 is 1.34%. This demonstrates the improved quality of a new acquisition. We expect credit costs across each of our individual businesses to decline steadily over the coming years, driven by improved portfolio and disciplined risk calibration, to strong colle ction efficiency across products.
In addition, we have consciously invested in products

that have combined high ROA potential
with structurally lower credit costs, which will further support improvement as the portfolio matures and their sizes increases. At a consolidated level, reported c redit costs represent a mathematically weighted average of our portfolio, comprising of four business lines and one instant loan business. The consolidated figure primarily reflects the portfolio mix, particularly the relative weight of the instant loan po rtfolio versus the rest of the portfolio.

Accordingly, movements in the consolidated credit costs should be viewed as a function of the changing composition of the portfolio, as different businesses scale at different rates. Over time, products such as gold loans, education loans, salaried persona l loans, and loan against property are expected to contribute an increasingly larger share of the portfolio. These businesses have lower inherent risk profiles and lower credit costs, and their growing contribution will lead to a more balanced portfolio w ith growing ROAs and a sustained reduction in overall credit costs.
Overall, our focus is to build the Company on a strong ROA, and for which we will mix the well-calibrated instant consumer loans with the rest of the products, so the mathematical mix of well-calibrated portfolios builds a stronger value proposition.
Second key aspect as we grow the book is calibration, quality, and pace. The calibration drive is focused on optimized cohort selection via multi -source inputs. Information cover is not just limited to existing relationship behavior with PFL. We also look at bureau overall credit exposure history, banking via the account aggregator, GST, salary, and partner data.
Augmentation of risk strategy via in -house proprietary models at product and cohort level are used as levers for optimizing risk metrics. Across the model lifecycle, from design to development to post -deployment monitoring, the model strength and accuracy is rigorously tested. This is augmented with real -time through -the-door monitoring to control the expected PD against the sanction cost. As we speak, the decisions across credit lifecycle are supported by 50-plus AI /ML models and designed with over 5,000 -plus feature evaluation. Further, given the portfolio build -up phase, dynamic model calibration with 4 months to 12 months supports the continuous improvement.
As I conclude, together, th ese step-by-step execution across origination, risk containment, and collection is translating into a structurally stronger portfolio. This approach is delivering cleaner incoming cohorts, lower embedded volatility, and sustained improvements in collection efficiency over the cycle.
Thank you, and now I hand over to Mr. Sunil Samdani.
Sunil Samdani : Thank you, Shriram , and good evening, everyone. Let me quickly take you all to the financial

highlights of the quarter.
• The Asset under management stood at ■55,017 crores , representing a growth of 77.6% year -on-year and 15.3% quarter -on-quarter.
• As part of our debt strategy and projected AUM growth, we continue to diversify our liability book, focusing on long -term borrowings. Hence, the share of long -term borrowing has gone up by about 4% from 8 0% to 84% in an overall borrowing. The share of variable -rate borrowing stood at approximately 50%, with another 9% of capital market borrowing, with an average tenor of approximately three months. The judicious use of short -term borrowing has helped us maintain our cost of borrowing at a co mpetitive level.

• Our net interest income, including fees and other income, continues to grow healthy, standing at ■1,080 crores for Q3F Y26, which is up 19.3% quarter -on-quarter. This is despite maintaining a healthy share of secured asset book at 56%.
• The cost of borrowing re

duced to 7.65% for the quarter versus 7.69% in Q 2FY26. This is on account of overall reduction in the interest rate environment in Q3FY26.
• Opex-to-AUM for the quarter was at 4.41%, a reduction of 40 basis points quarter -on-quarter, primarily on account of improved productivity and efficiency. Further, this reduction is despite continuous investment in new businesses and distribution.
• We have expanded our branch network to 320 branches as on date and increased employee strength to 5,264 as on 31st of December 2025.
• The pre -provision operating profit during the quarter was ■528 crores, which represents a 36.5% increase quarter -on-quarter.
• The asset quality improved quarter -on-quarter with gross NPA at 1.56%, which is a 8 bps reduction quarter -on-quarter, and net NPA reduced to 0.80% against 0.81% previous quarter.
• Our profit after tax stood at ■150 crores for the quarter, representing a 102% growth quarter -on-quarter and 702% growth year -on-year. We can now see the benefits of AUM growth and investments in the new businesses coming in.
• The debt -to-equity ratio stood at 4.25 times, which gives us headroom for growth.
• The capital adequacy ratio continues to remain healthy and comfortably above the regulatory requirement at 18.17%, of which the Tier 1 capital is at 17.15%.
• The liquidity coverage ratio at 156% as on December 31st, 2025, is well above the regulatory requirement of 100%.
• On the liquidity front, we remain comfortable at a surplus liquidity of ■6,488 crores as of December 31st, 2025.
Thank you. Happy New Year, and I would now like to open the floor for question -and-answer session.
Moderator : Thank you very much, sir. We will now begin the question -and-answer session. The first question comes from the line of Chintan Shah with ICICI Securities. Please go ahead.
Chintan Shah : Yes. Thank you for the opportunity and congratulations on the strong set of numbers and crossing the 1% ROA mark. So, my first question is on the asset quality. So, if I look at the provision coverage ratio for Stage -1, stage 2, as well as Stage -3, it has been coming off since the last four quarters. Since December 2024, the Stage -3 PCR is almost down 10% to 48% now, versus 57%. The Stage -1 and stage -2 PCR combined is now less than 1% versus 2.8% a year ago. So, considering that 44% of our boo k is currently still unsecured, where do we see this number settling on a steady state basis? Ye s, that is the first question.
Shriram Iyer : Yes, hi. This is Shriram here. See, as I said, there is a change in the product mix, and if you see your Stage -1 book has increased from 97.1% in Q2FY26 to 97.4% in Q3FY26 and if you look at even prior to four quarters, it was close to around 95 .6% (Q3FY25) something . So, we are seeing that the Stage -1 assets itself has increased, so in terms of the overall Stage -1. Another

important point to note here is the Stage -3 book has also reduced from 1.59% to 1.51% , that kind of explains the reduction in the PCR, right? Also, we will have to note that the reduction in the PCR is also on account of the rundown of the old STPL, which had a higher provisioning. So, as the product mix changes and then you have low -risk kind of assets, the ECL also kind of changes accordingly, and that is the reason your PCR is lower.
Chintan Shah: Sure. So, in terms of a steady state, so something around 50% PCR on Stage -3 could be considered from a one year or two year perspective?
Shriram Iyer : I cannot comment on that because each product, as the mix changes a nd we start scaling up, we

may look at a time horizon or something which we will have to look at and based on which the provisioning will be made.
Arvind Kapil : I think on the calibration, let me just add, Chintan, that we have this time disclosed very precise, I think if I am not mistaken,

1.5 years approximately , six quarters of data for 6-MOB, which will give a very good insight into how we are underwriting and what is the bureau based information in terms of the quality on our entire book. I think that is another very strong data, first time we have disclosed , that should give you a complete insight and confidence into the solid credit calibration underwriting that we have been speaking about.
Chintan Shah: Sure and sir, if you would just help me with the write -off policy for our unsecured products, what would be the write -off policy on that?
Sanjay Miranka : 180 DPD.
Chintan Shah: On overall products, whether secured, unsecured?
Sanjay Miranka : Yes, so unsecured is 180 DPD. Vehicle secured is 365 DPD and even loan against property is 730 DPD, which actually is case -by-case basis across the industry.
Chintan Shah: Sure and just one more thing , on the 294 branches and currently 320, I think which we mentioned, so apart from gold loan, what other products would we be currently offering? So, what is the plan there? Just wanted to understand that, ye s.
Arvind Kapil : So, I think our branches that we are talking about are focused. Our gold loan branches are going to be fairly die-hard gold loan branches. That is the plan right now , and that is what I had mentioned last time. We are very focused on the branches. There will be some benefit of cross sell, but I think it is going to be a very gold, gold kind of branch , which is focused.
Chintan Shah: Understood. And sir, so on the new disbursement, which is like 20% of the overall disbursement.
Arvind Kapil : Cross sell might happen, but directionally, it is a very focused gold loan branch for us. Sorry. Yeah, you were asking a question.

Chintan Shah: No, sorry. Got it. So, basically, dedicated gold loan, but some other benefit from cross -sell, then we would not deny that.
Arvind Kapil : It is not like other product cases would not happen from gold loan branches , but we are a focused , branch designed for gold loan. That is all our limited point. Sorry , over to your question.
Chintan Shah: Sure, sir. Understood, sir. And also, sir, on the disbursement from the new products, which was currently around 20% for the quarter and 11% of the AUM, so any ballpark targets here? So, what kind of percentage in the overall AUM mix are we looking for the new products by the time we reach Rs 1 crore of AUM?
Arvind Kapil : I think, see, the plan for these new products are , we are well calibrated , we are servicing a very distinct objective. Personal loan is a very salaried profile , we are getting fantastic build up there . We are very happy with the way it is building up, acceptability of corporates. You heard that it is high-quality asset. If you look at consumer durable, we are investing behind a customer franchise. If you look at commercial vehicles, it has picked up very good momentum. If you look at gold, I think it is continuously quarter -to-quarter building up fantastic. So, objective is going to be , we will keep investing behind these businesses to increase . But remember, bulk of the heavy lifting investing has been done and I think it will be probably fair to say that operating leverage will start kicking in now and that was the whole original plan.
So, we had said that in the first 18 months, we would be probably biased to a little more AUM and investments. I think all that heavy lifting done, you started to see probably operating leverage started to kick in, and you can start seeing the sparks now in terms of probably robust profits. You can start smelling that, and I think we are very excited from here on.
Chintan Shah: Thank you for patiently answering all the questions. I have more, but I will fall back in the queue . Thank you and all the very best. Yeah. Thank you.
Moderator : Thank you.

The next question comes from the line of Abhijit Tibrewal with Motilal Oswal. Please go ahead.
Abhijit Tibrewal : Good evening and thank you for taking my question. Sir, the f irst question is on the gold loan and the CV business. What I heard during the opening remarks is we have crossed 300 gold loan branches. But when I see our presence, it is predominantly the w estern India, Gujarat, Haryana, Rajasthan, Maharashtra. So, if you could just help us understand, is the idea to first capture the central and northern parts of the country, and then eventually go to southern India and in consumer durable, also, I kind of heard that 90% of our dealer presence is somewhere in Tier-II, Tier-III cities. So, what is the playbook w hich will be there in CD (consumer durable) as well?
Arvind Kapil : I could not hear your full questions, but gold loans, I think if you are asking effective Quarter 3 , I think we should be in the range of approximately 19 0 – 192 branches , somewhere there. But

all the LOIs, identification , all of that has been done, and the remaining branches, we should be

on track in this quarter. We should be in a position to build a very solid franchise, like I said earlier, with a focus on gold. Gold is giving us good yields , good asset class, and it is in line with plan.

On consumer durable, whatever little I could hear, and please correct me and add to the question if required , whatever I understood you said was, what is the momentum feel on Tier-II, Tier-III cities? I think , if I am not mistaken, we already ha ve close to 10,000 plus outlets , and o ur strategy is mix of consumer durable. Because , as a Company , we have strong strength on unsecured digital, we do not need additional manpower. We are finding that we started as an experiment probably , now, along with consumer durable, we could be the first Company where our resources are not only doing consumer durable, but also digitally we have a certain proportion of origination, which is coming with the same team on unsecured digital loans, and very successfully so.

Remember, just to give you a sense, consumer durable might have an average ticket size of, let us say, ■28,000 approximately. But an unsecured loan in throughput could be ■4.5 lakhs to ■6 lakhs. So, the throughput and productivity of the team with the yields, even at the point of origination, not at cross -sell, we could be the first Company to successfully pull it off. That itself gives us a huge advantage on consumer durable reach as the business model being more robust, then a conventional, pure, only consumer durable model has the same team. I hope , I am able to get across.

Abhijit Tibrewal: Got it , sir. So, that answers my question. The only other follow -up I had on gold loans was, I mean, right now, I have seen the branch presence is predominantly in western India. Is that the thought process to first capture western India, central, and northern India, and then move to southern India?

Vikas Pandey : Yes. Actually, we have covered already Gujarat. We are in Maharashtra, Rajasthan. We are going state by state because gold loan is a product where you have to have a supervisory depth because we are opening branches. The next geography which we are picking up now is Karnataka and some part of Odisha. So, that is how we will spread our branches.

Abhijit Tibrewal: Got it.

Arvind Kapil : You do not want to just spread yourself in gold, it is important we have done this business in the past. It is very important to have density pockets with supervisory depths because one of the biggest advantages and risks is you need very solid control when it comes to gold branches. You will appreciate that. That is the background.

Abhijit Tibrewal: Got it. The second question I have is about credit costs. Just trying to understand wh ile, I think, again, during the

opening remarks, I kind of picked up that barring instant loans which have higher credit costs, most of the products are showing range bound credit costs of about 1.4% - 1.5%. So, I had two subparts to this question, Arvind, sir. First thing is, I mean, whatever credit costs that you see right now, are they all attributable to the newer and existing products that we

earlier had? So, this has nothing to do with any accelerated write -offs, which you called out in the presentation. These are all business -as-usual credit costs, right? This 2.6% credit costs that you are seeing right now?

Arvind Kapil : So, I think let me explain that point again. It is very nice of you to raise it again. I think the point that I and Shriram are highlighting is that whether it is instant loans, whether it is the remaining 12 products, all individual credit costs are showing constant improvement so far. That is point number one. I think the limited point we wanted to share with you that it is part of our design to optimize . When you look at our credit costs, you must keep in mind that you should treat it as, in simplistic ter ms, a mathematical average of instant loan, consumer loans, and the remaining 12 products. So, while explaining, I said instant loans relatively by design , have higher yield and higher credit costs, whereas the others are normal yields and normal credit costs. More as a reference point. But I think the larger point I wanted to say is that when you look at our credit costs, look at two important things , it is a mathematical mix of the 12 products and instant loans. So, let us say the contribution is 15, 18, or 20 , because individually all products might actually end up reducing our credit costs, and we could have a great opportunity for ROA build -up. So, it is a very limited point just to understand.

Also, looking at our growth rate, please remember, as NBFCs, you have a higher natural provisioning. So, that also complements, if you grow at a higher rate, becomes part of your total credit cost. It is just sensitizing the total picture. That is about it.

Abhijit Tibrewal: Got it. And w hen we said that credit costs will reduce in the coming quarters and years, the primary driver is going to be the improvement in product mix in favor of gold loans, LAP, education loans, right? Rather than the seasoning of these products because once the s easoning, maybe the credit costs will start inching up. So, the primary driver is going to be primarily the improvement in product mix.

Arvind Kapil : So, let me repeat again. All 13 products with seasoning are expected, and calibration and strong connections are, in our assessment, expected to constantly improve every quarter. That is point number one. Point number two, it is in our hands , how do I mix it for respective total credit costs to optimize the ROAs of the Company . As from here on , ROAs will become an important thing. So, let us say, for example, hypothetically saying you have an X product at a credit cost of, hypothetically, let us say, 2% , and you have another credit cost at let us say, 3%. Now, either you take 50/50 and have a credit cost total, or you can have a 60/40 mix and do it. Similarly, when you have a mix of approximately 12 to 13 businesses, all we are saying is that the mix will be optimized. So, you actually might land up with quarters going the 2% might become 1.8%, and the 3% might become 2.8%. But the mix could be in such a manner which could reflect the total credit cost that you actuall y land up making very healthy ROAs despite individually improving , thanks to collections, thanks to product seasoning, and our credit calibration. That is why I said you must check our 6-MOB because, if you check our 6-MOB, you will get the pulse . Not only is Stage -1 improving, which is one part of the story . Not only is the GNPA impr

oving ,
that is another part of the story. But if you see carefully, 6-MOB normally in any banking or finance business is a very solid indicator of what is the quality of calibration that you are doing

across the portfolio and you will get a firsthand sense of how individual products will be fairly solid.

Abhijit Tibrewal: Got it, Arvind sir. This is very useful and thank you so much for your enhanced disclosures in this quarter. So, just last thing I was asking, today we have taken board approval for reaching ■5,500 crores of cash equity? We plan to con sume it in this quarter or after the end of this fiscal year?

Arvind Kapil : Are you talking about capital raise, if I get you right? If you are, then I think we have taken a 12-month s ena bling approval, but I think you are well aware of our growth rates .

Moderator : Thank you, sir. Our next question comes from the line of Nischint Chawathe with Kotak Institutional Equities. Please go ahead.

Nischint Chawathe : So, across these 13 products, how do you think about the duration of the book, let us say, across short, medium, and long tenures, h ow are you really kind of thinking about balancing this? And in that sense, is there a little bit of a scope to play the yield curve? I believe you have increased the duration of the liabilities in the last two - three quarters.

Arvind Kapil : Duration of the liabilities.

Nischint Chawathe : Yes. So, on the asset side, first of all, how are you thinking about the contribution of short, medium, and long tenures ? And I mean, are you kind of targeting a particular average duration of the book? And in that sense, how are you placed on the liability side?

Sanjay Miranka : Yes. So, see, across these 13 products, these are into different tenure buckets, right from the ultra long-term, like loan against property to consumer durable, which is ultra short -term. So, I think the products are now there in every space of duration which we want to be and like Arvind articulated, we look at how these products ramp up, and it gives us better risk -adjusted return. So, with that, I think we are pretty fine with the duration being six months here and there because we have a well -diversified liability profile and have the capability to raise money in every single tenure bucket on the liability side. So, right now, also, if you look at our ALM, it is positive across each of the buckets, except that three years to five years, which anyway, with the capital raise would be taken care. So, I think that is fine, we are flexible on the duration. So, there is no specific.

Nischint Chawathe : What is the current duration of the book on the asset side?

Sanjay Miranka : Current duration of the asset would be somewhere between 2.5 to 3 years.

Nischint Chawathe : Okay. And does it kind of change, maybe in a year or so when the contribution of the newer product goes up?

Sanjay Miranka: While it may not change dramatically, like I said, it will depend on the evolution of each of the products and the way they scale up. So, this is it. But I think we are pretty broad. We will take care of that in whichever way it goes. Ye s.

Moderator : Thank you. The next question comes from the line of Kaitav Shah with Anand Rathi. Please go

ahead.
Kaitav Shah : Yes, thank you so much for taking my question. First of all, congratulations, good quarter, and thank you so much for the increased disclosure. I think they are pretty useful. So, my question is more on the operating leverage. I think you already pointed out that we have seen signs of improved operating leverage , and do you think this trend can continue, or there is still some investment that is left to be done at an overall aggregate level, which can keep the cost -to-income ratio topped up?
Arvind Kapil : I t

hink, see, the very facts are designed hand and a lot of strategic investments, which we did over the quarters of this financial year and if you ask me, the trade -off is in complete favor of operating leverage . So, not that you would not make incremental sales teams, and not that you would not have new branches. You will have a certain proportion of that investment which are going on. But I think it is usually in favor of operating leverage from now on and I would term this as we would be excited from here on the operating leverage side.
Sunil Samdani : Directionally, the Opex in percentage terms .
Arvind Kapil : Opex yes. But then we have said every year directionally it should and I think you mentioned cost-to-income, and I think probably it will be a heartening to see similar trends there as well , as the years go by.
Kaitav Shah: Okay. Sir, second question was on the AUM growth front, would you like to reiterate the target because we have been growing slightly higher than our long -term average is? So, near-term, will we continue to grow higher given that the new products are firing much better than expected?
Arvind Kapil : Our focus is going to be completely biased to the retail products, the full bouquet of retail products, especially the new ones. But I think our broad guidance of 35% to 40% is what I like to say is a good guidance. There could be some moments where we may have had much better than that. But I would probably hold that broad approach directionally to be 35% - 40% is what I would like in today ’s economy.
Moderator : Thank you. Ladies and gentlemen, this will be our last question. It is from the line of Agam with Agam Investments. Please go ahead.
Agam : Thanks for the opportunity. Just a quick question on the credit costs. The credit costs of this quarter, so going ahead, as you said, it will go down. What can it be? Any thoughts or color on that?

Shriram Iyer : We are not giving any forward guidance, but as the contribution of these new products such as gold loans, education loans, PL prime , and all of the new products keep growing and gain full - scale participation in the product basket , the share of the credit calibrated book will be normalized at a lower level and this will have a favorable bias on the overall credit cost.
Agam : Okay. Just a last question. On the fund raise part, I think maybe I missed the voice. Can you repeat what is the , so we have mentioned 12 months. What is the timeline? Realistically, w hen are we looking to close since we are growing at a much faster pace.
Sanjay Miranka : So, we will basically look at the way the growth pans out from here on, and on the basis that, w e will do the capital raise . So, we do not have specific timing in mind right now.
Arvind Kapil : I think, you know, the part is that we have taken the approval that gives us strategic flexibility now, and it is in our control, and we are well on top of it. I think that is a limited point. There is no particular guidance we are giving on the timelines.
Moderator : Thank you, sir. Ladies and gentlemen, that was the last question for today. With that, we conclude today ’s conference call. On behalf of Poonawalla Fincorp Limited , that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: May 2026

May 11 , 202 6

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The Listing Department,
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Dear Sir / Madam,

Subject: Transcript of Earning/quarterly conference call held to discuss audited financial results for quarter ended March 31, 2026 – Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations').

Reference: Regulation 46(2)(oa) of the SEBI Listing Regulations

This is in continuation of our earlier letter s dated April 17, 2026 and May 05, 2026 and pursuant to Regulation 30 and 46(2)(oa) of the SEBI Listing Regulations, we hereby providing the link of the transcript of Company's Analysts (earning/quarterly) conference call for Q 4 FY 202 5-26 held on May 05, 2026.

The transcript of the Conference Call can be accessed at: -

https://poonawallafincorp.com/documents/20121/0/Q4FY26 -Earnings -Call-Transcript.pdf

Kindly take the above intimation on record.

Thanking You,

Yours faithfully,
For Poonawalla Fincorp Limited

Shabnum Zaman
Company Secretary
ACS■13918

Poonawalla Fincorp Limited Q4FY25-26 Earnings
Conference Call

May 0 5, 202 6

MANAGEMENT : MR. ARVIND KAPIL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. SUNIL SAMDANI – EXECUTIVE DIRECTOR
MR. SHRIRAM IYER – CHIEF CREDIT AND ANALYTICS OFFICER
MR. HARSH KUMAR – HEAD ARTIFICIAL

INTELLIGENCE AND CHIEF HUMAN RESOURCES
OFFICER
MS. SHABNUM ZAMAN – COMPANY SECRETARY

Moderator: Ladies and gentlemen, good day, and welcome to the Po onawalla Fincorp Limited Q4 FY 25-26 Earnings Conference Call. We have with us today on the call Mr. Arvind Kapil - Managing Director and Chief Executive Officer , Mr. Sunil Samdani - Executive Director , Mr. Shriram Iyer - Chief Credit and Analytics Officer , Mr. Harsh Kumar - Head, Artificial Intelligence and C hief Human Resources Officer and other senior management officials.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during this conference , please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Shabnum Zaman , Company Secretary of Poonawalla Fincorp Limited. Thank you, and over to you.
Shabnum Zaman: Thank you. In line with good corporate governance practices, please note : This presentation may contain forward -looking statements regarding the company's future business prospects, strategies, estimates and profitability. But it is important to note that these statements are based on certain expectations, assumptions, anticipate d developments and are subject to various risks and uncertainties. The actual results may differ significantly from what is stated in these forward -looking statements. Risks and uncertainties related to these statements include fluctuations in earnings, our ability to manage growth, competition, economic conditions in Ind ia and abroad, changes in laws, rules and regulations relating to any aspect of the company's business operations, general economic, market and business conditions, attracting and retaining skilled professionals as well as government policies and actions.
Now I would like to hand over to Mr. Arvind Kapil, Managing Director and CEO of the company.
Arvind Kapil: Thank you, Shabnum. A very good evening to everyone and thank you for joining us. I'm pleased to report that Q4FY26 marks a significant inflection point for our organization. Our strategic focus on scaling our six new business lines while maintaining rigorous cost discipline is now yielding tangible results.
We have successfully expanded our return on assets, a clear indicator of our improved earning power and quality of our portfolio. This performance is underpinned by a meaningful shift in our efficiency profile. We have driven operating leverage effectively, bringing down our Opex- -to-AUM ratio down from just a year ago.
Our results demonstrate that our deliberate investments in technology and our specialized branch network are not just growing the top line but are structurally enhancing our profitability.
I will begin by outlining our financial performance for the quarter and year and subsequently talk about the key drivers underpinning them.

• We closed the year at an AUM of around ■60,348 crores. This reflects a year -on-year robust growth of 69 .4%.
• The contribution to AUM from the customer businesses has substantially increased.
• The 6 new businesses we've launched are responsible for this, contributing close to 24% disbursement in this quarter versus 20% last quarter.
• We have successfully operationalized 400 gold branches. The commitment we had made , has been met.

At this juncture, let me cover and reflect on the 6 vectors of our performance, which are an outcome of the nature and granularity of our growth.

• Our NIM has expanded sequentially by 43 basis points from an 8.62% in Q3FY26 to 9.05% in Q4FY26
• In our Q1FY26 call, we had guided that we will restore 9% NIM levels in three to four quarters. Happy to report back that we have achieved the same in 3 quarters.
• A significan

t contributor to the NIM going forward is our disbursement yield, in my opinion, which has already gone up by 40 basis points. It is a milestone that underscores the successful integration of our new product verticals and digital businesses. We plan to

continue to optimize this by prioritizing segments with best risk reward dynamics.
• There has been a quarter -on-quarter decline in credit cost from 2.62% to 2.51%. This improvement is further validated by our 6 -month outcome , i.e. 6MoB 30+, which continues to further trend positively. Our GNPA for Q4 stands at 1.44% versus 1.51% in Q3FY26 . Credit cost declining trend is in line with the structural strength of our calibration and collections. It has started to play out as an advantage. And let's remember that GNPA is a lead indicator of where the credit cost is heading for.
• Opex-to-AUM has declined from 4.76% in Q4 last year to 4.13% this quarter on the back of productivity gains in our new businesses. We believe that this is a structural shift in the opex levels that will sustain and further reduce over time. I will explain this aspect in detail shortly.
• The culmination of these moving parts is a 70% sequential growth in PAT, reaching ■255 crores for the quarter. So , you can see the profits are moving in a certain trajectory. The credit cost is moving in a certain trajectory and o ur Opex-to-AUM is structurally moving to a lower floor.
• Our ROA has moved to 1.81% this quarter versus 1. 2% last quarter. And if I compare it with the quarter ending March '25, it was around 0.78%. We believe it is the strongest evidence of our structural operating leverage. We've crossed , in my limited view, a threshold of our investments in tech, collections and new business lines , which is slowly, steadily, and gradually compounding.
• The 1.81% is a new baseline, I believe, and we should, in my limited view, grow strength -to-strength in a coup le of quarters.
• Among all our six vectors in my limited view, ROA, I would treat as our North Star metrics.
Let me now spend some time talking about the structural drivers underpinning this growth.

I quickly give you a sense today.
Firstly, I want to talk about our product mix and distribution . We like to think of our portfolio as a “multi -speed growth engine ”. Our consumer products like personal loan, consumer durables. I would like to call them our high -velocity engines that introduce consumers and households to our franchise.
If you look at education loan and gold loan, provide the right balance of yield and resilience, while our MSME and pre -owned cars are calibrated business for us that enable us to participate in the growth story of the country.
Let me briefly talk about our new products portfolio.
Prime personal loans. PL Prime, we introduced in August 2024, continues to demonstrate strong momentum. We ended March 2026 with a monthly disbursement run rate of approximately ■468 crores. We continue to see that 70% + customers have bureau scores of 750+, employed with Category A corporates , and earning ■75,000 + net take -home , in short, credit resilient salary profiles.
In Q4, 33% of disbursements wer e processed through a fully straight -through digital processing. This has increased from 28% in Q3. We are very, very excited about the digital calibration and the momentum it's bringing and the cost efficiencies and operating leverage. We will move towards 35% to 40% over the next few quarters, adding strength to our operating leverage. PL Prime has transitioned from a ‘Linear cost ’ model to a scaling digitally, where we build AUM without a corresponding increase on the overhead, just to give you a ballpark sense on the digital contribution increasing.
A quick sense on the gold loans. Our gold loan footprint as well as portfolio size has significantly scaled up. We've stayed on course with o

ur earlier commitment on opening 400
branches as of March. They've been operationalized. Total disbursement in Q4 is close to ■819 crores, a fairly decent step up. More than 90% of branches are in Tier 2, Tier 3 locations. These storefronts and customer front is expected to deliver strong lifetime value to our franchise. We will aim to open branches along similar lines as last y ear. While opening dedicated gold branches creates a front -end investment phase, the long -term unit economics are very favorable for sustained profits. These branches act as localized profit engines that, once at scale, require minimal incremental cost to maintain.
A quick sense on the consumer durable business.
Consumer durable business for us continues to scale efficiently, having onboarded 12,500 + retail outlets across 240 locations. We have set up a plan to onboard around 12,000 outlets at the beginning of the year, which we surpassed. Seamless digital journey has enabled the business to disburse over 54,000 cases in a single month. Conceptually, we view durables as the ‘Anchor Product ’ of the emerging middle -class homes. So , it creates a virtuous cycle, wider penetration

leads to richer behavior data for us, which fuels smarter underwriting.

Based on these beliefs, we aim to at least double the consumer durable customer count over FY27 , basically strengthening our overall c ustomer acquisition for the company.
Commercial vehicle, I think a strong belief in last -mile logistics and infra push in the country, we're consistently scaling up the business metrics. Average monthly disbursals are approximately now ■125 crores in Q4, grown by around 18% quarter -on-quarter. Our disbursement yield has also grown by 40 bps in portfolio compared to Q3. We have concluded FY26 with ■1,000 crores of disbursements. U sed CV continues to be the primary focus, comp rising 70% + of the quarterly and annual disbursements.
Education loans : 1 year since our launch , we've built a strong momentum , processing over 22,000 files . As of March 2026, our education loan has crossed approximately ■900 crores in disbur sals, driven by a distribution network now of around 500 + consultants and strategic partners, firmly aligned with our original vision. We are also seeing a healthy traction in the instant sanction process, which now contributes to nearly 20% of total sanctions.
Secondly, I want to touch upon our risk calibration and collection performance in my perspective , which will be covered by Shriram at length. A quick snapshot in this area is, as I said;
• Our credit cost declined further to approximately 2.51%, improving sequentially from 2.62%.
• The 6 MOB30+ book delinquency declined by 30 basis points to a new low, reinforcing the underlying strength of our portfolio. Incrementally, monthly cohorts across products are showing healthier delinquency roll rates than the previous months. To give you a flavor, the 12MOB90+ of cohorts originated post September '24, has seen improvements of over 50% compared to the cohorts originated 12 months prior to September '24.
• This performance is primarily on the back of our fine -tuned credit models. We are able to continuously monitor and refine the performance of our models in sync with signals received from payments data or collections visit refuelling back to the credit guys.
• Similarly, our collection capability continues to be sharpened via near real -time digital feedback loops and AI -led models and treatment strategies. We are in a position to dynamically update our models in a matter of days versus weeks, reflecting agility in our treatment strategies.
Third fundamental point , let me explain our point around structural efficiencies and operating leverage.
Our operating expense to AUM ratio has declined from 4.76% to 4.13% year -on-year, a few drivers of this to give you a sen

se :
• First, bulk of our planned investments in new products, physical infrastructure, technology, human capital that we've made over the past few quarters are now a source of operating leverage due to productivity gains.

• Our digital capabilities across the company and website customer journeys have matured and are leading to improvements significantly in productivity, cost of acquisition and organic business boost and optimized digital performance funnels. Even on our website for that matter, we have seen a 47% improvement in keyword ranking leading to a 51% improvement in share of voice over the last financial year. We continue to hold the performance levels across nonpaid search with approx 7 million traffic in March '26 alone.
• Our AI investments are also beginning to improve our productivities. We are now live with 42 of 76 AI projects planned, which Harsh will cover in detail. This quarter, we have launched multiple initiatives that our Head AI (Harsh) will talk about in detail shortly.
Important to note this , when we look at Opex-to-AUM, it's important to contextualize it within the current year 's strategic investments. Along with robust profits, we're making investments as well to keep a sustained profits as a model which we're trying to achieve. Our investments are building a more profitable 'moat' for the future . And we are deliberately continuing to invest behind the dual -engine strategy.
The first engine is focused on operational fortification, strengthening collections, upgrading technology and improving core execution capability.
The second engine is geared towards market expansion, franchise deepening, including

investments in new gold branches and consumer durable segments.
On the first front, i.e. technology, our investments are moving beyond digit ization towards building an AI -led intelligence layer. We're strengthening our back -end engines to enable a more predictive underwriting and sharper decisioning. Importantly, we're leveraging AI to identify customers with highest propensity for subsequent borrowi ng, thereby accelerating cross -sell and materially shortening conversion cycles.
On the collections infrastructure, we're consciously decoupling collections into distinct strategic vectors. We are investing in robust tech -enabled collection system to ensu re a rapid acquisition supported by strong and scalable recovery framework.
On the second front, we view consumer durable as a critical first touch point in the customer life cycle, enabling us to build early relationships and drive long -term cross -sell opportunities. By financing essential household needs, we effectively earn a seat at the table for thousands of new households , becoming their first point of engagement with formal credit. This creates a high velocity acquisition funnel for us. We view this as a foundational investment, one that strengthens the long -term quality and depth of our franchise. Similarly, on the gold loan branches in parallel , act as a high -yielding kind of a safety vault , for lack of another word, if one may use that term, while also providing strong risk buffer.
While we've set ourselves an internal benchmark to close the next financial year at a lower o pex to AUM ratio than our current levels, you may see fluctuations quarter -on-quarter for 10 to 25 basis points based on our investment trajectory and clustering of our branch opening , and this is a similar kind of guidance we gave last year as well. But I think the plan is that every March

end, we should structurally move to another level and build the strength for the company on opex-to-AUM getting lower.
In closing, let me summarize our trajectory remains focused on sustainable high -quality growth. The steady improvement in our credit profile with credit

cost moderating to 2.51% and even
more encouraging trends of 6 MoB 30+ data reflects the health of our lending ecosystem. We're fairly looking confident on credit cost from here on. With asset quality improving across Stage 1, 2 and 3, we are operating from a position of strength, if I can say that.
We've moved past the lifting of initial business setup and now firmly in the phase of harvesting operating leverage. We remain committed to our investment philosophy in the tech and collection to further fortify this momentum and strengthen new businesses which are adding considerable value to our measurable metrics across business and risk.
Thank you for your continued confidence in our vision. We stand committed to a focused strategy of creating long -term predictable, sustainable profits.
With that, I will now hand the call over to Shriram.
Shriram Iyer: Thank you. Thank you, Arvind. Good evening, everyone.
India's growth momentum during the financial year 2026 remain anchored in domestic demand supported by consumption resilience and reinforced by policy measures. For Poonawalla Fincorp, the step -by-step execution of risk calibrated framework across originat ion, risk containment and collections is translating into a structurally stronger portfolio. This approach is delivering better incoming cohorts, lower embedded volatility and sustained improvements in collection efficiency over the cycle.
Focusing on the asset quality, let me give you a glimpse of our key trends. The GNPA has shown a sequential improvement to 1.44% in Q4 FY 26 versus 1.84% in Q4 FY25 and our NNPA, which was 0.85% in Q4 FY 25 is down to 0.74% in Q4 FY 26.
Over the last 4 quarters, there has been a steady quarter -on-quarter improvement in Stage 1, Stage 2 and Stage 3 composition of assets, emphasizing our calibrated approach to portfolio expansion and strengthened debt management practices. Our Stage 1 compo sition in quarter 4 FY26 is at 97.5% versus 96.3% in Q4 FY 25. Stage 2 composition in Q4 FY 26 is at 1.1% versus 1.85% in Q4 FY 25. On Stage 3 composition in Q4 FY 26 is at 1.44% versus 1.84% in Q4 FY 25. There has been significant improvement across all the stages, Stage 1, 2 and 3.
The quarterly credit cost has improved to 2.51% for Q4 FY 26 versus 2.62% for Q3 FY 26 versus 3.14% for Q4 FY 25 last year. I would further like to highlight a few critical areas that reinforce our commitment to delivering best -in-class credit costs in the industry.
First and foremost is a credit by design framework . We are meticulously building our portfolio skewed towards secured and unsecured products that inherently have lower risk and

low risk cohorts like salaried profiles. Across products, 6 MoB 30+ shows a downward trajectory compared to previous quarters.
Key strategic changes for SME products like business loans and pre -owned cars have supported improvement in 6 MoB 30+. The early monitoring indicator of 3 MoB 30+ for consumer loans continued to improve quarter -on-quarter, strengthening our confidence.
Our deliberate choices in product mix and disciplined risk calibration focuses on customer segments that have inherently lower risk and more stable behavior patterns. PFL's risk management framework continues to be in alignment with banking standards as reflected in our 30-plus delinquency, which benchmarks us favorably against peers.
Sequential improvement in the 6 MoB 30+ for the last 4 quarters is a testimony of risk first framework implemented. 6 MoB 30+ as of Q4 FY 26 is 1.05% versus Q3 FY 26 at 1.3%. The 12MOB 90+ for cohorts originated post September 2024 has seen an improvement of over 50% compared to the cohorts originated 12 months prior to September 2024.
The company is undergoing a fundamental strategic pivot towards a future -ready portfolio by gradually shifting its asset mix towards higher velocity, low probabilit

y of default segments such
as loan against property, personal loans to salaried profiles of top corporates, gold loans and education loans to insulate the book from cyclical volatility.
The front -end asset selection is bolstered by a tra nsition from traditional recovery to a predictive AI-driven collection engine, which is creating significant operational leverage and a continuous feedback loop with underwriting for real -time risk calibration.
By prioritizing quality at risk approach at the ground level, the firm is successfully stabilizing credit cost at a new lower baseline to deliver sustainable portfolio.
It gives me confidence to share with you all that the seasoning of our portfolio is to our satisfaction, and we expect with fair confidence that from here on, we'll move strength -to-strength on our portfolio growth and quality.
The second key strategic focus is on enhanced collection efficiency. Over the last financial year, our investments on enhancing the tech stack used by collections and manpower investments to be ready for scale across products and buckets have shown positive returns.
I would like to share a few performance stats that will give you a glimpse of the impact of these investments.
• Our current bucket flow has shown quarter -on-quarter improvement, and we have achieved a 2x improvement compared to the previous financial year. The above has led to sequential improvement in Stage 1 portfolio to 97.5% in Q4 FY 26 versus 97.4% in Q3 FY 26 versus 96.3% in Q4 FY 25, reflecting strong early -stage collections and disciplined credit sourcing.
• There has been a quarter -on-quarter improvement in slippage ratios since September 2024. Sequentially, Stage 1 slippage ratio has improved by over 15% in Q4 FY 26 versus Q3 FY 26

and Stage 3 slippage ratio has improved by over 11% in Q4 FY 26 versus Q3 FY 26.
Slippage ratios have improved due to a portfolio calibration and improved collection efficiency across product categories.
As we further prepare for scale, the team is focusing on GenAI voice bot -led calling with intelligent human handoff, behavioral AI nudges, speech to text AI integration for allocation, optimization and agentic workflows to auto trigger events. A few of the other AI, GenAI and automation use cases like multilingual voice bots for digital communications, copilot -based insights for collection manager, human less allocation management , campaign strategy builder and call quality monitoring are supporting smarter day -to-day operations for continuous improvement cycle.
Third key focus area is on continuous enrichment of our in -house proprietary models used across the digital and non -digital journeys.
As we speak, 18% of the AUM is via digital journey driven by AI/ML models used across the different credit swim lanes. The multilayered AI/ML risk models leverage the volume, velocity, variety and veracity of data to enable early risk detection, industry -level risk representation and vintage level structuring. Usage of these risk models also augment the physical underwrite r decision process.
Across diverse models, consumption use cases, we have started our journey with implementation of Gen 2 models for credit risk and Gen 3 model versions for debt management to dynamically optimize calibration in response to shifts in por tfolio mix. The credit AI for underwriter focuses on productivity improvement, enhancing accuracy and standardization.
The Q4 FY 26 marks implementation at scale of credit AI projects across all major products, covering personal loans, business loans, professional loans, preowned car loans and equipment

loans. For example, in personal loans, the current installed capacity of our hea dcount as of March 2026 will now be able to process 1.2x the piles.
Methodically, strengthening each stage of the credit life cycle from origination discipline to

on -
book risk management and collection, the organization is creating a sustainable improvement cycle, building AUM with better cohorts, lower portfolio volatilit y and sustainable gains in collection efficiency.
Thank you so much, and I'm handing over to Harsh Kumar.
Harsh Kumar: Thank you, Shriram. Good evening, everybody.
AI continues to be our core driver for the operating model for transformation that we have taken up, a key source of long -term differentiation for Poonawalla Fincorp. Before I take you through the specifics of this quarter, I want to set up 3 things that in our assessment , define an inflection point in our AI journey.

First, the scale of AI usage across organization has crossed an important threshold. It is now meaningful to be measured across multiple metrics.
Second, several of our AI platform we have spoken about in earlier calls have moved to full production. They are now generating measurable outcomes, not just productivity increase, and I'll walk you through a few of them.
And third, our AI architecture has begun a clear strategic shift. We are moving from point solution to agentic system, AI that does not merely assist user, but reasons, executes, monitor, improves outcomes within govern ed boundaries.
Let me start with scale .
Enterprise -wide AI token consumption has increased more than 100x year-on-year and now stands approximately at 30 + million tokens per month. Based on our current deployment pipeline, usage trends, we expect the number to grow multi -fold over the next year, as AI deepens into daily workflow decision -making across the organization.
Additionally, we now have 76 AI projects identified, 42 deployed with 34 under development across business and functions. Each of these projects may have multiple agents acting in concert.
We are introducing token consumption as a metric because in our assessment, it is the cleanest measure of how AI is actually being used inside the organization. The infrastructure cost of running these tokens, model inference, compute, cloud is in our assessment, materially small related to the scale of measured business savings or productivity gains that these platforms are now generating.
The ratio of measured business benefit to AI infrastructure cost is decisively positive, and we expect that ratio to expand as scale increases because inference costs are largely fixed at the platform level, while application across more workflows is incremental. 'Saarthi ' is one of the credit AI platform that Shriram has already elaborated on, and thank you, Shriram for that.
So, I'll no t take you through that, but we had also announced customer service bot that I wanted to cover, having gone live in FY 26. I'm pleased to confirm that the platform is now live in production. The platform's design capacity is to autonomously resolve 80% to 85% of customer interactions that remains the steady -state target, and we expect to reach that level over the course of next 2 quarters.
Customer wait times have already reduced by approximately 35% to 40%. This single platform , when at design capacity will materially reduce our cost -to-serve while improving customer experience.
Beyond just credit and customer service , there are internal productivity platforms that have moved to full production at scale in this quarter. Build Buddy , our AI engineering copilot , enabled our IT teams to deliver 6 new product builds within a single quarter , with measure productivity uplift of 70% to 80% across development workflow .

The more important benefit, however, is the compression of release cycles, which directly accelerates time -to-market for the new businesses we are scaling. We continue to maintain high levels of governance and oversight to mitigate the risk of vulnerabilities or code

-breaks.
DART Genie, our natural -language insight engine , is now active use across operations, HR and finance. It is saving approximately 400 man hours annually in analysis time that was previously

spent on manual dashboard s and ad-hoc reporting request. We expect adoption to expand significantly in coming quarter as we extend the platform into customer service and risk.
PAI@HR, our AI -powered employee assistant is constantly growing and is now autonomously resolving close to 90% of HR queries. Average resolution time has compressed from 24 hours to under 10 seconds. To give context to th at 90% employee interaction per month, which vast majority would have previously acquired HR team intervention. High -volume operational tasks like cab booking and key employment letters are now executed with 0 humans
Our AI -led hiring platform has compressed offer release to now an average of under 1 minute and scaled monthly hiring capacity now dependent on compute alone. We have already pushed the system and has without increasing further compute , improved 168% increase in capacity with 8 1% reduction in hiring related operational costs and importantly, no compromise on candidate quality. As we continue to expand our branch network, the new product teams, this platform is what allows us to hire at scale without proportionate operational drag.
In March 2026, we launched an AI content factory, a design creative studio where prompt engineers, creative specialists work closely to create hyper -personalized communication, creative and media. Within a few weeks, we have witnessed a 12x increase in our communication output with significant cost saves. This will enable us to run multi -segment campaigns across media types across cohort at scale. This brings me to what I described as an important s trategic shift of the quarter, our move from point AI solution to engine system.
Just to explain , a point solution executes a single defined task for a person and agentic RPA, which is what we have launched, works across multiple people, context, take sequence of action, monitor those outcomes and actions, ensure that system and agent build to work ar e governed within the boundaries itself. This is a shift that allows AI to scale beyond individual use case and become operating infrastructure, not a tool but a substrate on which workflows run.
Similarly, we have launched autonomous API testing agents . This embeds agentic intelligence into our engineering life cycle. It independently generates test kits, validate API behavior, proactively identifies anomalies. This will improve release quality, accelerate development cycles and reduce manual testing effort, directly reinforcing the engineering productivity gains we are seeing from Build Buddy.
DIY bot creation tool. This we launched primarily as a no -code platform that allows business team to independently build, deploy domain -specific conversational agents for their teams. It has already begun to drive bottom -up innovation across enterprise, improving query turnaround time and democratizing access to institutional knowledge. We believe this will be one of the

highest leverage platform over the coming year because it shifts AI from centrally built capability to one that organization can extend organically.
On the agentic road map for FY 27, these 3 platforms are foundational. They are not totality of our agent strategy. Every one of these platforms with multiple agents will operate within seven -sutra governance framework within our existing model risk discipline. Alongside these foundationa l platforms, several focused AI solutions have been deployed over this quarter to strengthen frontline execution, sales and digital support.
Over the next few quarters, we will deploy agentic AI across our funnels to improve relevance and guide customers appropriately through

their loan journeys. Three agents are in pipeline t o
be delivered in Q2 FY 27 are expected to improve our digital loan conversion rate by over 15%.
Our data foundation across structured unstructured signals will be closely coupled with our journey on the cloud and this will significantly improve AI experience delivery to our sales channel and customer while keeping a tight control on our cloud costs.
For our sales and credit legal technical teams, we have launched multiple bots, ‘Ask-Ed’ education loan, ‘BL Buddy ’ for business loan and ‘LAP Assistant ’ for loan against property. We standardize the interpretation of policies and process across frontline, reducing operational risk in precisely the products that are scaling fastest.
For secre tarial and tax workflow, we have deployed ‘SecAssist ’ and ‘Taxation Bot’. They reduce friction in the back -office workfl ows that are critical to r unning a regulated lender at scale. Speed, consistency and compliance has improved miserably .
For leadership development scale, we launched ‘Lead Forward ’, an AI -powered coaching assistant that provides our managers personalized on -demand guidance for feedback, people decision s and development planning.
Before I close because AI skills, governance is what underwrites the credibility of entire program. All our AI projects operate inside the seven -sutra governance framework and of course, we are further strengthening our AI governance processes, which we have adopted earlier in alignment with the principle laid out by the regulator. Every agentic deployment, including 3

platforms that I described in previous section, operate w ithin explicitly defined boundaries, scope of action, escalation trigger , human -in-the-loop checkpoints or any decision that affects credit collection, customer or stakeholder outcomes.

On model risk specifically, our 50 + AI model, which Shriram has alr eady spoken about, support credit decisioning s itting inside our model risk framework.

On data privacy and DPDP Act, our architecture is designed with explicit data classification, consent management and data localization principle. Sensitive customer data is handled within governed environment. We have control in place to manage exposure to external model providers, and those controls are reviewed by information security team.

On vendor concentration, our architecture is deliberately multi -model. We are not building dependency on any single large language model provider. The agentic platform and DIY bot creation tool are designed inherently to be model agnostic at the orchestration layer. This protects us against vendor pricing changes, capability gaps and continu ity risks , and on auditability, every agent action is lo gged and is reversible.

To summarize the point, we see governance not as an overlay on AI, but as a precondition for scale.

Thank you. I'll now hand over to Mr. Sunil Samda ni, our Executive Director.

Sunil Samdani: Thank you, Harsh, and good evening, everyone. Let me quickly take you all through the financial highlights for the quarter.

• The Assets under management stood at ■60,348 crores
• On the liability side, as part of our debt strategy and in line with our projected AUM growth, we continue to diversify our liability book, focusing on long -term borrowings. Hence, the share of borrowings from long -term sources has gone up by approximately 3% from 83.42% to 86.50% quarter -on-quarter. This number was 61% in Q4 of FY 25
• Our Net Interest Income, including the fees and other income continue to grow healthy, standing at ■1,276 crores for Q4 of FY 26, which is up 18.2% quarter -on-quarter and 78.5% year-on-year. On a full year basis for FY 26, our NII, including the fees and other income stood at ■4,029 crores, which is a growth of 49% year -on-year from ■2,708 crores last year.
• The cost of b

orrowing for the quarter stood at 7.63% ver sus 7.65% in Q3 of FY 26
• The Opex-to-AUM stood at 4.13%, a reduction of 28 bps quarter -on-quarter
• The Pre-provisioning Operating Profit (PPoP) during the quarter was at ■695 crores, a 31.6% increase quarter -on-quarter. For the full year of FY 26, the PP oP is ■1,934 crores, which is a growth of 36% from ■1,417 crores a year earlier
• The asset quality improved quarter -on-quarter with GNPA at 1.44%, a reduction of 7 bps quarter -on-quarter and 40 bps year -on-year and net NPA stood at 0.74%, a reduction of 6 bps quarter -on-quarter. Our provisioning coverage ratio stood at 49%
• Our profit after tax stood at ■255 crores during the quarter, 69.6% growth quarter -on-quarter. This is despite company making significant investments in new businesses, branches, AI and technology. For the full year of FY 26, the profit after tax is ■542 crores.
• Our debt equity ratio stood at 4.67x. This is before the capital raise of ■2,500 crores, which we did in April of 2026 through the QIP route. Post capital raise and basis March 2026 balance sheet, the pro forma debt equity would stand at 3.7 8x.
• On the capital adequacy ratio, we continue to remain healthy and comfortably above the regulatory requirements at 16.83%, of which the Tier 1 capital is at 15.90%. With successful ■2,500 crores of capital raise, the stimulated capital adequacy ratio stands at 20.74%. This is basis the March 2026 balance sheet and the capital raise that we talked about, and this gives us enough headroom for growth.
• Our liquidity coverage ratio at 181% is comfortable.

• On the liquidity front, our surplus liquidity of ■7,590 crores stood at the end of March 31, 2026.

Thank you and now I would like to open the floor for question -answer session.

Moderator: Thank you very much. We will now begin t he question and answer session. O ur first question comes from the line of Chintan Shah from ICICI Securities.

Chintan Shah: Thank you for the opportunity and c ongratulations on another strong quarter. Sir, firstly, on th e yield , we have started giving the disbursement yield range. So , sir, could you help me with what would be our disbursement yield for the quarter and what would be our book yield for the quarter? Just trying to understand the difference between the disbursement yield and the book yield. That's the first one .

And secondly, on asset quality . The asset quality has been continuously improving. But given the geopolitical situation, do we envisage any risk to that ? And particularly, are we looking at making or did we think of making any overlay or provisions just to strengthen our provision ing in terms of any risk if it emerges, given that we are also almost 50% portfolio is uns ecured. So , in that context, yes?

Arvind Kapil: Yes. Thanks, Chintan. I think let me address your second point first.

I think on the credit side, if you look at , I'll rope in Shriram, but, our exposure in my limited view, remains well within the defined risk tolerance. Internally, w e do a lot of worst -case scenarios, stress test model ling across not just the portfolio but across liabilities and a whole lot of disbursal yields . Which is why , if you notice, normally liability yields in the industry change s fast and asset repricing p ower is very tough to get. But in our case, if you notice the way we've built the model structurally to make it stronger, of course, we didn't know the w ar is going to come in , but we wanted to fundamentally make it stronger. And with that intention, you start seeing that our disbursal yield in Q4 has gone up by 40 basis points, and your portfolio yield will gradually do the catch -up.

But the more your disbursal yield goes, what does it show? It shows that if you were approximately, I'd say, 15.56% was your disbursal yield a quarter before approximately

. And if it goes to a 15.96% and next quarter, it goes inching higher, that means you have the pricing power in a business, which is not a very easy visible side across the industry, across any company normally. It's the strength of the construct, which it i ndicates in my limited view. And I think that's the way I would read it.

We see a lot of promising increase in our disbursement yield leading to subsequently, obviously, the portfolio will catch up. But we have a healthy pace of growth in this financial y ear plan. And as far as the calibration is concerned, see, the very fact that we have diversified across consumer durable, gold, these are investments. And if you look at PL Prime, the digital side is giving us the first right to refuse , despite our size.

Look at loans against property, we structurally do over ■50 lakhs. We don't do micro -LAPs . We've kept ourselves disciplined on the credit calibration. If you look at education loans, commercial loans, even if you look at business loans and pre -owned cars, you'll be surprised. Unlike our overall growt h rate , which looks very high, there are products like business loan where we've asked the team to operate right now on low teens to mid -level teens on that MSME. But if you look at LAP, we are doing a healthy robust growth because it's over ■50 la khs. And if you look at preowned cars, which is also an industry relatively riskier , we've again said low teens. So, we've calibrated ourselves in investments and balancing of the profit so that you can sustainably grow faster.

But Shriram, would you like to add something on the war side, which he's asking about and impact that you see?

Shriram Iyer: Yes. As Arvind said, if you look at our assets under management, the focus is on the low -risk assets like loan against property , we don't do less than ■50 lakhs. And we've seen that the portfolio is below ■50 lakhs, tend to be a higher portfolio at risk, and that is a portion which we don't do.

And we also focus on gold loans. Our exposure is only to the top corporates, employees where we give personal loans, education loans. So , all these assets, in my view, is that these are very less vulnerable to the headwinds in the external environment. I don't see any risk. And if you look at your GNPA quarter -on-quarter has improved, the slippage ratios have improved. My 6MoB has significantly improved, even my 90 -plus 12 MoB, if you see, there has been a significant improvement of 50% over.

So, if you look at overall from a portfolio point of view, I don't see any risk here. Hence, these assets are less vulnerable to headwinds in the external environment. And hence, the management maintains a cautious optimism and continues to focus on monitorin g and recalibrating our portfolio if required.

Arvind Kapil: Correct. So , we are closely watching, Chintan. I mean it's not to say that war should be ignored. Without a doubt, we're closely watching the environment. But consciously, somehow, we wanted to make a more moderate risk model . So, kind of vulnerability probably index is not the right word . Our portfolio could be a little more crafted in a manner which gives more solidity to it, but we are closely watching the environment.

Chintan Shah: That is very detailed. And so, sir, just one last question, if I could squeeze in.

In terms of this 6MoB 30+, it has been continuously on a declining mode, and that is around 1.05%. So , what could be a steady state number here that we would be looking at , probably at which level it could settle down?

Shriram Iyer: Yes. So, if you look at , it's coming down quarter -on-quarter, as you've seen the numbers, it would be range bound . But if you actually look at the products such as gold loans, personal loans

prime, all of these assets when they

start having a larger share into the overall AUM, these numbers will trend downwards. So, that is something which I can tell you.

Arvind Kapil: But I think you must remember one thing, like I said in the conversation, which I was speaking, GNPA normally, in my limited view and experience, normally shows you the lead indicator of what's coming ahead. So as your mix of gold will increase, you had, f or example, I think I don't remember the exact number, but let's say a ■900 - ■1,000 crore book of gold , but you have 400 branches. So obviously, your March number would have been close to a substantial number. And you can well imagine how the contribution of gold will go up. Now you know the industry cost of gold. So , these are strategies we shared with you. Every word of what we shared over the last 23 months in my limited view has been executed precisely before or on the time. And that credibility, you can trust us that we normally keep adequate margin of safety when we talk. And of course, we are moving steady and steady. The credit cost and the portfolio, the way we stand for multiple reasons gives us fair confidence that the portfolio strength should get stronger and stronger from here.

Moderator: Our next question comes from the line of Kitav from Anand Rathi.

Kitav : Congratulations on a good set of numbers, sir. Number one question is on the fee income trend that has been trending very robustly. So , if you have some guidance around that, that would be the first question ?

Arvind Kapil: Yes, I think on the fee income side, we all, as a management team have handled fairly large businesses. So, we understand the various vectors of fee income, whether it's your processing charges, whether it's your insurance businesses, whether it's various cross -sell businesses or we plan to launch some new stuff.

So, I think you will see a fair amount of strength coming in this year. As we've already done a lot of effort in launching all our businesses, things are stabilizing, distribution are stabilizing. It's becoming more a regular calibrated growth from here on , instead of a massive amount of launches that our effort went in.

So, a lot of focus will go on to ROAs. And I think all of us are well aware that our fee income is a very important component of ROAs. And ROA fundamentally for any company, valuation professionally has to be given the due respect of being a North Star. I mea n I just used it to say that in our hea ds, a lot of our decisions will be basis on ROA because as a company also, we'll do robust profits plus investments. So that's the way we believe sustained profits get created. You cannot lower investments just to further boost profits because that's not the way sustained profits happen. But fee income between various vectors , I'll be honest with you, it's very strongly under our focus and the entire team is working on it, but there's no guidance that we give on these things. Let me have something in the back of my pocket. Broadly, we've given you everything on it.

Kitav : Sir, the second question was we have alwa ys focused on technology and AI?

Arvind Kapil: Right. Yes, sir.

Kitav : How AI and tech has been progressing so far to the best of your knowledge, where you are in that journey, if you can spend 2, 3 minutes on that, that would be grateful on what we can look forward to in the next couple of years?

Arvind Kapil: See for us, AI and digital, let me put it as 2 vectors, which could give you value. On the PL prime digital side, if I share the figures with you, our entire business like a ■480 to ■500 crore kind of disbursement number that we are looking at , now 30% is digital. Imagine a 30% or 40% gradually becomes fully digital of this scale in a personal loan prime corporate India taking from us . This is something which we've executed. This is not something which we ar

e trying to execute. But now how does this scale over the next few years? Business loan is calibrating SME ticket sizes. And right now, we are very, very strict on its calibration. But within

6, 9 months, once we are very s olid on that stuff. We will come up with some interesting turnaround times on the digital side of the business loan as well.
We are looking at digitizing a lot of business, even if it's halfway through on the front side with the customer. We all come with distribution background. The turnaround time for us is going to be key. So that's where the digital path rest. On AI, you have to appreciate that the idea of giving you these 76 projects is to give you a sense that we haven't launched two businesses or four businesses which only did credit underwriting.
Today, for example, to give you a sense of the output, a single product like a personal loan , PL prime, we are not hiring new underwriters despite our growth rate being substantially robust this year. So , we've kind of frozen our manpower last year. And because of our ability with AI and the way our credit is calibrated, we have successfully managed to grow the operating leverage there.
Similarly, one by one, all products will start seeing that value. You'll have to take a product at a time and start doing it. And if you look at across the organization, whether it's a small initiative or large, you'll find th ese 76 projects bringing in a culture where whether it's a finance department doing automation, operations trying to do automation plus AI or a department like business trying to figure out which parts of it can he use AI.
There's a cultural focus on the fact that we've got to create an operating leverage with both AI and digital. So , it has to be net impactful. I'm not into technologies which don't change my life yet. So , for me, every step that we take, either culturally builds our efficiency of innovation, and there will be some products which could far exceed the others on the impact. we are very clear that we'll keep moving forward with this. All these projects, I thin k, should give you confidence that culturally, we are extremely rich and agile as a company in these areas.
Moderator: Our next question is from the line of Jay Betai with NBIE.
Jay Betai: Congratulations on a good set of numbers. Sir, my question pertains to AI and the returns we are generating. So , if you can share some color that how are we focusing on increasing our ROA

going ahead first? And second question is on disbursement. I would like to know the disbursement number for the full year as well?
Arvind Kapil: Let me start with, I think the most interesting one is the ROA. ROA, I think we've taken a 1.81%. If I look at the NIMs, in my limited assessment, looking at the environment, I think our NIMs in my assessment overall are looking positive and accretive. So, I think that's a strength, which gives me confidence that we are very confident as I see through the future of the next few quarte rs.
Right up to the 4 quarters , ROA should gradually start moving strength to strength. We don't give any intermediary guidances. But like you can see, we never gave a guidance of 1.81% either. But step by step, we are building on the businesses. I'll keep balancing investments and profi ts. But I see the ROAs from here on moving strength to strength for probably a couple of quarters or probably a couple of years.
And I think we've reached that point that our strength is emanating out of our pricing power. If you see our disbursement pric ing, 40 basis points, you're well aware, is not easy to increase on the disbursement yield side. And with the growth rate that we have, probably this year, disburs als will be one-third of our book. So , I think that will also give substantial strength to the NIMs, adding to the ROAs.
We have also fairly positive despi

te our investments with minor fluctuations in quarter -to-
quarter as you cluster the branches. But I think structurally on the Opex-to-AUM, we are hoping to reach a lower level by March end despite the fact that our Opex-to-AUM is actually substantially improved than even we had anticipated, to be honest. And it's productivities are kicking in and stabilizing . That’s giving us the confidence.
Credit cost also one of the vectors, which adds to the ROA s, from here on, looking fairly robust, both by design and by calibration and I must mention by collections. We are making substantial investments in collections, both in terms of focus and technology for us to see the results. Jan to March has seen a substan tial strength on the collections, and we are hoping to keep it robust. So that's, I think, one part of it you asked.
Jay Betai: Disbur sement number for the full year?
Arvind Kapil: So, I think we've given a guidance of AUM of 35 -40%. We could be probably a notch better, but it depends. We'll watch closely how this environment plans out. But directionally, I think we would like to look at a 35 -40% and commensurate disbursements along with it. And that's the balance that we'd like to keep.
Jay Betai: Just one more thing. If we see on Slide 22, for the longer -term horizon, we have some negative ALM. So , if we factor in the amount raised of ■2,500 crores, how do we see that gap bridging

out?
Sanjay Miranka : So, it gets bridged. With the capital raise, it has been bridged.

Moderator: Thank you. That was our last question, ladies and gentlemen. On behalf of Poon awalla Fincorp Limited, that concludes our conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jul 2026

July 23, 2026

BSE Limited
Corporate Relationship Department 25th
Floor, Phiroze Jeejeebhoy Towers, Dalal
Street, Fort,
Mumbai ■ 400 001.
BSE Scrip Code: 524000 National Stock Exchange of India Limited
The Listing Department,
Exchange Plaza,
Bandra■ Kurla Complex, Bandra
(East), Mumbai ■ 400 051.
NSE Symbol: POONAWALLA
Dear Sir / Madam,

Subject: Transcript of Earning/quarterly conference call held to discuss Unaudited financial results for quarter ended June 30, 2026 – Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘SEBI Listing Regulations’).

Reference: Regulation 46(2)(oa) of the SEBI Listing Regulations

This is in continuation of our earlier letter s dated July 08 , 202 6 and July 17, 202 6 and pursuant to Regulation 30 and 46(2)(oa) of the SEBI Listing Regulations, we hereby providing the link of the transcript of Company’s Analysts (earning/quarterly) conference call for Q 1 FY 202 6-27 held on July 17, 2026 .

The transcript of the Conference Call can be accessed at: -

https://poonawallafincorp.com/documents/20121/0/Q1FY27 -Earnings -Call-Transcript.pdf/1c4f010c -ea80 -b87f-7cd8 -49e3bf199750

Kindly take the above intimation on record.

Thanking You,

Yours faithfully,
For Poonawalla Fincorp Limited

Shabnum Zaman
Company Secretary
ACS■13918

Poonawalla Fincorp Limited Q1FY26-27 Earnings
Conference Call
July 17, 202 6

MANAGEMENT : MR. ARVIND KAPIL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. SUNIL SAMDANI – EXECUTIVE DIRECTOR
MR. SHRIRAM IYER – CHIEF CREDIT AND ANALYTICS
OFFICER
MR. SANJAY MIRANKA – CHIEF FINANCIAL OFFICER
MR. HARSH KUMAR – HEAD OF ARTIFICIAL
INTELLIGENCE AND CHIEF HUMAN RESOURCES
OFFICER
MS. SHABNUM ZAMAN – COMPANY SECRETARY

Moderator: Ladies and gentlemen, good day, and welcome to Poonawalla Fincorp Limited Q1 FY 26-27 Earnings Conference Call. We have with us today on the call Mr. Arvind Kapil - Managing Director and Chief Executive Officer , Mr. Sunil Samdani - Executive Director , Mr. Shriram Iyer - Chief Credit and Analytics Officer , Mr. Harsh Kumar - Head, Artificial Intelligence and CCHRO, and other senior management officials.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to M s. Shabnum Zaman, Company Secretary of Poonawalla Fincorp Limited. Thank you, and over to you, ma'am.

Shabnum Zaman : Thank you. In line with good corporate governance practices, please note this presentation may contain forward -looking statements regarding the company's future business prospects, strategies, estimates and profitability. But it is important to note that these statem ents are based on certain expectations, assumptions, anticipated developments and are subject to various risks and uncertainties. The actual results may differ significantly from what is stated in these forward - looking statements.

Risks and uncertainties related to these statements include fluctuation in earnings, our ability to manage growth, competition, economic conditions in India and abroad, changes in law, rules and regulations relating to any aspect of the company's business operations, general economic, market and business conditions, attracting and retaining skilled professionals as well as government policies and actions.

Now I would like to hand over to Mr. Arvind Kapil , Managing Director and Chief Executive Officer of the company.

Arvind Kapil: Thank you, Shabnum. Good evening, everyone, and thank you for joining us.

I hope you all are enjoying the thrilling Football World Cup and are looking forward to an exciting final . Before we get to our results, I thought it might be opportune to share with you and I think we all should draw some inspiration from this - an island nation called Cabo Verde. With just about 0.5 million people , it walked into first -ever World Cup appearance, walks into a tournament, holds Spain to a draw and fought back twice against defending champions, Argentina, an extra time and became the smallest country ever to reach a World Cup knockout round. They didn't ha ve any star players on the pitch. What they had was preparedness, a game plan built for opponents twice their size , discipline, a defensive shape that never broke under pressure , agility, adjusting tactics match -after-match , and solid determination, twice coming from behind against the best teams in the world. Preparedness, discipline, agility and

determination, these are the qualities that inspire us, and I truly believe on behalf of my team that they are our DNA, and we strive to live by them every day.

Now on to our quarter numbers and performance.

• AUM at the end of Q1FY27 stands at ■67,054 crores. This reflects a quarter -on-quarter growth of 11%.

• The new products we've launched contributed to 26% disbursement in this quarter versus 24% in the previous quarter , i.e. Q4FY26 , and 20% the quarter before. They have achieved sufficient traction and required scale to deliver predictable earnings in the future.

As mentioned in my previous call, we believe growth isn't just about adding volume , It's about raising the margin per unit. As a result, we track 6 performance vectors very closely internally, and they continue to follow a sustainable upwar

d trajectory firmly in line with our expectations
and our internal plans. Let me begin.

• Disbursement yield, which I believe is a key driver of our future NIMs, has expanded by approximately 50 basis points over Q4FY26. This has been primarily driven by our product mix, adding to the structural strength of our future construct.
• Q1FY27 NIMs, a key indicator for us, holds ground at 9.10%, up from 9.05%.
• Our credit cost has declined by 11 basis points quarter -on-quarter, from 2.51% to 2.4%.
• Our GNPA, which in finance companies, we do believe is a lead indicator , the GNPA for Q1 FY27 stands at 1.37% versus 1.44% in Q4FY27 . What gives me a lot of confidence is the quality of our incremental cohorts, which will have a downward bias on our future credit costs .
• The 6 MoB 30 + of the most recent cohort is approximately 0.64%, which is 41 basis points lower than the previous quarter's origination, which we had shared, which is itself approximately 30 basis points lower than the previous one.
• We continue to drive efficiency across the organization as well as benefit from operating leverage. Our opex to AUM has already declined year -on-year from 4.76% in Q4FY25 to 4.13% at the end of Q4FY 26. We have achieved a further reduction of 7 basis points to 4.06% in Q1FY27 . This is a function of improving digital share of our businesses, embedded AI into our processes and realization of operating leverage, most important.
• As highlighted in my last earnings call, while the internal benchmark is close to FY27 at its lower opex to AUM ratios, you may see fluctuation quarter -on-quarter of 10 to 25 basis points based on our investment strategies and clustering of branch openings of the gold branches, which is generally an advice we will always like to park. As a result, we have achieved ■308 crores in profit after tax, recording a 20.8% growth quarter -on-quarter, and a 391.5% growth year -on-year.
• Our ROA, which I believe is an important metric, for us internally has moved up to 1.98%, reflecting a 17 basis point improvement over the previous quarter and 130 basis point improvement over Q1FY 26. But more importantly, quarter -on-quarter, I think it's showing strength, and it's more structural in nature in my assessment.

Let me now give you a brief update on the key products , to give you a sense.
Prime personal loan continues to demonstrate strong momentum, market acceptance. We ended the quarter with monthly disbursements of ■537 crores compared to probably ■440-odd crores in Q4 on a monthly level. In Q1, there's a 38% of disbursements that are processed through a fully straight -through digital processing , that's on the rise , it's increased from 33% in Q4 previous quarter and before that, the same figure was approximately 28%.
If I take Gold Loans. We've delivered Q1FY 27 disbursements of approximately ■875 crores compared to ■890 crores in the previous quarter. We currently stand at a total of 460 branches now. Going forward, we're expanding into new states, including Uttar Pradesh, Andhra Pradesh, Telangana and Madhya Pradesh, while strengthening our presence in existing branc hes.
We plan to add similar number of approximately 400 -odd branches during FY27, largely in Tier 2, Tier 3 locations. We are on a track to achieve the same, just the way we did last financial year. These branches are increasingly becoming hubs, enabling cross -sell of multiple other products as well, while the focus is clearly on gold loans.
On Consumer Durable, we are scaling efficiently with Q1FY27 disbursements of ■433 crores. We have onboarded over 17,300 retail outlets across 339 locations on June quarter end. Our digital capabilities are driving execution excellence with over 58,000 -plus cases disbursed in a single month. That is the strength we've started develop ing on consumer durable.
The PFIN EMI card

is seeing strong acceptance with presence across all touch points, including
our website is becoming a key driver of repeat usage and customer stickiness with times to come.
Commercial vehicle, to give you a sense, we're scaling well. Despite the macro environment of the fuel prices, we ended June with a monthly disbursement of around ■104 crores. On the distribution side, we've scaled up over 1,100 channel partners, up from 900 in the earlier quarter and expanded our geographical footprint to 70 -plus locations across 30 states. This gives us a strong foundation for continued growth in this segment.
Both Consumer Durable and Commercial Vehicles are doing on a pretty good wicket even on the initial trends of credit.

Education loan. Within 1 year of launch, we are excited that we've delivered 55% quarter -on-quarter disbursement in Q1 with average monthly disbursement reaching ■144 crores. We've significantly strengthened our origination capabilities, expanding from 25 to 50 locations, building a consultant network of over 600 partners. Our instant sanction platforms continue to drive digital adoption with around 30% of sanctions processed digitally. We have fairly decent strength emerging on all aspects of education loan, including the processing time.

Before we go into our detailed performance numbers, I want to spend a few minutes on the nature of the institution we have built over the last 2 years.

I believe it is the single most important aspect to understand about our company. Two years ago, we set out to build not just a book but a long -term sustainable franchise with sustainable profits with a simple conviction : Lasting franchises are built by carefully calibrating risk -first approach. Today, that conviction is visible in our numbers.

Our book has grown to approximately ■67,000 crores of AUM at a GNPA of 1.37% through deliberate and well -placed expansion and every new business we launched in the spirits has found its footing, achieving the momentum and traction it needs to scale. We did not just launch 6 businesses. We built 6 growth engines mounted on a single chas sis. That's important. That's the distinction that matters.

I want to explain 3 key differentiators in our approach, which I believe are important at this junction.

First, we have built a solid talent, at least 2 levels deep, which all of you are aware. The traditional approach to enter a new lending business is by hiring one business head and asking them to build the team. We did something fundamentally different. In each of our businesses, we brought in a proven leader from the industry, people who have built these exact loan books and went to 2 levels deep. The business has an entire leadership layer beneath them carrying the same pedigree. Why does this matter? Because learning time collapses. They arrived with playbook tested across multiple credit cycles. They know what origination looks like at scale and more importantly, they know what goes wrong when the cycle turns because they have collected through the down cycles. It's not just about originating through the up cycles. It is this depth of bench that gave us the confidence to launch multiple business simultaneously.

We have systematically converted individual expertise, which I truly believe, into institutional muscle memory of this organization. I think this is, in my limited view, very important I sense to believe is what we have achieved over the last 2 years. Fina ncial metrics is much an outcome of this. Every credit policy, every risk framework, every underwriting and collection process has been documented, qualified, embedded into how we operate, framed by leaders who manage the portfolio through multiple financ ial cycles.

Second important point quickly, our businesses are digital and AI native by birth. Sales, underwriting, collection servicing, all

of it was architected digital first with AI embedded on day
1, not bolted on later. Technology has been pursued with the same intent. For us, AI is a data advantage. We've used it to create proprietary data assets and to identify accurate entirely new customer cohorts, which we can now underwrite with confidence.

For us, this means unit economics that improves naturally with scale rather than requiring a costly transformation to unlock. As a finance company, we believe that this combination, business cycle -tested leadership running businesses that are AI native fro m inception is a foundational strength.

Third, we have architected a portfolio that draws strength from more than just traditional secured and unsecured access. Our portfolio is deliberately constructed so that each product is

exposed to a distinct macro driver, a distinct borrower segment and a distinct collateral profile. This is important to understand. Commercial vehicle, gold, LAP, business loan, education loans, CD and Prime PL, don't rise and fall together. So, blend ing them smoothens the group's credit losses across time. Let me give you that structure.

Commercial vehicles, for example, in an economy driven by impact from freight demand, infrastructure activity, food prices, good movement. If you see business loans and SME is driven purely by small business cash flows. Personal loan is driven by salaried income stability and employment. Gold, driven by gold prices, is effectively counter cyclical; education, driven by long horizon human capital returns and family commitment. You can see loans against property

driven by real estate values and secured borrowing. CD is driven by household discretionary spending appetite.
Similarly, if you carefully see the tenor and duration, gold and personal loans are shorter, while LAP and education are longer tenure, stable, sticky. Shorter books let you respond faster and longer tenor books give you earnings stability. Thus, this bala nced diversification for us is not a hedge. It's an active lever for strategy. That's important to understand.
To summarize, this quarter marks another first step in our journey towards sustained, predictable profitability. ROA has strengthened quarter -on-quarter and asset quality has improved across products with both credit cost and GNPA moving favorably on an al ready solid pace.
Our investment in new business are translating into strong traction with every business we have launched now scaled to healthy levels. Disbursement yields are on a positive trajectory, reinforcing the strength of our model design ed for the future. Our AI brain has moved from build to execution and is beginning to deliver structural opex efficiencies. Each of these vectors is improving structurally and not cyclically, underscoring the durability of our earnings trajectory.
We are firmly on plan and confident of delivering our predictable sustained profit creation.
With that, let me hand over to Shriram to walk you through our credit performance and trajectory.
Shriram Iyer: Thank you. Thank you, Arvind. Good evening, everyone.
Retail loan exposure at the industry level expanded by more than 16% year -on-year as of March 2026, primarily driven by growth in gold loans, unsecured personal loans and consumer durable financing. Despite prevailing global uncertainties and concerns arou nd crude oil supply, cumulative GST collections for Q1 FY27 increased by 8.4% year -on-year, underscoring the resilience of formal economic activity, sustained consumer demand and robust business momentum. These indicators further reinforce the strength of the underlying economic environment.
For Poonawalla Fincorp, the combination of supportive market dynamics, disciplined execution and a risk -first approach have translated into higher quality book additions, reduced portfolio volatility and consis

tently improving collection performance across the credit cycle.

Focusing on asset quality, let me highlight the key trends.
The GNPA has shown a sequential improvement to 1.37% in Q1 FY27 versus 1.44% in Q4 FY26. NNPA has also improved to 0.70% in Q1 FY 27 versus 0.74% in Q4 FY 26. Improving trajectory continues quarter -on-quarter in Stage 1, Stage 2 and Stage 3 composition of assets, emphasizing our calibrated approach to portfolio expansion and strengthened debt management practices. Stage 1 composition of Q1 FY 27 is at 97.6% versus 97.5% in Q4 FY 26. Stage 2 composition in Q1 FY 27 is at 1% versus 1.01% in Q4 FY 26. Stage 3 composition in Q1 FY 27 is at 1.37% versus 1.44% in Q4 FY 26. There has been continued improvement across all the stages, Stage 1, 2 and 3.
Sequential improvement in the 6 -MoB -30+ for the last 4 quarters is a testimony of the risk -first framework designed for better quality originations. Our 6 -MoB -30-plus for sourcing of Q1 FY27 is down to 0.64% versus Q4 FY 26 at 1.05% versus Q3 FY 25, which was at 1.66%. The quarterly credit cost has improved to 2.4% for Q1 FY 27 versus 2.51% for Q4 FY 26 versus 2.62% for Q3 FY 26. The above is a structural improvement and gives us the confidence on healthy improvement from here on.
The convergence of disciplined cohort selection, sustained collection efficiency gains, and evolving analytic capabilities continue to strengthen our ability to identify, manage and mitigate risk across the credit life cycle. Our portfolio of strategic foc us on lower risk salaried customer segments and secured products is increasingly reflected in the sustained improvement of early risk indicator as 6 -MoB -30+, which I had already stated about.
Through deliberate product mix choices and disciplined risk calibration, we continue to prioritize customer segments characterized by lower risk and more stable repayment behavior. PFL's risk management framework continues to be in alignment with banking s tandards as reflected in our 30 -plus delinquencies, which benchmarks us favorably against peers. Collection efficiency through the credit cycle is a key focus area for us.
I would like to share a few performance stats that will give you a glimpse of the impact.
Our current bucket flow has shown 15% improvement in Q1 FY 27 versus Q4 FY 26. Stage 1 slippage ratio has improved by 5% in Q1 FY 27 versus Q4 FY 26 and Stage 3 slippage ratio has improved by 13% in Q1 FY 27 versus Q4 FY 26. Slippage ratios have improved due to portfolio calibration and improved collection efficiency across product categories. As a concept, we are strengthening the feedback loop through analytics between collections and calibration.
Our continued investments in AI, GenAI and intelligent automation has transformed our

collection operations, driving higher productivity, efficiency and scalability. On account of AI - led customer prioritization, digital -first collections and automated work flows, workforce capacity has been optimized. AI -driven pre -due collection led to 15% cost saves, while our post - due collection transformation led to 27% cost efficiencies through improved workforce productivity and automation.

Our GenAI -powered ‘Pay Easy bot ’ engages customers immediately after payment failures, achieving a 42% recovery rate with significantly reducing manual effort and field visit dependencies. Advanced AI capabilities, including automated dispositions, next best action campaigns and personal ized digital engagement are driving higher productivity and improved customer outcomes. In addition, our in -house direct collection agent models reduced collection operating costs by nearly 26%.

Collectively, these initiatives are strengthening operational resilience, improving customer outcomes and creating sustainable operatin

g leverage through a scalable technology -enabled collection platform.

Risk management today is increasingly a question of speed. With models deployed across the full credit life cycle, we have moved from quarterly and semiannual validation cycles to monthly model monitoring, catching early signs of performance drift and reca libration in weeks rather than quarters.

The next frontier is building strength to anticipate and improve our capability before it shows up in repayment behavior. ‘Data lens ’ now in development use AI to emulate the judgment of our most experienced underwriters, flagging cohorts that look healthy on paper, but carry early signals of stream. In parallel, we are closing the loop between collections and credit, live collection tr ends and AI -driven propensity signals, will feel directly into underwriting, sharpening risk differentiation at the point of decision.

Every stage of the credit life cycle now strengthens the next. Systematically strengthening every stage of the credit life cycle from disciplined origination and proactive in -book risk management to efficient collection, the organization is creating a virt uous cycle of sustainable improvement characterized by cleaner cohorts, lower productive product portfolio volatility and enduring gains in collection efficiency.

Thank you and wishing you all a great weekend. I now hand over to Harsh Kumar .

Harsh Kumar: Thank you, Shriram. Good evening, everyone.

My name is Harsh. I Head , Artificial Intelligence and Human Resources at Poonawalla Fincorp. Today, I'm excited to report continued momentum in our enterprise AI program and the simplest way to describe what we are building is that we are building an AI brain for the enterprise. Not a portfolio of disconnected tools, but a single governed intelligence layer, specialized agents as its skills, master orchestrator agents as it s executive function and our governance framework as its nervous system. Every project adds a new capability to the brain. That is why our AI capability compounds rather than fragments. Everything that follows is that brain getting smarter.

In our current state of AI portfolio, as we speak, our AI agenda has expanded substantially. Total AI projects grew by over 30% to 101 projects spanning 21 departments, of which 50 are deployed and 51 are in pipeline.

The agent -driven operating model as we speak, is transitioned from isolated AI use case to an agent -driven operating model, the architecture of the AI brain we are building. This ecosystem has reached significant scale, approximately 130 smart agents live in production, automating business processes, enhancing employee productivity, improving decision support and accelerating operational workflows because every agent plugs int o the same broader orchestrator framework, each new agent now adds capability to the broader system, not just to its own function. This is the flywheel underneath the program. Every department produces 3 reusable assets, a domain skill, a governance pattern that makes the next approval faster and an organizational trust that accelerates the next adoption. Each turn of the wheel lowers the cost and time of the next.

Now let me come to our guardrails.

First, of course, is the economic discipline at scale . Our monthly token consumption increased by approximately 18% compared to last quarter, while operating costs remained largely stable.

Put simply, the brain is doing 18% more thinking at broadly the same cost. The result of disciplined model selection, infrastructure utilization and workload orchestration with cost monitoring at levels at every session flagging outlier patterns in token c onsumption and spend. So we are now tracking token at a session level itself.

Second, our governance layer, the nervous system, as we speak, again, governance strength, risk, enforces cont

rol, keeps every action within safe, auditable bounds. All our AI projects operate inside RBI 7 -sutra governance framework and our AI governance and security framework operate s across 3 l ayers.

Pre-deployment RED team. So, we have now a RED team, which actually figures out vulnerability, stress test, considers attack scenarios , security and data risk and business continuity so that system are resilient and production ready from inception itself.

InfoSec -compliant deployment, comprehensive security checks, regulatory and legal adherence, data privacy and protection controls with governance checkpoint embedded directly into deployment work.

And third is the continuous monitoring . Post deployment, we track performance, uptime, utilization and emerging vulnerabilities in real time on a transactional basis with automated incident response and AI agents that monitor AI itself. On top of this, it's a dedicated hallucination containmen t framework, adversarial input testing, secure data sourcing protocols and robust inference control, ensuring AI -generated output, meet enterprise standards for accuracy, security and compliance.

I want to also take you through the key deployment last quarter.

Each deployment is a new skill added to the brain as we speak. In journey conversation, video agents to improve funnel conversion. This has been done for instant and Prime PL. To address drop-off in our digital loan journey, we have built 2 agents that int eract with customers. They

simulate EMIs, answer queries, generate personalized video that simplify their offers. When a customer begins to show idle behavior or disengagement, the agent kicks in to engage them, built completely in -house on our Agentic AI platform with right guardrails, knowledge base and journey analytics. We expect on the fence customer to improve o ffer uptake and lift our disbursement throughput ratio by 5% to 10%. We would be adding another agent this quarter, which should further increase and enhance our throughput and conversion ratios.

AI cross -sell intent , this is processed across all voice channels with horizontal capabilities across all products. A significant amount of context is lost in unstructured call recording across services and sales channels by collaborating with our vendor partners. We have built scalable pipeline processing over 10,000 calls a day to generate over 40 intent signals. We can now identify early predictors of customer dissatisfaction, near -term purchase inflation, income profile and occupation, signals that digital journeys may not capture. These insights will power our customer -centric recommendation engine, improving both customer satisfaction and product per customer metric.

Another project is ‘ContextIQ ’, our centralized document intelligence solution, which uses vision language, AI models to extract, classify structure information from complex enterprise documents, scan files, PDF images with human -in-loop validation substantially reducing manual process ing effort and turnaround time.

Last quarter, I had also spoken about ‘MyBot’, our agentic DIY bot builder. This is where the flywheel closes its loop. The brain now grows its own new skills. Every business need addressed through ‘MyBot’ adds a reusable agent to the ecosystem, making the next build faster. A key success is ‘Ask PFL Guru ’, an intelligent cross -sell support agent, assisting teams with policy guidance and sales enablement.

‘Com pStrat’ is our AI -driven compensation intelligence and benchmarking platform, which combines external market data, internal workforce information and organizational policy framework, which enables HR teams to retrieve insights and generate policy recommendation dynamically through a conversational agent.

One of the bigger pieces has been AI -powered marketing transformation. So our AI content factor

y produced 1,843 marketing assets between April and till date, which covers creatives, ad copy, blog translation, images and video. These are supported by 14 spe cialized marketing agents, further powering several thousand customer engage ment and to cover some bit of outcome, 22% growth in content reads, which is about 7 million -plus reads, 43% growth in clicks, that's about 3,46,000 clicks and a 5% CTR across AI -driven campaigns and a cost save of more than 60% compared to traditional agency ap proach.

Personalization is compounding these results further with 2x higher click -through rates and on AI-personalized WhatsApp campaign, 7.5x growth in content inventory versus agency -led production models and more than 15 lakh leads per month supported through improved campaign conversion.

Broadly speaking, together, these deployments demonstrate how our agent -driven AI strategy has moved beyond experimentation to deliver tangible business value, which Arvind also had covered. This further enhances our productivity, improves customer engagem ent, increases revenue opportunity and substantially improves operational efficiency. I look forward to reporting further progress next quarter.

And I would like to hand over to Mr. Sunil Samdani , our Executive Director. Thank you.

Sunil Samdani: Thank you, Harsh, and good evening, everyone.

Let me quickly take you all through the financial highlights for the quarter.

• The Assets under management stood at ■67,054 crores, reporting a strong growth of 11.1% quarter -on-quarter, driven by continued momentum in retail products.

• On the liability side, as part of our debt strategy and in line with our projected AUM growth, we continue to diversify our liability book, focusing on long -term borrowings. Hence, the share of long -term borrowings has gone up by approximately 2%, from 86. 5% to 88.5% quarter -on-quarter. This number was 75.2% in Q1 of FY 26.

• Our net interest income, including the fees and other income continues to grow healthy, standing at ■1,415 crores for Q1 of FY 27, which is up 10.9% quarter -on-quarter and 84.3% year-on-year.

• The cost of borrowing for the quarter stood at 7.72% versus 7.63% in the previous quarter.

• Our opex -to-average AUM at 4.06% is showing resilience despite ongoing investments in collections, tech infrastructure and branch network.

• The pre -provisioning operating profit during the quarter was ■785 crores, a 12.9% growth quarter -on-quarter.

• Asset quality continues to improve sequentially with GNPA declining further by 7 bps, standing at 1.37%, which is a reduction of 47 bps year -on-year and a net NPA at 0.70%, a reduction of 4 bps quarter -on-quarter and 15 bps year -on-year.

• Our provisioning coverage ratio stood at 49.11%.

• Our profit after tax stood at ■308 crores during the quarter, which is a 20.8% growth quarter -on-quarter.

• The debt -equity ratio stood at 3.82x at the end of the quarter following the capital raise of ■2,500 crores through QIP in April of 2026.

• The capital adequacy ratio continues to remain healthy and comfortably above the regulatory requirements at 19.46%, of which the Tier 1 capital is at 18.37%. This gives us enough headroom for growth.

• The liquidity coverage ratio stood at 199.62% as of June 30, 2026.

• On the liquidity front, a surplus liquidity of ■4,012 crores as on June 30, 2026, keeps us in comfortable position.

Thank you and now I would like to open the floor for question -and-answer session.

Moderator: Thank you very much. The first question is from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah: Congratulations on another strong quarter. So sir, firstly, on the ROA. So , ROA has kind of moved around 130 bps year -on-year from 0.68% to 1.98% currently, the gro

wth has been kind
of quite phenomenal. So , which is largely we can attribute to opex -to-AUM and the credit cost moderation. But now opex -to-AUM also seems to be around now 4%, which is largely where most of the diversified players are here and there. So now what are the kind of ROA levers going ahead, which I was just trying to understand that. So credit cost, probably how much delta is there? Or if you have to move from 2% to 3%, what could be the increm ental ROA levers from that? That was the question.

Arvind Kapil: Thanks, Chintan , the most important is NIM. If you see last 12 months, the NIM has moved a substantial level. That's point number one.

Second important point, Chintan, I would urge to look at is disbursement yield. Last quarter, over the previous quarter, we had grown, I think, if I'm not mistaken, by around 40 basis points

in the disbursement yield due to product mix. Over that, our disb ursement yield has moved by approximately 50 basis points. Now when you look at the ROAs of the future, you look at our portfolio yield has moved up by probably 17 or 19 basis points and if you look at our disbursement yield is moving up at a very healthy rate. So structurally, you are in a sweet spot in terms of if I were to assess the future NIMs, purely as a strength of interest income increase. That's the fundamentally first point.
Second is credit cost is presently declining, but it's reached 2.4%. We see that structurally improving quarter -on-quarter for a couple of quarters. Let me park it there for you. And that confidence of our customer cohorts and our collection strength is gi ving us a fair amount of confidence there.
As far as opex -to-AUM concerned, I have actually said that you should be prepared for a 15 to 25 basis point upside as well. But despite that, we are confident of ROAs moving structurally strength -to-strength and the increase in opex -to-AUM, we might see if at all, we club in a few branches growth in a certain quarter, which is also something as a precaution I'd like to give. I also gave it last quarter, but you saw finally, we improved by 7 basis points. So , I would rather approach it conservatively and over deliver.
But I think there is enough structural strength for a company of our type, which is growing a disbursal yield where there's a pricing power and the product mix are fairly visible on one side, and you've got a credit cost, which has a fairly decent runway f or structural improvement and if I take a year's time, our guidance is that structurally opex costs will come down. So, if I take a 2-year window, I think we should be structurally giving enough confidence now that if you see our guidance, we have given a guidance of probably June exit of 2028, which is 2 years from now, and you're already at 1.98%. So I think it should inspire adequate structural strength and confidence from now on.

Chintan Shah: Sure. So just tapping on the margins part, which you mentioned, margins will be structurally improved. But if you look at the secured and unsecured mix, so which is like currently secured is 53%, and I think we have guided 50 -50 would be the ratio for secu red, unsecured. So in terms of mix, we are largely done. So probably it is just that we are probably moving into more - yielding segment. I mean, what is driving the rise in the disbursement yield, yes?
Arvind Kapil: So, see, ROAs , by the way, If you see our business loan, we are actually not growing more than probably 15%, 16%. But if you see our PL Prime, which is the top corporate of India, if you see carefully the devil is in the detail, we're already 36% or 38% digital now, which is growing every quarter for the last 2 quarters and the digital is very fairly priced. People pay for convenience. It's 24/7. It's adding a lot of structural strength to us, both from vendors and our website. So

, I think even if you take products like education loans, gold ; gold, we launched 400 branches. If you see our portfolio yields, it's moving at a very healthy level of that. I think the portfolio yield must be close to ■1,800 crores, ■1,900 crores already, if I'm not mistaken and it should command a healthy probably anything in the range of ■1,700 -plus already. So, there's a fair amount of strength on all businesses and the yields which could be going up and remember one thing, even if you take our unsecured, our bias would be within unsecured higher to Prime PL and Education. So it is more structural to moderate risk. So , it is every single thing , even this time when I spoke, I explained why multiple products will give us a structural strength versus probably what we have seen across the industry, is because you have multiple businesses which take care of different economic cycles. So as a company, we are probably on a much solid foundation on each of the businesses and the combined strength actually smoothens out any cyclical risk that you land up seeing.
Chintan Shah: Sure. And just one last thing on the capital front. So , we have kind of taken the approval for ■5,500 crores against which there is a raise of ■2,500 crores. So are we building in any further capital raise in this year? Or we are largely done, yes?
Arvind Kapil: I think we raised ■2,500 crores in the 1st week of April or 2nd week of April and we are pretty much comfortable for the next 4 to 5 quarters, and we'll see as we go along. We are more focusing on more structural strengths of all the vectors and as you can see that the business is moving into a much more solid phase.
Moderator: Next question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: Congrats on a good quarter. I just wanted to understand, asset quality for us continues to improve, which I think is impressive. But can you share some early delinquency trends across some of the key products like PL, business loans, LAPs and commercial ve hicles? Just trying to understand is there any segment where you are still exercising caution. Now the reason I ask this is, only yesterday, one of the peer NBFC shared that they have started seeing some early trends of higher bounces coming from salaried customers, salaried customers in the IT sector in

Southern India. So are there any such trends that you are seeing in any of your product segments? That's the first question.

Arvind Kapil: First of all, thanks a lot. I think before I hand over to Shriram to give you a first -hand sense across products between calibration, collections, on IT sector because you specifically said , outside IT sectors on salaried, there is absolutely no reason for us to worry at all. As a matter of fact, I have already in my first answer and in my brief, given a guidance , not a guidance, but probably given you a sense that from the lens today, if you look at it, internally, we see a lot of strength in our quality of calibration.

You can see the numbers. These numbers are our facts and we don't see any emerging trends of any nature on these stuff at all. And if you see our 6 -MoB, that's a good early indicator , it's gone down to 0.64% from approximately I think, 1.05%. If you see carefully the minute details of Stage 2, Stage 1 and if you see GNP ; GNPA is a pretty decent indicator of how you could see the future from here. That's the Stage 3 , it can't be a better indicator for any company than the GNPA levels. So , from all perspectives, from our lens , I think if anything calibrated well, there's absolutely no reason to worry.

But Shriram, do you want to add anything that I'm missing?

Shriram Iyer: To add to what the MD spoke about, even as I told, the slippage ratios have improved by around 5% in Q1 FY 27 and Stage 3 slippage ratios have also improved by around

13% and you kind of
look at every quarter, we have been improving even on the slippage ratio. That also kind of gives you a sense on how the portfolio is trending.

Bounce rate has been stable or it's also coming down, which in turn, you can see that in even your 6 -MoB. That's a kind of a correlation. If you try to correlate your 6 MoB, it can give you a sense that bounce rate versus my collection efficiency, which you can see in the deck, which is around 99.6%. If you try and look at each of these from a lens, then I don't see any stress building up. In fact, the portfolio is as per our expectations because all of this, we have kind o f engineered at almost 2 years in advance in terms of how we are building a portfolio and calibrating it.

Abhijit Tibrewal: Question I had is for Arvind sir. Sir, just trying to understand,

Moderator: Abhijit, sorry to interrupt you, we lost your audio in between. Can I request you repeat your question once again?

Arvind Kapil : Can you be a little louder. Your voice is a little unclear, but if you can be a little louder, I think one can hear you.

Abhijit Tibrewal: Sure. I'll try. So , the second question that I had was, I was just trying to understand that among these 6 newer businesses that you have launched over the last 18 -24 months, is there any business which has positively surprised you? Or is there any business which has taken longer than expected to scale? And if that's the case, has your strategy changed in any of these businesses?

Arvind Kapil: I think the only one which we probably did not accelerate is the Shopkeeper loans, which we came across in the earnings call in the first one and I shared with you. And right now, that we're not accelerating and for all our decision basis is between credit cost environment and also on the ROA. but every other business, gold is a fantastic 400 branches launched. We're already 60

branches up this financial year. We are moving on course to probably 400 and maybe more depending on how it goes.

Our yields are going pretty good. Productivity per branch is moving very well. If you look at PL Prime, our digital was our strong construct from 28% two quarters back, probably it's down to 38% approximately and that is structurally moving very well. We are able to price the best quality customers. If you look at Consumer Durable, I shared with you, we are approximately 50,000 customers a month capacity to process. The number of customer franchise that is increasing is moving very we ll.

You'll be surprised that commercial vehicles and CD loans, we have trends of people who have launched historically, and we have a very positive portfolio performance in the first 12 months, substantially better than probably historical data indicate. That' s just because you ask me, I'm giving a sense. I think, on every single business, education loans reaching ■144 crores and ■180 crores, somewhere in that trajectory. This quarter is a season of education. If you check in the market, we are pretty much the second name that's moving on education loans.

So, I think the reason why you find our strike rate has low errors and it's consistently building strength -on-strength because nothing we launch is not adequately designed, planned and executed. We don't do anything which is off the cuff. People who are handling have seen price cycles. We only keep match winners in adequate quantity with every business. Otherwise, I don't launch a business. So , some of these are very fundamental to our DNA and that's why you see clinically in an engineering step, step -by-step, we'll move forward. Risk is something which we are very, very proud of and extremely important for us. But our abilities to calibrate, our abilities to back test, our abilities for analytics to use for risk management . Even I mentioned for AI, our biggest gain is not about the cost

efficiencies, not just the opex part, that's a low -hanging one.
Actually, the biggest gain o n AI is finding the customer cohorts with accuracy. It's not the quantum of customers. It's the accuracy of customers that you can strike. So, there are many moving parts, which are structurally designed with all our experiences and we clinically sticking to plan, which is why you see outcomes could be substantially looking more robust because it's in line with the engineering plan that you will find us clinically going one after the other.
And on the credit cost, I can assure you that we are looking on a very decent and solid wicket. Our season ed data internally is also showing a fair amount of positive strengths.
Abhijit Tibrewal: Got it, sir. That's useful. And I just wanted to squeeze in one last question. This quarter, when we look at cost of borrowings for the NBFC reported, we see mix trends. Some of them have actually been able to keep the cost of borrowing stable. For someone like us, it's gone up about 9 basis points thereabouts. It is not really an aberration given how bond yields works, given how the cost of borrowings trend ed, given the geopolitical environment. But from here, would we expect stability or would we expect cost of borrowings to inch up a little further in the coming quarters?
Arvind Kapil: Yes. I think cost of borrowing of 9 basis, 5 basis or 7 basis or 10 basis, I wouldn't be too worried. I think for me, having NCDs at anything in the range of 25% to 30% and a diversified borrowing,

I think what we've achieved, which we shared in the last 2 earnings is the most structural strength. And if you see carefully, our disbursal yields are going up so substantially in terms of the construct that originally we had planned.
Of course, we have not declared or given guidance around it, which I respect, but it's moving clinically as per plan. And that, I think, has enough and more strength. I mean just this quarter has gone up by 50 basis points. Last quarter went up by 40 basis points over the previous quarter.
I think we could be very comfortably NIM accretive and if you look at the way we've raised NCDs and the term loans from wider spectrum of participants, we have a substantial strength of long-term funding that we have raised, and that is the strength this company has. So I wouldn't be too worried on the net trade -off. It should be comfortable for the year.
Moderator: Next question is from the line of Pranay Mehta from Investec.
Pranay Mehta: Congratulations on a robust set of numbers and always delivering above promise. I wanted to check on 2 quick questions. One was in terms of growth and profitability for the next maybe 8, 10 quarters going forward as well as any more new products coming ? yes, if we can take this for now and then I can come back with one more question.
Arvind Kapil: Pranay, if you see 8 quarters, that's 2 years from now, we've given an exit of June 2028 at a 3%, 3.5% ROA. That itself could give you a sense of where we are today of 1.98%. So I think across products, our yields are moving up. Our credit cost by design has 2 aspects ; One is our calibration is rich , our collection strength is moving surmountedly better than our internal plans , and our strength of product mix of better -quality products and the yields going up is also adding value to it. So, I think from a profitability, we could be very excited from here on. That's the only kind of confidence that I can share with you. I mean if you look at every word of what I have said in the last 2 years where we kind of were faced with substantially more uncertain times, I can assure you from here, it looks much more predictable and sustainable , our profit trajectory, which I can see.
Pranay Mehta: I know and I've been in touch and understand that you've come a long way, and congratulations on that agai

n. Second question was in regard to the IT sector. I think some of the NBFCs are talking about a little bit of pain within that sector that they are s eeing in regards to distribution there. Would you like to comment on that or have anything to say around that?
Arvind Kapil: See, Pranay, I think one of the things which I shared is that as a construct, we just didn't launch 6 businesses. We launched 6 different businesses, which different economic cycles get affected, whether it is business loans, whether it's commercial vehicl es, whether it's gold, whether it's consumer durable, it's Prime PL . We also have the wisdom to go gradual on used cars and business loans to the level of 10% and 13%, 14% or 16% while we are probably growing well over 40%.

So I think the whole construct is fairly strong in terms of the whole robustness. As far as the industry is concerned, I think it's fair to be very, very watchful of the macro indicators. I can assure you that as management and as a finance company, we are fully cognizant that economic

cycles and different challenges are constantly there, which is why your internal systems of very strong cohort groups are very important. It's very important to have product designs, which can handle and attract the right profiles, very important to have d igital even if you do businesses , for example, we have structurally not touched the Agri products, just to give you some conviction. I mean, I have run these businesses in HDFC Bank when I was there. I've not touched maybe the microfinance. I mean nothing wrong with these businesses. It's just that some of these businesses could be bottom of the pyramid, gets affected substantially more with economic cycles and the best of underwriters, I don't think can control this across industry. Nothing wrong with it. I'm sure we respect all players who master this out. But I'm saying this is just to give you a color that everything that we've designed is adequately fleshed out, thought through and calibrated. So , we're using our experience to it, and we are very watchful of the environment. We have wisdom to slow down stuff. We've ourselves shared with repeated earnings calls that wherever I find a certain calibration level needs a certain growth rate, we have absolutely no qualms about going at a lower growth rate on certain products as the multiproduct scenario helps us with keeping the growth momentum.

Moderator: Next question is from the line of Nischint from Kotak Securities.

Nischint: I have two questions. First one was on the write -offs for the quarter ?

Moderator: Nischint, sorry, but we are losing your audio. Can you please come in a better reception area?

Nischint: Okay, I'll just repeat myself. The current quarterly run rate of write -offs, which is around ■280 crores or so, is this something which kind of is now recurring? Or is there a legacy element of it, which kind of went down and bring this number lower?

Arvind Kapil: Sure. Shriram?

Shriram Iyer: So write -offs have been reducing quarter -on-quarter and control over slippages because of the better collection efficiency. So I don't see write -offs going up from here on. Also coming to the point on the legacy portfolio, there is no materiality now becau se there's hardly anything left in that book. So , the legacy portfolio is behind us , you will not see write -offs coming in incrementally much. It would be a natural policy kind of write -off, which will happen. But with the increasing collection efficiency and my current bucket flows and containing my flows from Stage 1 to Stage 2 is also v ery encouraging. I don't see much in terms of the strength building up in the write -off stage.

Nischint: Yes, yes. So , these numbers are now sort of a more stable trend is what I think maybe last 2, 3 quarters of ■275-280 crores are the run rate that I think I can assum

e, right?

Shriram Iyer: Yes, absolutely.

Nischint: Sure. And anything on the coverage ratios? I know your Stage 2 coverage has gone down to like 18% or Stage 1 is at 0.6%. So do you think this is kind of normalized? Or is there some element of legacy in this as well?

Shriram Iyer: See, as I said, PCR is a function of coverage ratio at a product level and the product mix, right? So PCR has declined because of the flows being contained at Stage 1, as I earlier said, due to improved collection efficiency and the portfolio calibration, which we have done across the portfolios, right? The legacy portfolio that historically carried higher expected credit losses that have gradually run off and the impact of ECL has reduced on account of that. So, it's purely the PCR is functional because of the product level and the product mix. That's what it is , and it will be range bound around this. And with products like gold loans and education loans , when their share increases in the overall AUM, you will see a change happening in the overall PCR because the credit cost of these products is much, much lesser than any other products in the industry at a portfolio level.

Nischint: Yes. Got it. Just a little bit on cost of funding. You've seen a small inch up. I know the liquidity and the interest rate environment is changing by the day. So any guidance that you would want to probably give for cost of funding for the year?

Sanjay Miranka : So, see, cost of borrowing, if you see the past trend also despite whatever increase which we had seen in the system, with dynamic treasury management and mix and the flexibility to move from one instrument to another. I think we have been able to contain our cost of borrowing and in future, yes, there can be basis the environment, basis the interest rate scenario, there can be a small uptick here and there. But like Arvind alluded earlier, the product mix is changing, our disbursement yield is changing, and we will more than be able to offset this impact. So we don't see any challenge at NIM level.

Arvind Kapil: I think on the NIM side, our strength of business that we had originally planned, which is probably more visible now is playing out strength -to-strength and quarter -to-quarter and that gives us substantial confidence as a trade -off. I mean, I think we should be fairly in a comfortable zone in line with our plans.

Nischint: Yes, yes, of course. And just the last one, LTV of gold loans, if you could share, if it's readily available?

Arvind Kapil: LTV of gold loans, you want to know what is the LTV?

Vikas Pandey : 75%.

Arvind Kapil: Yes, it is 75%, yes.

Moderator: Ladies and gentlemen, we will take that as our last question. With this, we conclude today's conference call. On behalf of Poonawalla Fincorp Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.